

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California ("Bond Counsel"), under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest (and original issue discount) on the Bonds is exempt from State of California personal income tax.

\$9,610,000
LYNWOOD UNIFIED SCHOOL DISTRICT
(Los Angeles County, California)
Election of 2012 General Obligation Bonds, Series C

Dated: Date of Delivery

Due: August 1, as shown on inside cover

This cover page contains certain information for quick reference only. It is not a summary of this issue. Investors must read the entire Official Statement to obtain information essential to the making of an informed investment decision. Capitalized terms used but not otherwise defined on this cover page shall have the meanings assigned to such terms herein.

The Lynwood Unified School District (Los Angeles County, California) Election of 2012 General Obligation Bonds, Series C (the "Bonds"), were authorized at an election of the registered voters of the Lynwood Unified School District (the "District") held on November 6, 2012, at which the requisite fifty-five percent of the persons voting on the proposition voted to authorize the issuance and sale of \$93,000,000 aggregate principal amount of general obligation bonds of the District. The Bonds are being issued to finance the repair, upgrading, acquisition, construction and equipping of District sites and facilities and to pay the costs of issuing the Bonds.

The Bonds are general obligations of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of Los Angeles County is empowered and obligated to levy such *ad valorem* taxes, without limitation as to rate or amount, upon all property within the District subject to taxation by the District (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Bonds when due.

The Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co. as nominee for The Depository Trust Company, New York, New York (collectively referred to herein as "DTC"). Purchasers of the Bonds (the "Beneficial Owners") will not receive physical certificates representing their interest in the Bonds.

The Bonds will be issued as current interest bonds, such that interest thereon will accrue from the date of delivery of the Bonds, and be payable semiannually on February 1 and August 1 of each year, commencing February 1, 2017.

The scheduled payment of principal of and interest on the Bonds when due will be guaranteed under an insurance policy to be issued concurrently with the delivery of the Bonds by ASSURED GUARANTY MUNICIPAL CORP.



Payments of principal of and interest on the Bonds will be made by the designated Paying Agent, to DTC for subsequent disbursement to DTC Participants who will remit such payments to the Beneficial Owners of the Bonds. U.S. Bank National Association has been appointed as agent of the Treasurer and Tax Collector of Los Angeles County to act as Paying Agent for the Bonds.

The Bonds are subject to optional and mandatory sinking fund redemption as further described herein.

MATURITY SCHEDULE
(see inside front cover)

The Bonds will be offered when, as and if issued and received by the Underwriter subject to the approval of legality by Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, Bond Counsel and Disclosure Counsel. Certain legal matters will be passed upon for the Underwriter by Norton Rose Fulbright US LLP, Los Angeles, California. The Bonds, in book-entry form, will be available for delivery through the facilities of DTC in New York, New York on or about May 5, 2016.



RBC Capital Markets®

MATURITY SCHEDULE

Base CUSIP⁽¹⁾: 551800

\$9,610,000

LYNWOOD UNIFIED SCHOOL DISTRICT
(Los Angeles County, California)
Election of 2012 General Obligation Bonds, Series C

\$1,660,000 Serial Bonds

Maturity (August 1)	Principal Amount	Interest Rate	Yield	CUSIP⁽¹⁾
2017	\$140,000	2.000%	0.750%	EU5
2018	145,000	2.000	0.850	EV3
2020	50,000	2.000	1.130	FG5
2021	75,000	2.000	1.280	EW1
2022	25,000	2.000	1.410	EX9
2023	100,000	3.000	1.530	EY7
2024	135,000	2.000	1.650	EZ4
2025	65,000	2.000	1.770	FA8
2026	75,000	2.000	1.930	FB6
2027	100,000	4.000	2.170 ⁽²⁾	FC4
2028	250,000	4.000	2.300 ⁽²⁾	FD2
2029	250,000	4.000	2.430 ⁽²⁾	FE0
2030	250,000	4.000	2.530 ⁽²⁾	FF7

\$1,500,000 – 3.000% Term Bonds due August 1, 2036 - Yield: 3.120%; CUSIP⁽¹⁾: FH3

\$6,450,000 – 4.000% Term Bonds due August 1, 2041 - Yield: 3.130%⁽²⁾; CUSIP⁽¹⁾: FJ9

⁽¹⁾ CUSIP is a registered trademark of the American Bankers Association. CUSIP data herein is provided by CUSIP Global Services (“CGS”), managed by S&P Capital IQ on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. None of the Underwriter, the Financial Advisor or the District is responsible for the selection or correctness of the CUSIP numbers set forth herein. CUSIP numbers have been assigned by an independent company not affiliated with the District, the Financial Advisor or the Underwriter and are included solely for the convenience of the registered owners of the applicable Bonds. The CUSIP number for a specific maturity is subject to being changed after the execution and delivery of the Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Bonds.

⁽²⁾ Yield to call at par on August 1, 2026.

This Official Statement does not constitute an offering of any security other than the original offering of the Bonds of the District. No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations other than as contained in this Official Statement, and if given or made, such other information or representation not so authorized should not be relied upon as having been given or authorized by the District.

The issuance and sale of the Bonds have not been registered under the Securities Act of 1933 or the Securities Exchange Act of 1934, both as amended, in reliance upon exemptions provided thereunder by Sections 3(a)2 and 3(a)12, respectively. This Official Statement does not constitute an offer to sell or a solicitation of an offer to buy in any state in which such offer or solicitation is not authorized or in which the person making such offer or solicitation is not qualified to do so or to any person to whom it is unlawful to make such offer or solicitation.

The information set forth herein, other than that provided by the District, has been obtained from sources which are believed to be reliable, but is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

When used in this Official Statement and in any continuing disclosure by the District in any press release and in any oral statement made with the approval of an authorized officer of the District or any other entity described or referenced in this Official Statement, the words or phrases “will likely result,” “are expected to,” “will continue,” “is anticipated,” “estimate,” “project,” “forecast,” “expect,” “intend” and similar expressions identify “forward looking statements” within the meaning of the Private Securities Litigation Reform Act of 1995. Such statements are subject to risks and uncertainties that could cause actual results to differ materially from those contemplated in such forward-looking statements. Any forecast is subject to such uncertainties. Inevitably, some assumptions used to develop the forecasts will not be realized and unanticipated events and circumstances may occur. Therefore, there are likely to be differences between forecasts and actual results, and those differences may be material.

The Underwriter has provided the following sentence for inclusion in this Official Statement: “The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.”

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITER MAY OVER-ALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICES OF THE BONDS AT LEVELS ABOVE THOSE WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITER MAY OFFER AND SELL THE BONDS TO CERTAIN DEALERS AND DEALER BANKS AND BANKS ACTING AS AGENT AT PRICES LOWER THAN THE PUBLIC OFFERING PRICES STATED ON THE INSIDE COVER PAGE HEREOF AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITER.

The District maintains a website. However, the information presented on the District’s website is not incorporated into this Official Statement by any reference, and should not be relied upon in making investment decisions with respect to the Bonds.

Assured Guaranty Municipal Corp. (“AGM”) makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, AGM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding AGM supplied by AGM and presented under the heading “THE BONDS – Bond Insurance” and “APPENDIX F – SPECIMEN MUNICIPAL BOND INSURANCE POLICY.”

LYNWOOD UNIFIED SCHOOL DISTRICT
(Los Angeles County, California)

Board of Education

Mari G. Lopez., *President*
Gary Hardie Jr., *Vice President*
Briseida Gonzalez, MSW, *Clerk*
Alfonso Morales, Esq., *Member*
Alma-Delia Renteria, *Member*

District Administration

Paul Gothold, *Superintendent*
Marlene Dunn, *Chief Business Official*

PROFESSIONAL SERVICES

Bond and Disclosure Counsel

Stradling Yocca Carlson & Rauth,
a Professional Corporation
San Francisco, California

Financial Advisor

Mission Trail Advisors LLC
San Francisco, California

Paying Agent

U.S. Bank National Association,
as agent of the Treasurer and Tax Collector of Los Angeles County
Los Angeles, California

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\$9,610,000
LYNWOOD UNIFIED SCHOOL DISTRICT
(Los Angeles County, California)
Election of 2012 General Obligation Bonds, Series C

INTRODUCTION

This Official Statement, which includes the cover page, inside cover page and appendices hereto, provides information in connection with the sale of the Lynwood Unified School District (Los Angeles County, California) Election of 2012 General Obligation Bonds, Series C (the “Bonds”).

This Introduction is not a summary of this Official Statement. It is only a brief description of and guide to, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page, inside cover page and appendices hereto, and the documents summarized or described herein. A full review should be made of the entire Official Statement. The offering of the Bonds to potential investors is made only by means of the entire Official Statement.

General

The Lynwood Unified School District (the “District”), formed in 1950, provides kindergarten through twelfth grade education services to residents in Los Angeles County, California (the “County”). The District encompasses an area of approximately 6.5 square miles, and includes most of the City of Lynwood. The District operates 12 elementary schools, three middle schools, two high schools, one continuation high school, one adult school and two child care centers. For fiscal year 2015-16, the District’s average daily attendance (“ADA”) is budgeted to be 14,198 students and taxable property within the District has an assessed valuation of \$2,840,280,380.

The District is governed by a five-member Board of Education (the “Board”), each member of which is elected to a four-year term. Elections for positions to the Board are held every two years, alternating between two and three available positions. The management and policies of the District are administered by a Superintendent appointed by the Board who is responsible for day-to-day District operations as well as the supervision of the District’s other key personnel. Mr. Paul Gothold is the District Superintendent.

Unless otherwise indicated, the following financial, statistical and demographic data has been provided by the District. Additional information concerning the District and copies of the most recent and subsequent audited financial reports of the District may be obtained by contacting: Lynwood Unified School District, 11321 Bullis Road, Lynwood, California 90262, Attention: Chief Business Official.

See “TAX BASE FOR REPAYMENT OF BONDS” for more information regarding the District’s assessed valuation, and “DISTRICT FINANCIAL INFORMATION” and “LYNWOOD UNIFIED SCHOOL DISTRICT” herein for more information regarding the District generally. The District’s audited financial statements for the fiscal year ended June 30, 2015 are attached hereto as APPENDIX B and should be read in their entirety. The discussion of the District’s financial history and the financial information contained herein does not purport to be complete or definitive.

Purpose of the Bonds

The proceeds from the sale of the Bonds will be used by the District to finance the repair, upgrading, acquisition, construction and equipping of District sites and facilities, and to pay the costs of issuing the Bonds. See “THE BONDS – Application and Investment of Bond Proceeds – Bonds” and “ESTIMATED SOURCES AND USES OF FUNDS – Bonds” herein.

Authority for Issuance of the Bonds

The Bonds are issued pursuant to certain provisions of the State of California Government Code and pursuant to a resolution adopted by the Board on March 8, 2016 (the “Resolution”). See “THE BONDS – Authority for Issuance” herein.

Sources of Payment for the Bonds

The Bonds are general obligations of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of the County is empowered and obligated to levy such *ad valorem* taxes, without limitation as to rate or amount, upon all property within the District subject to taxation by the District (except certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Bonds when due. See “THE BONDS – Security and Sources of Payment” and “TAX BASE FOR REPAYMENT OF BONDS” herein.

Description of the Bonds

Form and Registration. The Bonds will be issued in fully registered form only, without coupons. The Bonds will be initially registered in the name of Cede & Co., as nominee of The Depository Trust Company, New York, New York (“DTC”), who will act as securities depository for the Bonds. See “THE BONDS – General Provisions” and “– Book-Entry Only System” herein. Purchasers of the Bonds (the “Beneficial Owners”) will not receive physical certificates representing their interests in the Bonds purchased. In the event that the book-entry only system described below is no longer used with respect to the Bonds, the Bonds will be registered in accordance with the Resolution described herein. See “THE BONDS – Discontinuation of Book-Entry Only System; Registration, Payment and Transfer of Bonds” herein.

So long as Cede & Co. is the registered owner of the Bonds, as nominee of DTC, references herein to the “Owners,” “Bondowners” or “Holders” of the Bonds (other than under the caption “TAX MATTERS” and in APPENDIX A) will mean Cede & Co. and will not mean the Beneficial Owners of the Bonds.

Denominations. Individual purchases of interests in the Bonds will be available to purchasers of the Bonds in the denominations of \$5,000 principal amount or any integral multiples thereof.

Redemption. The Bonds are subject to optional redemption prior to their stated maturity dates, as further described herein. The Bonds are further subject to mandatory sinking fund redemption as further described herein. See “THE BONDS– Redemption” herein.

Payments. The Bonds will be dated as of the date of their initial execution and issuance (the “Date of Delivery”). The Bonds will be issued as current interest bonds, such that interest thereon will accrue from the Date of Delivery, and be payable semiannually on each February 1 and August 1,

commencing February 1, 2017 (each, a “Bond Payment Date”). Principal of the Bonds is payable on August 1 of each year, as shown on the inside cover page hereof.

Payments of the principal of and interest on the Bonds will be made by the designated paying agent, bond registrar and transfer agent (the “Paying Agent”), to DTC for subsequent disbursement through DTC Participants (defined herein) to the Beneficial Owners. U.S. Bank National Association has been appointed as agent of the Treasurer and Tax Collector (the “Treasurer”) of the County, to act as Paying Agent for the Bonds. See also “APPENDIX D – Book-Entry Only System” herein.

Bond Insurance. The scheduled payment of principal of and interest on the Bonds when due will be guaranteed under an insurance policy to be issued concurrently with the delivery of the Bonds by ASSURED GUARANTY MUNICIPAL CORP. See “THE BONDS – Bond Insurance” and “APPENDIX F – Specimen Municipal Bond Insurance Policy” herein.

Tax Matters

In the opinion of Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, Bond Counsel, based on existing statutes, regulations, rulings and judicial decisions and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest on the Bonds is exempt from State of California personal income tax. See “TAX MATTERS” herein.

Offering and Delivery of the Bonds

The Bonds are offered when, as and if issued, subject to approval as to their legality by Bond Counsel. It is anticipated that the Bonds in book-entry form will be available for delivery through DTC in New York, New York, on or about May 5, 2016.

Bond Owner’s Risks

The Bonds are general obligations of the District payable solely from *ad valorem* property taxes which are authorized to be levied on all taxable property in the District, without limitation as to rate or amount (except with respect to certain personal property which is taxable at limited rates). For more complete information regarding the District’s financial condition, see “DISTRICT FINANCIAL INFORMATION” and “LYNWOOD UNIFIED SCHOOL DISTRICT,” and for additional information regarding taxation of property within the District see “TAX BASE FOR REPAYMENT OF BONDS” herein.

Continuing Disclosure

The District has covenanted that it will comply with and carry out the provisions of that certain Continuing Disclosure Certificate relating to the Bonds. Pursuant thereto, the District will covenant for the benefit of the Owners and Beneficial Owners of the Bonds to make available certain financial information and operating data relating to the District and to provide notices of the occurrence of certain listed events. Such covenants will be made in order to assist the Underwriter (defined herein) to comply with S.E.C. Rule 15c2-12(b)(5) (the “Rule”). The specific nature of the information to be made available and of the notices of listed events is summarized below under “LEGAL MATTERS – Continuing

Disclosure” and “APPENDIX C – FORM OF CONTINUING DISCLOSURE CERTIFICATE FOR THE BONDS” herein.

Professionals Involved in the Offering

Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California, is acting as Bond Counsel and Disclosure Counsel to the District with respect to the Bonds. Mission Trail Advisors LLC, San Francisco, California, is acting as Financial Advisor to the District in connection with the Bonds. Stradling Yocca Carlson & Rauth, a Professional Corporation and Mission Trail Advisors LLC will receive compensation from the District contingent upon the sale and delivery of the Bonds. Certain matters will be passed on for the Underwriter by Norton Rose Fulbright US LLP, Los Angeles, California.

Forward Looking Statements

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking statements” within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Securities Exchange Act of 1934, as amended, and Section 27A of the United States Securities Act of 1933, as amended. Such statements are generally identifiable by the terminology used such as “plan,” “expect,” “estimate,” “project,” “intend,” “budget” or other similar words. Such forward-looking statements include, but are not limited to, certain statements contained in the information regarding the District herein.

The achievements of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The District does not plan to issue any updates or revisions to the forward-looking statements set forth in this Official Statement

Other Information

This Official Statement speaks only as of its date, and the information contained herein is subject to change. Copies of documents referred to herein and information concerning the Bonds are available from the Lynwood Unified School District, 11321 Bullis Road, Lynwood, California 90262, telephone: (310) 886-1600. The District may impose a charge for copying, mailing and handling.

No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations other than as contained herein and, if given or made, such other information or representations must not be relied upon as having been authorized by the District. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor shall there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

This Official Statement is not to be construed as a contract with the purchasers of the Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as representations of fact. The summaries and references to documents, statutes and constitutional

provisions referred to herein do not purport to be comprehensive or definitive, and are qualified in their entireties by reference to each such documents, statutes and constitutional provisions.

The information set forth herein, other than that provided by the District, has been obtained from official sources which are believed to be reliable but it is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

THE BONDS

Authority for Issuance

The Bonds are issued pursuant to the provisions of Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code of the State of California (the "Act"), commencing with Section 53506 *et seq.*, as amended, Article XIII A of the California Constitution and pursuant to the Resolution. The District received authorization at an election held on November 6, 2012, by the requisite fifty-five percent of the votes cast by eligible voters within the District to issue \$93,000,000 aggregate principal amount of general obligation bonds (the "2012 Authorization"). The Bonds are the third series of bonds issued under the 2012 Authorization, and following the issuance thereof, \$51,235,000 of the 2012 Authorization will remain unissued.

Security and Sources of Payment

The Bonds are general obligations of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of the County is empowered and obligated to levy such *ad valorem* taxes, without limitation as to rate or amount, for the payment of the principal of and interest on the Bonds, upon all property subject to taxation by the District (except certain personal property which is taxable at limited rates). The levy may include an allowance for an annual reserve, established for the purpose of avoiding fluctuating tax levies. The County, however, is not obligated to establish such a reserve, and the District can make no representation that the County will do so. Such taxes will be levied annually in addition to all other taxes during the period that the Bonds are outstanding in an amount sufficient to pay the principal of and interest on the Bonds when due. Such taxes, when collected, will be placed by the County in the Debt Service Fund (defined herein), which is segregated and held by the County and which is designated for the payment of the Bonds and interest thereon when due, and for no other purpose. Pursuant to the Resolution, the District has pledged funds on deposit in the Debt Service Fund to the payment of the Bonds. Although the County is obligated to levy *ad valorem* property taxes for the payment of the Bonds, and the County will maintain the Debt Service Fund, the Bonds are not a debt of the County.

Pursuant to Section 53515 of the State Government Code, enacted by Senate Bill 222 (Stats. 2015, Chapter 78), the Bonds will be secured by a statutory lien on all revenues received pursuant to the levy and collection of *ad valorem* property taxes for the payment thereof. The lien automatically attaches, without further action or authorization by the District Board, and is valid and binding from the time the Bonds are executed and delivered. The revenues received pursuant to the levy and collection of the *ad valorem* property tax will be immediately subject to the lien, and such lien will be enforceable against the

District, its successor, transferees and creditors, and all other parties asserting rights therein, irrespective of whether such parties have notice of the lien and without the need for physical delivery, recordation, filing or further act.

The moneys in the Debt Service Fund, to the extent necessary to pay the principal of and interest on the Bonds as the same becomes due and payable, shall be transferred by the County to the Paying Agent. The Paying Agent will in turn remit the funds to DTC for remittance of such principal and interest to its Participants (as defined herein) for subsequent disbursement to the Beneficial Owners of the Bonds.

The amount of the annual *ad valorem* property taxes levied by the County to repay the Bonds will be determined by the relationship between the assessed valuation of taxable property in the District and the amount of debt service due on the Bonds in any year. Fluctuations in the annual debt service on the Bonds and the assessed value of taxable property in the District may cause the annual tax rates to fluctuate. Economic and other factors beyond the District's control, such as general market decline in land values, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by the State of California (the "State") and local agencies and property used for qualified education, hospital, charitable or religious purposes), or the complete or partial destruction of the taxable property caused by a natural or manmade disaster, such as earthquake, fire, flood, drought or toxic contamination, could cause a reduction in the assessed value of taxable property within the District and necessitate a corresponding increase in the respective annual tax rates. For further information regarding the District's assessed valuation, tax rates, overlapping debt, and other matters concerning taxation, see "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution" and "TAX BASE FOR REPAYMENT OF BONDS" herein.

Considerations Regarding Bond Insurance. In the event of a default in the payment of principal of or interest on the Bonds, when all or some becomes due, any Owner may have a claim under the Policy (as defined herein) being secured in connection with the Bonds. The Policy may not insure against redemption premium, if any, with respect to the Bonds.

In the event that AGM (as defined herein) is unable to make payments of principal of or interest on the Bonds, as such payments become due under the Policy, the Bonds will be payable solely as otherwise described herein. In the event that AGM becomes obligated to make payments with respect to the Bonds, no assurance can be given that such event would not adversely affect the market price of the Bonds or the marketability or liquidity of the Bonds.

The long-term ratings on the Bonds will be dependent in part on the financial strength of AGM and its claim paying ability. AGM's financial strength and claims paying ability are predicated upon a number of factors which could change over time. No assurance is given that the long-term ratings of AGM and of the ratings on the Bonds insured by AGM will not be subject to downgrade, and such event could adversely affect the market price of the Bonds or the marketability or liquidity for the Bonds.

Neither the District nor Underwriter have made independent investigations into the claims paying ability of AGM and no assurance or representation regarding the financial strength or projected financial strength thereof is given. Thus, when making an investment decision, potential investors should carefully consider the ability of the District to pay principal and interest on the Bonds and the claims paying ability of AGM, particularly over the life of the investment.

Bond Insurance

Bond Insurance Policy. Concurrently with the issuance of the Bonds, Assured Guaranty Municipal Corp. (“AGM”) will issue its Municipal Bond Insurance Policy for the Bonds (the “Policy”). The Policy guarantees the scheduled payment of principal of and interest on the Bonds when due as set forth in the form of the Policy included as APPENDIX F to this Official Statement.

The Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

Assured Guaranty Municipal Corp. AGM is a New York domiciled financial guaranty insurance company and an indirect subsidiary of Assured Guaranty Ltd. (“AGL”), a Bermuda-based holding company whose shares are publicly traded and are listed on the New York Stock Exchange under the symbol “AGO”. AGL, through its operating subsidiaries, provides credit enhancement products to the U.S. and global public finance, infrastructure and structured finance markets. Neither AGL nor any of its shareholders or affiliates, other than AGM, is obligated to pay any debts of AGM or any claims under any insurance policy issued by AGM.

AGM’s financial strength is rated “AA” (stable outlook) by Standard and Poor’s Ratings Services, a Standard & Poor’s Financial Services LLC business (“S&P”), “AA+” (stable outlook) by Kroll Bond Rating Agency, Inc. (“KBRA”) and “A2” (stable outlook) by Moody’s Investors Service, Inc. (“Moody’s”). Each rating of AGM should be evaluated independently. An explanation of the significance of the above ratings may be obtained from the applicable rating agency. The above ratings are not recommendations to buy, sell or hold any security, and such ratings are subject to revision or withdrawal at any time by the rating agencies, including withdrawal initiated at the request of AGM in its sole discretion. In addition, the rating agencies may at any time change AGM’s long-term rating outlooks or place such ratings on a watch list for possible downgrade in the near term. Any downward revision or withdrawal of any of the above ratings, the assignment of a negative outlook to such ratings or the placement of such ratings on a negative watch list may have an adverse effect on the market price of any security guaranteed by AGM. AGM only guarantees scheduled principal and scheduled interest payments payable by the issuer of bonds insured by AGM on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the relevant insurance policy), and does not guarantee the market price or liquidity of the securities it insures, nor does it guarantee that the ratings on such securities will not be revised or withdrawn.

Current Financial Strength Ratings.

On June 29, 2015, S&P issued a credit rating report in which it affirmed AGM’s financial strength rating of “AA” (stable outlook). AGM can give no assurance as to any further ratings action that S&P may take.

On December 8, 2015, Moody’s published a credit opinion maintaining its existing insurance financial strength rating of “A2” (stable outlook) on AGM. AGM can give no assurance as to any further ratings action that Moody’s may take.

On December 10, 2015, KBRA issued a financial guaranty surveillance report in which it affirmed AGM’s insurance financial strength rating of “AA+” (stable outlook). AGM can give no assurance as to any further ratings action that KBRA may take.

For more information regarding AGM's financial strength ratings and the risks relating thereto, see AGL's Annual Report on Form 10-K for the fiscal year ended December 31, 2015.

Capitalization of AGM.

At December 31, 2015, AGM's policyholders' surplus and contingency reserve were approximately \$3,798 million and its net unearned premium reserve was approximately \$1,597 million. Such amounts represent the combined surplus, contingency reserve and net unearned premium reserve of AGM, AGM's wholly owned subsidiary Assured Guaranty (Europe) Ltd. and 60.7% of AGM's indirect subsidiary Municipal Assurance Corp.; each amount of surplus, contingency reserve and net unearned premium reserve for each company was determined in accordance with statutory accounting principles.

Incorporation of Certain Documents by Reference

Portions of the following document filed by AGL with the Securities and Exchange Commission (the "SEC") that relate to AGM are incorporated by reference into this Official Statement under this subheading and shall be deemed to be a part hereof: the Annual Report on Form 10-K for the fiscal year ended December 31, 2015 (filed by AGL with the SEC on February 26, 2016).

All consolidated financial statements of AGM and all other information relating to AGM included in, or as exhibits to, documents filed by AGL with the SEC pursuant to Section 13(a) or 15(d) of the Securities Exchange Act of 1934, as amended, excluding Current Reports or portions thereof "furnished" under Item 2.02 or Item 7.01 of Form 8-K, after the filing of the last document referred to above and before the termination of the offering of the Bonds shall be deemed incorporated by reference into this Official Statement and to be a part hereof from the respective dates of filing such documents. Copies of materials incorporated by reference are available over the internet at the SEC's website at <http://www.sec.gov>, at AGL's website at <http://www.assuredguaranty.com>, or will be provided upon request to Assured Guaranty Municipal Corp.: 31 West 52nd Street, New York, New York 10019, Attention: Communications Department (telephone (212) 974-0100). Except for the information referred to above, no information available on or through AGL's website shall be deemed to be part of or incorporated in this Official Statement.

Any information regarding AGM included herein under the caption "THE BONDS – Bond Insurance – Assured Guaranty Municipal Corp." or included in a document incorporated by reference herein (collectively, the "AGM Information") shall be modified or superseded to the extent that any subsequently included AGM Information (either directly or through incorporation by reference) modifies or supersedes such previously included AGM Information. Any AGM Information so modified or superseded shall not constitute a part of this Official Statement, except as so modified or superseded.

Miscellaneous Matters

AGM makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, AGM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding AGM supplied by AGM and presented under the heading "THE BONDS – Bond Insurance."

General Provisions

The Bonds will be issued in book-entry form only and will be initially issued and registered in the name of Cede & Co. Beneficial Owners will not receive certificates representing their interests in the Bonds.

Interest on the Bonds accrues from the Date of Delivery, and is payable on each Bond Payment Date, commencing February 1, 2017. Interest on the Bonds shall be computed on the basis of a 360-day year of twelve 30-day months. Each Bond shall bear interest from the Bond Payment Date next preceding the date of authentication thereof unless it is authenticated as of a day during the period from the 16th day of the month immediately preceding any Bond Payment Date to and including such Bond Payment Date, in which event it shall bear interest from such Bond Payment Date, or unless it is authenticated on or before January 15, 2017, in which event it shall bear interest from the Date of Delivery. The Bonds are issuable in denominations of \$5,000 principal amount, or any integral multiple thereof, and mature on August 1, in the years and amounts set forth on the inside cover page hereof.

The principal of the Bonds will be payable in lawful money of the United States of America to the registered Owner thereof, upon the surrender thereof at the principal office of the Paying Agent. The interest on the Bonds will be payable in lawful money to the person whose name appears on the bond registration books of the Paying Agent as the registered Owner thereof as of the 15th day of the month preceding any Bond Payment Date (a "Record Date"), whether or not such day is a business day, such interest to be paid by check or draft mailed on such Bond Payment Date to such registered Owner at such registered Owner's address as it appears on such registration books or at such address as the registered Owner may have filed with the Paying Agent for that purpose. The interest payments on the Bonds will be made in immediately available funds (e.g., by wire transfer) to any registered Owner of at least \$1,000,000 of such outstanding Bonds who shall have requested in writing such method of payment of interest on such Bonds prior to the close of business on the Record Date immediately preceding any Bond Payment Date.

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Annual Debt Service

The following table displays the annual debt service requirements of the District for the Bonds (assuming no optional redemptions):

Year Ending Aug. 1	Annual Principal Payment	Annual Interest Payment ⁽¹⁾	Total Annual Debt Service Payment
2016	--	--	--
2017	\$140,000.00	\$438,814.44	\$578,814.44
2018	145,000.00	351,400.00	496,400.00
2019	--	348,500.00	348,500.00
2020	50,000.00	348,500.00	398,500.00
2021	75,000.00	347,500.00	422,500.00
2022	25,000.00	346,000.00	371,000.00
2023	100,000.00	345,500.00	445,500.00
2024	135,000.00	342,500.00	477,500.00
2025	65,000.00	339,800.00	404,800.00
2026	75,000.00	338,500.00	413,500.00
2027	100,000.00	337,000.00	437,000.00
2028	250,000.00	333,000.00	583,000.00
2029	250,000.00	323,000.00	573,000.00
2030	250,000.00	313,000.00	563,000.00
2031	140,000.00	303,000.00	443,000.00
2032	130,000.00	298,800.00	428,800.00
2033	160,000.00	294,900.00	454,900.00
2034	165,000.00	290,100.00	455,100.00
2035	435,000.00	285,150.00	720,150.00
2036	470,000.00	272,100.00	742,100.00
2037	500,000.00	258,000.00	758,000.00
2038	530,000.00	238,000.00	768,000.00
2039	820,000.00	216,800.00	1,036,800.00
2040	2,210,000.00	184,000.00	2,394,000.00
2041	<u>2,390,000.00</u>	<u>95,600.00</u>	<u>2,485,600.00</u>
	<u>\$9,610,000.00</u>	<u>\$7,589,464.44</u>	<u>\$17,199,464.44</u>

⁽¹⁾ Interest payments on the Bonds will be made semiannually on February 1 and August 1 of each year, commencing February 1, 2017.

See “DISTRICT FINANCIAL INFORMATION – District Debt Structure – General Obligation Bonds” for a full table of the annual debt service requirements for the District’s outstanding general obligation bonded debt.

Application and Investment of Bond Proceeds

The Bonds are being issued to finance the repair, upgrading, acquisition, construction and equipping of District sites and facilities and to pay the costs of issuing the Bonds.

The net proceeds from the sale of the Bonds will be paid to the County to the credit of the “Lynwood Unified School District Election of 2012 General Obligation Bonds Series C Building Fund” (the “Building Fund”). Any premium received by the County from the sale of the Bonds will be kept separate and apart in the fund designated as the “Lynwood Unified School District Election of 2012 General Obligation Bonds, Series C Debt Service Fund” (the “Debt Service Fund”) and used only for payment of principal of and interest on the Bonds, and for no other purpose. Any excess proceeds of the

Bonds not needed for the authorized purposes for which the Bonds are being issued shall be transferred to the Debt Service Fund and applied to the payment of principal of and interest on the Bonds. If, after payment in full of the Bonds, there remain excess proceeds, any such excess amounts shall be transferred to the general fund of the District.

Moneys in the Debt Service Fund and the Building Fund are expected to be invested through the County's pooled investment fund. See "APPENDIX E – LOS ANGELES COUNTY TREASURY POOL" herein.

Redemption

Optional Redemption. The Bonds maturing on and before August 1, 2026 are not subject to redemption prior to their fixed maturity dates. The Bonds maturing on and after August 1, 2027 may be redeemed prior to their respective stated maturity dates at the option of the District, from any source of funds, in whole or in part, on August 1, 2026 or on any date thereafter, at a redemption price equal to the principal amount of such Bonds called for redemption, together with interest accrued thereon to the date fixed for redemption, without premium.

Mandatory Redemption. The Bonds maturing on August 1, 2036, are subject to redemption prior to maturity from mandatory sinking fund payments on August 1 of each year, on and after August 1, 2031, at a redemption price equal to the principal amount thereof, together with accrued interest to the date fixed for redemption, without premium. The principal amount of such Bonds to be so redeemed and the dates therefor and the final payment date is as indicated in the following table:

Year Ending <u>August 1</u>	Principal <u>To Be Redeemed</u>
2031	\$140,000
2032	130,000
2033	160,000
2034	165,000
2035	435,000
2036 ⁽¹⁾	470,000

⁽¹⁾ Maturity.

The Bonds maturing on August 1, 2041, are subject to redemption prior to maturity from mandatory sinking fund payments on August 1 of each year, on and after August 1, 2037, at a redemption price equal to the principal amount thereof, together with accrued interest to the date fixed for redemption, without premium. The principal amount of such Bonds to be so redeemed and the dates therefor and the final payment date is as indicated in the following table:

Year Ending <u>August 1</u>	Principal <u>To Be Redeemed</u>
2037	\$500,000
2038	530,000
2039	820,000
2040	2,210,000
2041 ⁽¹⁾	2,390,000

⁽¹⁾ Maturity.

Selection of Bonds for Redemption. Whenever provision is made for the optional redemption of Bonds and less than all Bonds are to be redeemed, the Paying Agent, upon written instruction from the District, will select Bonds for redemption as so directed and if not directed, in inverse order of maturity. Within a maturity, the Paying Agent will select Bonds for redemption by lot. Redemption by lot will be in such manner as the Paying Agent shall determine; provided, however, that with respect to redemption by lot, the portion of any Bond to be redeemed in part will be in the principal amount of \$5,000 or any integral multiple thereof.

Redemption Notice. When redemption is authorized or required pursuant to the Resolution, the Paying Agent, upon written instruction from the District, will give notice (a "Redemption Notice") of the redemption of the Bonds. Each Redemption Notice will specify (a) the Bonds or designated portions thereof (in the case of redemption of the Bonds in part but not in whole) which are to be redeemed, (b) the date of redemption, (c) the place or places where the redemption will be made, including the name and address of the Paying Agent, (d) the redemption price, (e) the CUSIP numbers (if any) assigned to the Bonds to be redeemed, (f) the Bond numbers of the Bonds to be redeemed in whole or in part and, in the case of any Bond to be redeemed in part only, the principal amount of such Bond to be redeemed, and (g) the original issue date, interest rate and stated maturity date of each Bond to be redeemed in whole or in part.

The Paying Agent will take the following actions with respect to each such Redemption Notice: (a) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given to the respective Owners of Bonds designated for redemption by registered or certified mail, postage prepaid, at their addresses appearing on the bond register; (b) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given by registered or certified mail, postage prepaid, telephonically confirmed facsimile transmission, or overnight delivery service, to the Securities Depository; (c) at least 20 but not more than 45 days prior to the redemption date, such Redemption Notice will be given by registered or certified mail, postage prepaid, or overnight delivery service, to one of the Information Services; and (d) provide a Redemption Notice to such other persons as may be required pursuant to the Continuing Disclosure Certificate.

"Information Services" means Financial Information, Inc.'s "Daily Called Bond Service," 1 Cragwood Road, 2nd Floor, South Plainfield, New Jersey 07080, Attention: Editor; Mergent Inc., 585 Kingsley Park Drive, Fort Mill, South Carolina 29715, Attention: Called Bond Department; and Standard and Poor's J.J. Kenny Information Services' "Called Bond Record," 55 Water Street, 45th Floor, New York, New York 10041.

"Securities Depository" shall mean The Depository Trust Company, 55 Water Street, New York, New York 10041.

A certificate of the Paying Agent or the District that a Redemption Notice has been given as provided in the Resolution will be conclusive as against all parties. Neither failure to receive any Redemption Notice nor any defect in any such Redemption Notice so given will affect the sufficiency of the proceedings for the redemption of the affected Bonds. Each check issued or other transfer of funds made by the Paying Agent for the purpose of redeeming Bonds will bear or include the CUSIP number identifying, by issue and maturity, the Bonds being redeemed with the proceeds of such check or other transfer.

Payment of Redeemed Bonds. When a Redemption Notice has been given substantially as described above, and, when the amount necessary for the redemption of the Bonds called for redemption (principal, interest, and premium, if any) is irrevocably set aside in trust for that purpose, as described in

“—Defeasance,” the Bonds designated for redemption in such notice will become due and payable on the date fixed for redemption thereof and upon presentation and surrender of said Bonds at the place specified in the Redemption Notice, said Bonds will be redeemed and paid at the redemption price out of such funds. All unpaid interest payable at or prior to the redemption date will continue to be payable to the respective Owners, but without interest thereon.

Partial Redemption of Bonds. Upon the surrender of any Bond redeemed in part only, the Paying Agent will execute and deliver to the Owner thereof a new Bond or Bonds of like tenor and maturity and of authorized denominations equal in principal amounts to the unredeemed portion of the Bond surrendered. Such partial redemption is valid upon payment of the amount required to be paid to such Owner, and the County and the District will be released and discharged thereupon from all liability to the extent of such payment.

Effect of Redemption Notice. If on the applicable designated redemption date, money for the redemption of the Bonds to be redeemed, together with interest to such redemption date, is held by an independent escrow agent selected by the District so as to be available therefor on such redemption date as described in “—Defeasance,” and if a Redemption Notice thereof will have been given substantially as described above, then from and after such redemption date, interest on the Bonds to be redeemed shall cease to accrue and become payable.

Rescission of Redemption Notice. With respect to any Redemption Notice in connection with the optional redemption of Bonds (or portions thereof) as described above, unless upon the giving of such notice such Bonds or portions thereof shall be deemed to have been defeased as described in “—Defeasance,” such Redemption Notice will state that such redemption will be conditional upon the receipt by an independent escrow agent selected by the District, on or prior to the date fixed for such redemption, of the moneys necessary and sufficient to pay the principal, premium, if any, and interest on, such Bonds (or portions thereof) to be redeemed, and that if such moneys shall not have been so received said Redemption Notice will be of no force and effect, no portion of the Bonds will be subject to redemption on such date and such Bonds will not be required to be redeemed on such date. In the event that such Redemption Notice contains such a condition and such moneys are not so received, the redemption will not be made and the Paying Agent will within a reasonable time thereafter (but in no event later than the date originally set for redemption) give notice to the persons to whom and in the manner in which the Redemption Notice was given that such moneys were not so received. In addition, the District will have the right to rescind any Redemption Notice, by written notice to the Paying Agent, on or prior to the date fixed for such redemption. The Paying Agent will distribute a notice of the rescission of such Redemption Notice in the same manner as such notice was originally provided.

Bonds No Longer Outstanding. When any Bonds (or portions thereof), which have been duly called for redemption prior to maturity, or with respect to which irrevocable instructions to call for redemption prior to maturity at the earliest redemption date have been given to the Paying Agent, in form satisfactory to it, and sufficient moneys shall be held irrevocably in trust for the payment of the redemption price of such Bonds or portions thereof, and, accrued interest thereon to the date fixed for redemption, then such Bonds will no longer be deemed outstanding and shall be surrendered to the Paying Agent for cancellation.

Book-Entry Only System

The information under this caption concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy or completeness thereof. The District cannot and does not give any assurances that DTC, Direct Participants or Indirect Participants (as defined herein) (collectively, the "DTC Participants") will distribute to the Beneficial Owners (a) payments of interest, principal or premium, if any, with respect to the Bonds, (b) certificates representing ownership interest in or other confirmation or ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will so do on a timely basis or that DTC, Direct Participants or Indirect Participants will act in the manner described in this Official Statement. The current "Rules" applicable to DTC are on file with the Securities and Exchange Commission and the current "Procedures" of DTC to be followed in dealing with DTC Participants are on file with DTC.

The Depository Trust Company ("DTC"), New York, NY, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Bond certificate will be issued for each of maturity of the Bonds, each in the aggregate principal amount of such bond, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com. However, the information presented on such website is not incorporated herein by any reference to such website.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The Beneficial Owner is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not

receive certificates representing their ownership interests in Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the Record Date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds or distributions on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the District or Paying Agent, on the payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Paying Agent, or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds or distributions to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or the Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the District or the Paying Agent. Under such circumstances, in the event

that a successor depository is not obtained, Bond certificates are required to be printed and delivered. The District may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.

Discontinuation of Book-Entry Only System; Registration, Payment and Transfer of Bonds

So long as any of the Bonds remain outstanding, the District will cause the Paying Agent to maintain at its principal office all books and records necessary for the registration, exchange and transfer of such Bonds, which shall at all times be open to inspection by the District, and, upon presentation for such purpose, the Paying Agent shall, under such reasonable regulations as it may prescribe, register, exchange or transfer or cause to be registered, exchanged or transferred, on said books, Bonds as provided in the Resolution.

In the event that the book-entry only system as described herein is no longer used with respect to the Bonds, the following provisions will govern the registration, transfer, and exchange of the Bonds.

The principal of, premium and interest on the Bonds upon the redemption thereof will be payable in lawful money of the United States of America upon presentation and surrender of the Bonds at the principal trust office of the Paying Agent. Interest on the Bonds will be paid by the Paying Agent by check or draft mailed to the person whose name appears on the registration books of the Paying Agent as the registered Owner, and to that person's address appearing on the registration books as of the close of business on the Record Date. At the written request of any registered Owner of Bonds of at least \$1,000,000 in aggregate principal amount, interest payments thereon shall be wired to a bank and account number on file with the Paying Agent as of the Record Date.

Any Bond may be exchanged for Bonds of like tenor, maturity and Transfer Amount (which with respect to any outstanding Bonds means the principal amount thereof, as applicable) upon presentation and surrender at the principal trust office of the Paying Agent, together with a request for exchange signed by the registered Owner or by a person legally empowered to do so in a form satisfactory to the Paying Agent. A Bond may be transferred only on the Bond Register by the person in whose name it is registered, in person or by his duly authorized attorney, upon surrender of such Bond for cancellation at the office of the Paying Agent, accompanied by delivery of a written instrument of transfer in a form approved by the Paying Agent, duly executed. Upon exchange or transfer, the Paying Agent shall register, authenticate and deliver a new Bond or Bonds of like tenor and of any authorized denomination or denominations requested by the Owner equal to the Transfer Amount of the Bond surrendered and bearing interest at the same rate and maturing on the same date.

Neither the District nor the Paying Agent will be required (a) to issue or transfer any Bonds during a period beginning with the opening of business on the 16th day next preceding any Bond Payment Date, the stated maturity of any of the Bonds or any date of selection of Bonds to be redeemed and ending with the close of business on the applicable Bond Payment Date, the close of business on the applicable stated maturity date or any day on which the applicable notice of redemption is given or (b) to transfer any Bonds which have been selected or called for redemption in whole or in part.

Defeasance

All or any portion of the outstanding maturities of the Bonds may be defeased prior to maturity in the following ways:

(a) Cash: by irrevocably depositing with an independent escrow agent selected by the District an amount of cash which together with amounts transferred from the Debt Service Fund (if any) is sufficient to pay all such Bonds outstanding and designated for defeasance (including all principal thereof, interest thereon and redemption premium, if any) at or before their maturity date; or

(b) Government Obligations: by irrevocably depositing with an independent escrow agent selected by the District noncallable Government Obligations together with cash, if required, together with interest to accrue thereon and moneys transferred from the Debt Service Fund (if any), in such amount as will, together with the interest to accrue thereon, in the opinion of an independent certified public accountant, be fully sufficient to pay and discharge all Bonds outstanding and designated for defeasance (including all principal thereof, interest thereon and redemption premium, if any) at or before their maturity date;

then, notwithstanding that any Bonds shall not have been surrendered for payment, all obligations of the District with respect to all outstanding Bonds shall cease and terminate, except only the obligation of the independent escrow agent selected by the District to pay or cause to be paid from funds deposited pursuant to paragraphs (a) or (b) above, to the Owners of the Bonds not so surrendered and paid all sums due with respect thereto.

“Government Obligations” means direct and general obligations of the United States of America, or obligations that are unconditionally guaranteed as to principal and interest by the United States of America (which may consist of obligations of the Resolution Funding Corporation that constitute interest strips). In the case of direct and general obligations of the United States of America, Government Obligations shall include evidences of direct ownership of proportionate interests in future interest or principal payments of such obligations. Investments in such proportionate interests must be limited to circumstances where (a) a bank or trust company acts as custodian and holds the underlying United States obligations; (b) the owner of the investment is the real party in interest and has the right to proceed directly and individually against the obligor of the underlying United States obligations; and (c) the underlying United States obligations are held in a special account, segregated from the custodian’s general assets, and are not available to satisfy any claim of the custodian, any person claiming through the custodian, or any person to whom the custodian may be obligated; provided that such obligations are rated or assessed at least as high as direct or general obligations of the United States of America by Moody’s Investors Service (“Moody’s”) or Standard & Poor’s Ratings Service, a Standard & Poor’s Financial Services LLC, business (“S&P”).

ESTIMATED SOURCES AND USES OF FUNDS

The proceeds of the Bonds are expected to be applied as follows:

Sources of Funds

Principal Amount of Bonds	\$9,610,000.00
Net Original Issue Premium	<u>611,437.05</u>
Total Sources	<u>\$10,221,437.05</u>

Uses of Funds

Costs of Issuance ⁽¹⁾	\$283,152.60
Deposit to Building Fund	9,000,000.00
Deposit to Debt Service Fund	<u>938,284.45</u>
Total Uses	<u>\$10,221,437.05</u>

⁽¹⁾ Reflects all costs of issuance, including the underwriting discount, legal and financial advisory fees, bond insurance premium, printing costs, rating agency fees, and the costs and fees of the Paying Agent.

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TAX BASE FOR REPAYMENT OF BONDS

The information in this section describes ad valorem property taxation, assessed valuation, and other measures of the tax base of the District. The Bonds are payable solely from ad valorem property taxes levied and collected by the County on taxable property in the District. The District's general fund is not a source for the repayment of the Bonds.

Ad Valorem Property Taxation

District property taxes are assessed and collected by the County at the same time and on the same tax rolls as county, city and special district taxes. Assessed valuations are the same for both District and County taxing purposes.

Taxes are levied for each fiscal year on taxable real and personal property which is located within the boundaries of the District as of the preceding January 1. For assessment and collection purposes, property is classified either as "secured" or "unsecured" and is listed accordingly on separate parts of the assessment roll. The "secured roll" is that part of the assessment roll containing State assessed public utilities property and real property having a tax lien which is sufficient, in the opinion of the assessor, to secure payment of the taxes. Property not attached to land, such as personal or business property, is assessed on the "unsecured roll." A supplemental roll is developed when property changes hands or new construction is completed. The County levies and collects all property taxes for property falling within the County's taxing boundaries.

The valuation of secured property is established as of January 1 and is subsequently equalized in August. Property taxes are payable in two installments, due November 1 and February 1 respectively and become delinquent on December 10 and April 10 respectively. A 10% penalty attaches to any delinquent installment, plus a minimum \$10 cost on the second installment, plus any additional amount determined by the Treasurer. Property on the secured roll with delinquent taxes is declared tax-defaulted on or about the end of the County's fiscal year. Such property may thereafter be redeemed by payment of the delinquent taxes and the delinquency penalty, plus a redemption penalty of 1.5% per month to the time of redemption, and a redemption fee. If taxes are unpaid for a period of five years or more, the property is subject to sale by the tax-collecting authority of the County.

Property taxes on the unsecured roll are due as of the January 1 lien date and become delinquent if they are not paid by August 31. In the case of unsecured property taxes, a 10% penalty attaches to delinquent taxes on property on the unsecured roll, and an additional penalty of 1.5% per month begins to accrue beginning November 1 of the fiscal year, and a lien may be recorded against the assessee. The taxing authority has four ways of collecting unsecured personal property taxes: (1) a civil action against the assessee; (2) filing a certificate in the office of the County Clerk specifying certain facts in order to obtain a judgment lien on specific property of the assessee; (3) filing a certificate of delinquency for record in the County Recorder's office in order to obtain a lien on specified property of the assessee; and (4) seizure and sale of personal property, improvements or possessory interests belonging or assessed to the assessee. See also "—Tax Levies, Collections and Delinquencies" herein.

State law exempts from taxation \$7,000 of the full cash value of an owner-occupied dwelling, but this exemption does not result in any loss of revenue to local agencies, since the State reimburses local agencies for the value of the exemptions.

All property is assessed using full cash value as defined by Article XIII A of the State Constitution. State law provides exemptions from *ad valorem* property taxation for certain classes of property such as churches, colleges, non-profit hospitals, and charitable institutions.

Future assessed valuation growth allowed under Article XIII A (new construction, certain changes of ownership, 2% inflation) is allocated on the basis of “situs” among the jurisdictions that serve the tax rate area within which the growth occurs. Local agencies, including school districts, will share the growth of “base” revenues from the tax rate area. Each year’s growth allocation becomes part of each agency’s allocation in the following year.

Assessed Valuations

Property within the District has a total assessed valuation for fiscal year 2015-16 of \$2,840,280,380. The following table represents the eight-year history of assessed valuations in the District.

ASSESSED VALUATIONS Fiscal Year 2008-09 through 2015-16 Lynwood Unified School District					
	<u>Local Secured</u>	<u>Utility</u>	<u>Unsecured</u>	<u>Total</u>	<u>% Change</u>
2008-09	\$2,584,382,228	\$717	\$57,936,529	\$2,642,319,474	--
2009-10	2,642,359,573	694	57,940,355	2,700,300,622	2.19%
2010-11	2,549,725,477	779	56,904,809	2,606,631,065	(3.47)
2011-12	2,581,850,285	969	66,053,239	2,647,904,493	1.58
2012-13	2,639,443,562	977	64,276,774	2,703,721,313	2.11
2013-14	2,543,721,589	191	49,781,806	2,593,503,586	(4.08)
2014-15	2,649,918,098	182	50,347,466	2,700,265,746	4.12
2015-16	2,788,078,961	177	52,201,242	2,840,280,380	5.19

Source: California Municipal Statistics, Inc.

Economic and other factors beyond the District’s control, such as general market decline in property values, disruption in financial markets that may reduce availability of financing for purchasers of property, reclassification of property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by the State and local agencies and property used for qualified education, hospital, charitable or religious purposes), or the complete or partial destruction of the taxable property caused by a natural or manmade disaster, such as earthquake, drought, fire, flood or toxic contamination could cause a reduction in the assessed value of taxable property within the boundaries of the District. Any such reduction would result in a corresponding increase in the annual tax rates levied by the County to pay the debt service with respect to the Bonds. See “THE BONDS – Security and Sources of Payment” herein.

Drought. On January 17, 2014, the State Governor (the “Governor”) declared a state-wide Drought State of Emergency. As of such date, the State faced water shortfalls due to the driest year in recorded State history; the State’s rivers and reservoirs were below their record low levels, and manual and electronic readings recorded the water content of snowpack at the highest elevations in the State (chiefly in the Sierra Nevada mountain range) at about 20% of normal average for the winter season. As part of his State of Emergency declaration, the Governor directed State officials to assist agricultural producers and communities that may be economically impacted by dry conditions. Following the Governor’s declaration, the California State Water Resources Control Board (the “Water Board”) issued a statewide notice of water shortages and potential future curtailment of water right diversions. On

April 1, 2015, the Governor issued an executive order mandating certain conservation measures including a requirement that the Water Board impose restrictions to achieve a statewide 25% reduction in urban water usage through February 28, 2016. On May 5, 2015, the Water Board adopted an emergency regulation to implement the Governor's April 1, 2015 executive order, the provisions of which went into effect on May 18, 2015. On November 13, 2015, the Governor issued an executive order directing the Water Board to extend the emergency water conservation regulation should the drought conditions persist through January 2016. Following the Governor's executive order, and a result of the State's continuing severe drought, on February 2, 2016, the Water Board adopted a revised emergency regulation to extend water conservation mandates through the end of October 2016.

The District cannot make any representation regarding the effects that the current drought has had, or, if it should continue, may have on the value of taxable property within the boundaries of the District, or to what extent the drought could cause disruptions to property values or economic activity within the boundaries of the District.

Appeals and Adjustments of Assessed Valuation. Under State law, property owners may apply for a reduction of their property tax assessment by filing a written application, in form prescribed by the State Board of Equalization (the "SBE"), with the appropriate county board of equalization or assessment appeals board. In most cases, the appeal is filed because the applicant believes that present market conditions (such as residential home prices) cause the property to be worth less than its current assessed value. Any reduction in the assessment ultimately granted as a result of such appeal applies to the year for which application is made and during which the written application was filed. Such reductions are subject to yearly reappraisals and may be adjusted back to their original values when market conditions improve. Once the property has regained its prior value, adjusted for inflation, it once again is subject to the annual inflationary factor growth rate allowed under Article XIII A. See "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution" herein.

A second type of assessment appeal involves a challenge to the base year value of an assessed property. Appeals for reduction in the base year value of an assessment, if successful, reduce the assessment for the year in which the appeal is taken and prospectively thereafter. The base year is determined by the completion date of new construction or the date of change of ownership. Any base year appeal must be made within four years of the change of ownership or new construction date.

In addition to the above-described taxpayer appeals, county assessors may independently reduce assessed valuations based on changes in the market value of property, or for other factors such as the complete or partial destruction of taxable property caused by natural or man-made disasters such as earthquakes, floods, fire, drought or toxic contamination pursuant to relevant provisions of the State Constitution. See also "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution" herein. Such reductions are subject to yearly reappraisals by the county assessor and may be adjusted back to their original values when real estate market conditions improve. Once property has regained its prior assessed value, adjusted for inflation, it once again is subject to the annual inflationary growth rate factor allowed under Article XIII A.

No assurance can be given that property tax appeals in the future will not significantly reduce the assessed valuation of property within the boundaries of the District.

Assessed Valuation by Land Use. The following table shows the distribution of taxable property within the District by principal use, as measured by assessed valuation and parcels in fiscal year 2015-16.

ASSESSED VALUATION AND PARCELS BY LAND USE
Fiscal Year 2015-16
Lynwood Unified School District

	2015-16	% of	No. of	% of
<u>Non-Residential:</u>	<u>Assessed Valuation</u>⁽¹⁾	<u>Total</u>	<u>Parcels</u>	<u>Total</u>
Commercial	\$315,325,176	11.31%	594	5.61%
Vacant Commercial	33,186,750	1.19	133	1.26
Industrial	174,776,224	6.27	181	1.71
Vacant Industrial	6,079,321	0.22	39	0.37
Recreational	323,668	0.01	2	0.02
Government/Social/Institutional	27,142,259	0.97	75	0.71
Miscellaneous	<u>10,987,999</u>	<u>0.39</u>	<u>156</u>	<u>1.47</u>
Subtotal Non-Residential	\$567,821,397	20.37%	1,180	11.14%
<u>Residential:</u>				
Single Family Residence	\$1,503,155,412	53.91%	7,292	68.81%
Condominium/Townhouse	9,865,970	0.35	49	0.46
Mobile Home Park	1,505,753	0.05	1	0.01
2-4 Residential Units	466,548,165	16.73	1,546	14.59
5+ Residential Units/Apartments	230,135,893	8.25	383	3.61
Vacant Residential	<u>9,046,371</u>	<u>0.32</u>	<u>146</u>	<u>1.38</u>
Subtotal Residential	\$2,220,257,564	79.63%	9,417	88.86%
Total	\$2,788,078,961	100.00%	10,597	100.00%

⁽¹⁾ Local Secured Assessed Valuation, excluding tax-exempt property.
Source: California Municipal Statistics, Inc.

Assessed Valuation of Single Family Homes. The following table shows the distribution of single family homes within the District among various fiscal year 2015-16 assessed valuation ranges, as well as the average and median assessed valuation of single family homes within the District.

ASSESSED VALUATION OF SINGLE FAMILY HOMES
Fiscal Year 2015-16
Lynwood Unified School District

	No. of Parcels	2015-16 Assessed Valuation	Average Assessed Valuation	Median Assessed Valuation
Single Family Residential	7,292	\$1,503,155,412	\$206,138	\$208,941

2015-16 Assessed Valuation	No. of Parcels⁽¹⁾	% of Total	Cumulative % of Total	Total Valuation	% of Total	Cumulative % of Total
\$0 - \$24,999	27	0.370%	0.370%	\$554,247	0.037%	0.037%
\$25,000 - \$49,999	460	6.308	6.679	18,096,123	1.204	1.241
\$50,000 - \$74,999	360	4.937	11.615	21,904,401	1.457	2.698
\$75,000 - \$99,999	251	3.442	15.058	22,193,718	1.476	4.174
\$100,000 - \$124,999	274	3.758	18.815	31,164,120	2.073	6.248
\$125,000 - \$149,999	427	5.856	24.671	59,221,986	3.940	10.188
\$150,000 - \$174,999	613	8.406	33.077	99,640,967	6.629	16.816
\$175,000 - \$199,999	922	12.644	45.721	173,361,375	11.533	28.349
\$200,000 - \$224,999	866	11.876	57.597	183,812,307	12.228	40.578
\$225,000 - \$249,999	717	9.833	67.430	169,666,824	11.287	51.865
\$250,000 - \$274,999	679	9.312	76.742	178,091,011	11.848	63.713
\$275,000 - \$299,999	572	7.844	84.586	164,285,781	10.929	74.643
\$300,000 - \$324,999	473	6.487	91.072	147,453,973	9.810	84.452
\$325,000 - \$349,999	336	4.608	95.680	113,155,968	7.528	91.980
\$350,000 - \$374,999	166	2.276	97.957	59,888,765	3.984	95.964
\$375,000 - \$399,999	91	1.248	99.205	35,024,550	2.330	98.294
\$400,000 - \$424,999	29	0.398	99.602	11,861,553	0.789	99.083
\$425,000 - \$449,999	11	0.151	99.753	4,753,726	0.316	99.400
\$450,000 - \$474,999	6	0.082	99.835	2,756,445	0.183	99.583
\$475,000 - \$499,999	5	0.069	99.904	2,421,602	0.161	99.744
\$500,000 and greater	7	0.096	100.000	3,845,970	0.256	100.000
Total	7,292	100.000%		\$1,503,155,412	100.000%	

⁽¹⁾ Improved single family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

Tax Levies, Collections and Delinquencies

The following tables show secured *ad valorem* property tax levies within the District and the amounts delinquent as of June 30, for fiscal years 2007-08 through 2014-15.

SECURED TAX CHARGES AND DELINQUENCIES Fiscal Years 2007-08 through 2014-15 Lynwood Unified School District

	Secured Tax Charge⁽¹⁾	Amt. Del. June 30	% Del. June 30
2007-08	\$4,853,863.02	\$243,383.12	5.01%
2008-09	5,063,453.35	237,977.44	4.70
2009-10	5,162,233.89	177,701.98	3.44
2010-11	5,005,734.02	120,482.19	2.41
2011-12	5,107,569.09	106,906.33	2.09
2012-13	5,243,143.50	94,510.33	1.80
2013-14	5,043,146.43	74,574.43	1.48
2014-15	5,269,881.40	76,141.83	1.44

	Secured Tax Charge⁽²⁾	Amt. Del. June 30	% Del. June 30
2007-08	\$1,059,155.17	\$104,074.22	9.83%
2008-09	1,144,604.51	94,094.21	8.22
2009-10	1,132,866.95	124,099.50	10.95
2010-11	1,244,197.60	128,470.11	10.33
2011-12	1,317,151.73	130,247.54	9.89
2012-13	1,320,062.13	120,789.09	9.15
2013-14	3,027,205.86	83,746.91	2.77
2014-15	2,239,900.99	56,583.65	2.53

⁽¹⁾ 1% General Fund apportionment. Excludes Successor Agency impounds. Reflects county-wide delinquency rate.

⁽²⁾ General obligation bond debt service levy.

Source: California Municipal Statistics, Inc.

Alternative Method of Tax Apportionment – “Teeter Plan”

Certain counties in the State of California operate under a statutory program entitled Alternate Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the “Teeter Plan”). Under the Teeter Plan local taxing entities receive 100% of their tax levies net of delinquencies, but do not receive interest or penalties on delinquent taxes collected by the county. Los Angeles County has not adopted the Teeter Plan, and consequently the Teeter Plan is not available to local taxing entities within the County, such as the District. The District’s receipt of property taxes is therefore subject to delinquencies.

The District participates in the California Statewide Delinquent Tax Finance Authority (“CSDTFA”). CSDTFA is a joint exercise of powers agency formed for the purpose of purchasing delinquent ad valorem property taxes of its members in accordance with Section 6516.6 of the Government Code of the State of California. The District anticipates that CSDTFA will from time to time purchase delinquent ad valorem property tax receivables from the District. For the most recent fiscal year for which CSDTFA purchased delinquencies (the 2014-15 fiscal year), such delinquencies were purchased from the District at a price equal to 110% thereof. Any penalty charges collected with respect to such delinquencies will be retained by CSDTFA. CSDTFA does not ensure that the District will receive the timely payment of ad valorem property taxes levied to secure general obligation bonds of the District.

Tax Rates

A representative tax rate areas (a “TRA”) located within the boundaries of the District is TRAs 6089. The tables below show the total *ad valorem* property tax rates, as a percentage of assessed valuation, levied by all taxing entities in this TRA during the five-year period from fiscal years 2011-12 through 2015-16.

SUMMARY OF AD VALOREM PROPERTY TAX RATES

Fiscal Years 2011-12 through 2015-16

Typical Total Tax Rates (TRA 6089)⁽¹⁾

Lynwood Unified School District

	<u>2011-12</u>	<u>2012-13</u>	<u>2013-14</u>	<u>2014-15</u>	<u>2015-16</u>
General	1.000000%	1.000000%	1.000000%	1.000000%	1.000000%
City of Lynwood	.125000	.125000	.125000	.125000	.125000
Lynwood Unified School District	.051710	.050589	.120048	.084892	.095833
Compton Community College District	.020830	.025618	.023214	.023799	.022019
Metropolitan Water District	<u>.003700</u>	<u>.003500</u>	<u>.003500</u>	<u>.003500</u>	<u>.003500</u>
Total	1.201240%	1.204707%	1.271762%	1.1237191%	1.246352%

⁽¹⁾ Fiscal year assessed valuation of property within TRA 6089 is \$1,869,103,621, representing 65.8% of the District’s total assessed valuation.

Source: California Municipal Statistics, Inc.

Principal Taxpayers

The following table lists the major taxpayers in the boundaries of the District based on their fiscal year 2015-16 secured assessed valuations.

LARGEST LOCAL SECURED TAXPAYERS

Fiscal Year 2015-16

Lynwood Unified School District

	<u>Property Owner</u>	<u>2015-16 Primary Land Use</u>	<u>% of Assessed Valuation</u>	<u>Total⁽¹⁾</u>
1.	Plamex Investment LLC	Shopping Center	\$43,429,603	1.56%
2.	Duke Realty LP	Industrial	39,839,321	1.43
3.	Lynwood Alameda Corp.	Industrial	21,321,352	0.76
4.	Albi Lynwood Investments LLC	Medical Buildings	18,232,276	0.65
5.	NHP PMB St. Francis Lynwood Medical Plaza	Medical Buildings	17,714,490	0.64
6.	VK Atlantic Avenue LLC	Shopping Center	16,064,685	0.58
7.	805 Property LLC	Commercial	12,415,485	0.45
8.	Susan Parr	Medical Buildings	11,162,857	0.40
9.	Urban LLC	Shopping Center	10,998,455	0.39
10.	Sohail S. Mahboubian	Medical Buildings	10,116,559	0.36
11.	Melcar Investments LP	Apartments	9,107,058	0.33
12.	BGN Properties Palm Gate LP	Apartments	8,462,753	0.30
13.	Nova Storage Lynwood LP	Industrial	7,489,857	0.27
14.	Sunshine Capital Group LLC	Medical Buildings	6,958,847	0.25
15.	PCCR USA Inc.	Industrial	6,929,639	0.25
16.	Kurt S. and Sandra L. Demeire	Apartments	6,786,220	0.24
17.	JWM Ventures LLC	Industrial	6,436,000	0.23
18.	Suncor Lynwood LLC	Medical Buildings	6,119,880	0.22
19.	M AND M Apartments LLC	Apartments	6,017,798	0.22
20.	Frances C. Drooz	Commercial	<u>5,810,419</u>	<u>0.21</u>
			\$271,413,554	9.73%

⁽¹⁾ 2015-16 local secured assessed valuation is \$2,788,078,961.

Source: California Municipal Statistics, Inc.

Statement of Direct and Overlapping Debt

Set forth on the following page is a direct and overlapping debt report (the "Debt Report") prepared by California Municipal Statistics, Inc. effective as of March 23, 2016. The Debt Report is included for general information purposes only. The District has not reviewed the Debt Report for completeness or accuracy and makes no representation in connection therewith.

The Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District in whole or in part. Such long-term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District or the District. In many cases long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

The first column in the table names each public agency which has outstanding debt as of the date of the report and whose territory overlaps the boundaries of the District in whole or in part. The second column shows the percentage of each overlapping agency's assessed value located within the boundaries of the District. This percentage, multiplied by the total outstanding debt of each overlapping agency (which is not shown in the table) produces the amount shown in the third column, which is the

apportionment of each overlapping agency's outstanding debt to taxable property in within the boundaries of the District.

**STATEMENT OF DIRECT AND OVERLAPPING DEBT
Lynwood Unified School District**

2015-16 Assessed Valuation: \$2,840,280,380

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 4/1/16</u>
Los Angeles County Flood Control District	0.227%	\$28,670
Metropolitan Water District	0.116	107,723
Compton Community College District	15.607	11,745,832
Lynwood Unified School District	100.000	50,240,903⁽¹⁾
Los Angeles County Regional Park and Open Space Assessment District	0.223	112,860
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$62,235,988

<u>DIRECT AND OVERLAPPING GENERAL FUND DEBT:</u>		
Los Angeles County General Fund Obligations	0.223%	\$3,975,155
Los Angeles County Superintendent of Schools Certificates of Participation	0.223	17,716
Los Angeles County Sanitation District No. 1 Authority	11.031	1,204,386
Lynwood Unified School District Certificates of Participation	100.000	16,325,000
City of Lynwood Certificates of Participation	95.329	10,624,417
City of Compton Certificates of Participation	0.528	232,874
City of South Gate Certificates of Participation and Pension Obligation Bonds	0.464	143,167
TOTAL DIRECT AND OVERLAPPING GENERAL FUND DEBT		\$32,522,715

<u>OVERLAPPING TAX INCREMENT DEBT:</u>		
Lynwood Redevelopment Agency	55.825-93.173%	\$28,590,530
South Gate Redevelopment Agency	0.367	113,770
TOTAL OVERLAPPING TAX INCREMENT DEBT		\$28,704,300

COMBINED TOTAL DEBT \$123,463,003⁽²⁾

Ratios to 2015-16 Assessed Valuation:

Direct Debt (\$50,240,903)	1.77%
Total Direct and Overlapping Tax and Assessment Debt.....	2.19%
Total Direct Debt (\$66,565,903)	2.34%
Combined Total Debt	4.35%

Ratios to Redevelopment Incremental Valuation (\$590,876,131):

Overlapping Tax Increment Debt.....	4.86%
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⁽¹⁾ Excludes the Bonds described herein.

⁽²⁾ Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and tax allocation bonds and non-bonded capital lease obligations.

Source: California Municipal Statistics, Inc.

CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS

The principal of and interest on the Bonds are payable solely from the proceeds of an ad valorem property tax levied by the County for the payment thereof. (See “THE BONDS – Security and Sources of Payment” herein) Articles XIII A, XIII B, XIII C and XIII D of the Constitution, Propositions 98 and 111, and certain other provisions of law discussed below, are included in this section to describe the potential effect of these Constitutional and statutory measures on the ability of the County to levy taxes on behalf of the District and to the District to spend tax proceeds for operating and other purposes, and it should not be inferred from the inclusion of such materials that these laws impose any limitation on the ability of the County to levy taxes for payment of the Bonds. The tax levied by the County for payment of the Bonds was approved by the District’s voters in compliance with Article XIII A, Article XIII C, and all applicable laws.

Article XIII A of the California Constitution

Article XIII A (“Article XIII A”) of the State Constitution limits the amount of *ad valorem* property taxes on real property to 1% of “full cash value” as determined by the county assessor. Article XIII A defines “full cash value” to mean “the county assessor’s valuation of real property as shown on the 1975-76 bill under “full cash value,” or thereafter, the appraised value of real property when purchased, newly constructed or a change in ownership has occurred after the 1975 assessment,” subject to exemptions in certain circumstances of property transfer or reconstruction. Determined in this manner, the full cash value is also referred to as the “base year value.” The full cash value is subject to annual adjustment to reflect increases, not to exceed 2% for any year, or decreases in the consumer price index or comparable local data, or to reflect reductions in property value caused by damage, destruction or other factors.

Article XIII A has been amended to allow for temporary reductions of assessed value in instances where the fair market value of real property falls below the adjusted base year value described above. Proposition 8—approved by the voters in November of 1978—provides for the enrollment of the lesser of the base year value or the market value of real property, taking into account reductions in value due to damage, destruction, depreciation, obsolescence, removal of property, or other factors causing a similar decline. In these instances, the market value is required to be reviewed annually until the market value exceeds the base year value. Reductions in assessed value could result in a corresponding increase in the annual tax rate levied by the County to pay debt service on the Bonds. See “THE BONDS – Security and Sources of Payment” and “TAX BASE FOR REPAYMENT OF BONDS” herein.

Article XIII A requires a vote of two-thirds or more of the qualified electorate of a city, county, special district or other public agency to impose special taxes, while totally precluding the imposition of any additional *ad valorem*, sales or transaction tax on real property. Article XIII A exempts from the 1% tax limitation any taxes above that level required to pay debt service (a) on any indebtedness approved by the voters prior to July 1, 1978, or (b), as the result of an amendment approved by State voters on June 3, 1986, on any bonded indebtedness approved by two-thirds of the votes cast by the voters for the acquisition or improvement of real property on or after July 1, 1978, or (c) bonded indebtedness incurred by a school district or community college district for the construction, reconstruction, rehabilitation or replacement of school facilities or the acquisition or lease of real property for school facilities, approved by fifty-five percent or more of the votes cast on the proposition, but only if certain accountability measures are included in the proposition. The tax for payment of the Bonds falls within the exception described in (c) of the immediately preceding sentence. In addition, Article XIII A requires the approval

of two-thirds of all members of the State legislature (the “Legislature”) to change any state taxes for the purpose of increasing tax revenues.

Legislation Implementing Article XIII A

Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The 1% property tax is automatically levied by the county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1979.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the annual adjustment not to exceed 2% are allocated among the various jurisdictions in the “taxing area” based upon their respective “situation.” Any such allocation made to a local agency continues as part of its allocation in future years.

All taxable property value included in this Official Statement is shown at 100% of taxable value (unless noted differently) and all tax rates reflect the \$1 per \$100 of taxable value.

Both the United States Supreme Court and the California State Supreme Court have upheld the general validity of Article XIII A.

Unitary Property

Some amount of property tax revenue of the District is derived from utility property which is considered part of a utility system with components located in many taxing jurisdictions (“unitary property”). Under the State Constitution, such property is assessed by the State Board of Equalization (“SBE”) as part of a “going concern” rather than as individual pieces of real or personal property. State-assessed unitary and certain other property is allocated to the counties by SBE, taxed at special county-wide rates, and the tax revenues distributed to taxing jurisdictions (including the District) according to statutory formulae generally based on the distribution of taxes in the prior year. So long as the District is not a basic aid district, taxes lost through any reduction in assessed valuation will be compensated by the State as equalization aid under the State’s school financing formula. See also “DISTRICT FINANCIAL INFORMATION” herein.

Article XIII B of the California Constitution

Article XIII B (“Article XIII B”) of the State Constitution, as subsequently amended by Propositions 98 and 111, respectively, limits the annual appropriations of the State and of any city, county, school district, authority or other political subdivision of the State to the level of appropriations of the particular governmental entity for the prior fiscal year, as adjusted for changes in the cost of living and in population and for transfers in the financial responsibility for providing services and for certain declared emergencies. As amended, Article XIII B defines:

- (a) “change in the cost of living” with respect to school districts to mean the percentage change in California per capita income from the preceding year, and
- (b) “change in population” with respect to a school district to mean the percentage change in the ADA of the school district from the preceding fiscal year.

For fiscal years beginning on or after July 1, 1990, the appropriations limit of each entity of government shall be the appropriations limit for the 1986-87 fiscal year adjusted for the changes made from that fiscal year pursuant to the provisions of Article XIII B, as amended.

The appropriations of an entity of local government subject to Article XIII B limitations include the proceeds of taxes levied by or for that entity and the proceeds of certain state subventions to that entity. "Proceeds of taxes" include, but are not limited to, all tax revenues and the proceeds to the entity from (a) regulatory licenses, user charges and user fees (but only to the extent that these proceeds exceed the reasonable costs in providing the regulation, product or service), and (b) the investment of tax revenues.

Appropriations subject to limitation do not include (a) refunds of taxes, (b) appropriations for debt service such as the Bonds, (c) appropriations required to comply with certain mandates of the courts or the federal government, (d) appropriations of certain special districts, (e) appropriations for all qualified capital outlay projects as defined by the Legislature, (f) appropriations derived from certain fuel and vehicle taxes and (g) appropriations derived from certain taxes on tobacco products.

Article XIII B includes a requirement that all revenues received by an entity of government other than the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be returned by a revision of tax rates or fee schedules within the next two subsequent fiscal years.

Article XIII B also includes a requirement that fifty percent of all revenues received by the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be transferred and allocated to the State School Fund pursuant to Section 8.5 of Article XVI of the State Constitution. See "— Propositions 98 and 111" herein.

Proposition 26

On November 2, 2010, voters in the State approved Proposition 26. Proposition 26 amends Article XIII C of the State Constitution to expand the definition of "tax" to include "any levy, charge, or exaction of any kind imposed by a local government" except the following: (1) a charge imposed for a specific benefit conferred or privilege granted directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of conferring the benefit or granting the privilege; (2) a charge imposed for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product; (3) a charge imposed for the reasonable regulatory costs to a local government for issuing licenses and permits, performing investigations, inspections, and audits, enforcing agricultural marketing orders, and the administrative enforcement and adjudication thereof; (4) a charge imposed for entrance to or use of local government property, or the purchase, rental, or lease of local government property; (5) a fine, penalty, or other monetary charge imposed by the judicial branch of government or a local government, as a result of a violation of law; (6) a charge imposed as a condition of property development; and (7) assessments and property-related fees imposed in accordance with the provisions of Article XIII D. Proposition 26 provides that the local government bears the burden of proving by a preponderance of the evidence that a levy, charge, or other exaction is not a tax, that the amount is no more than necessary to cover the reasonable costs of the governmental activity, and that the manner in which those costs are allocated to a payor bear a fair or reasonable relationship to the payor's burdens on, or benefits received from, the governmental activity.

Article XIIC and Article XIID of the California Constitution

On November 5, 1996, the voters of the State approved Proposition 218, popularly known as the “Right to Vote on Taxes Act.” Proposition 218 added to the California Constitution Articles XIIC and XIID (respectively, “Article XIIC” and “Article XIID”), which contain a number of provisions affecting the ability of local agencies, including school districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the “Title and Summary” of Proposition 218 prepared by the California Attorney General, Proposition 218 limits “the authority of local governments to impose taxes and property-related assessments, fees and charges.” Among other things, Article XIIC establishes that every tax is either a “general tax” (imposed for general governmental purposes) or a “special tax” (imposed for specific purposes), prohibits special purpose government agencies such as school districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Article XIIC further provides that no tax may be assessed on property other than *ad valorem* property taxes imposed in accordance with Articles XIII and XIII A of the California Constitution and special taxes approved by a two-thirds vote under Article XIII A, Section 4. Article XIID deals with assessments and property-related fees and charges, and explicitly provides that nothing in Article XIIC or XIID will be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development.

The District does currently not impose any taxes, assessments, or property-related fees or charges which are subject to the provisions of Proposition 218. It does, however, receive a portion of the basic 1% *ad valorem* property tax levied and collected by the County pursuant to Article XIII A of the California Constitution. The provisions of Proposition 218 may have an indirect effect on the District, such as by limiting or reducing the revenues otherwise available to other local governments whose boundaries encompass property located within the District thereby causing such local governments to reduce service levels and possibly adversely affecting the value of property within the District.

Propositions 98 and 111

On November 8, 1988, voters approved Proposition 98, a combined initiative constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act” (the “Accountability Act”). Certain provisions of the Accountability Act were, however, modified by Proposition 111, discussed below, the provisions of which became effective on July 1, 1990. The Accountability Act changed State funding of public education below the university level and the operation of the State’s appropriations limit. The Accountability Act guarantees State funding for K-12 school districts and community college districts (hereinafter referred to collectively as “K-14 school districts”) at a level equal to the greater of (a) the same percentage of State general fund revenues as the percentage appropriated to such districts in the 1986-87 fiscal year, and (b) the amount actually appropriated to such districts from the State general fund in the previous fiscal year, adjusted for increases in enrollment and changes in the cost of living. The Accountability Act permits the Legislature to suspend this formula for a one-year period.

The Accountability Act also changed how tax revenues in excess of the State appropriations limit are distributed. Any excess State tax revenues up to a specified amount are, instead of being returned to taxpayers, transferred to K-14 school districts. Any such transfer to K-14 school districts would be excluded from the appropriations limit for K-14 school districts and the K-14 school district

appropriations limit for the next year is automatically increased by the amount of such transfer. These additional moneys enter the base funding calculation for K-14 school districts for subsequent years, creating further pressure on other portions of the State budget, particularly if revenues decline in a year following an Article XIII B surplus. The maximum amount of excess tax revenues which can be transferred to K-14 school districts is 4% of the minimum State spending for education mandated by the Accountability Act.

Since the Accountability Act is unclear in some details, there can be no assurances that the Legislature or a court might not interpret the Accountability Act to require a different percentage of State general fund revenues to be allocated to K-14 school districts, or to apply the relevant percentage to the State's budgets in a different way than is proposed in the Governor's Budget.

On June 5, 1990, the voters approved Proposition 111 (Senate Constitutional Amendment No. 1) called the "Traffic Congestion Relief and Spending Limit Act of 1990" ("Proposition 111") which further modified Article XIII B and Sections 8 and 8.5 of Article XVI of the State Constitution with respect to appropriations limitations and school funding priority and allocation.

The most significant provisions of Proposition 111 are summarized as follows:

- a. Annual Adjustments to Spending Limit. The annual adjustments to the Article XIII B spending limit were liberalized to be more closely linked to the rate of economic growth. Instead of being tied to the Consumer Price Index, the "change in the cost of living" is now measured by the change in California per capita personal income. The definition of "change in population" specifies that a portion of the State's spending limit is to be adjusted to reflect changes in school attendance.
- b. Treatment of Excess Tax Revenues. "Excess" tax revenues with respect to Article XIII B are now determined based on a two-year cycle, so that the State can avoid having to return to taxpayers excess tax revenues in one year if its appropriations in the next fiscal year are under its limit. In addition, the Proposition 98 provision regarding excess tax revenues was modified. After any two-year period, if there are excess State tax revenues, 50% of the excess are to be transferred to K-14 school districts with the balance returned to taxpayers; under prior law, 100% of excess State tax revenues went to K-14 school districts, but only up to a maximum of 4% of such districts' minimum funding level. Also, reversing prior law, any excess State tax revenues transferred to K-14 school districts are not built into the school districts' base expenditures for calculating their entitlement for State aid in the next year, and the State's appropriations limit is not to be increased by this amount.
- c. Exclusions from Spending Limit. Two exceptions were added to the calculation of appropriations which are subject to the Article XIII B spending limit" (i) for "qualified capital outlay projects" as defined by the Legislature, and (ii) any increases in gasoline taxes above the 1990 level (then nine cents per gallon), sales and use taxes on such increment in gasoline taxes, and increases in receipts from vehicle weight fees above the levels in effect on January 1, 1990. These latter provisions were necessary to make effective the transportation funding package approved by the Legislature and the Governor, which was expected to raise over \$15 billion in additional taxes from 1990 through 2000 to fund transportation programs.

- d. Recalculation of Appropriations Limit. The Article XIII B appropriations limit for each unit of government, including the State, is to be recalculated beginning in fiscal year 1990-91. It is based on the actual limit for fiscal year 1986-87, adjusted forward to 1990-91 as if Proposition 111 had been in effect.
- e. School Funding Guarantee. There is a complex adjustment in the formula enacted in Proposition 98 which guarantees K-14 school districts a certain amount of State general fund revenues. Under prior law, K-14 school districts were guaranteed the greater of (1) 40.9% of State general fund revenues ("Test 1") or (2) the amount appropriated in the prior year adjusted for changes in the cost of living (measured as in Article XIII B by reference to per capita personal income) and enrollment ("Test 2"). Under Proposition 111, K-14 school districts will receive the greater of (1) Test 1, (2) Test 2, or (3) a third test ("Test 3"), which will replace Test 2 in any year when growth in per capita State general fund revenues from the prior year is less than the annual growth in California per capita personal income. Under Test 3, K-14 school district will receive the amount appropriated in the prior year adjusted for change in enrollment and per capita State general fund revenues, plus an additional small adjustment factor. If Test 3 is used in any year, the difference between Test 3 and Test 2 will become a "credit" to K-14 school districts which will be paid in future years when State general fund revenue growth exceeds personal income growth.

Proposition 39

On November 7, 2000, California voters approved an amendment (commonly known as Proposition 39) to the California Constitution. This amendment (1) allows school facilities bond measures to be approved by 55% (rather than two-thirds) of the voters in local elections and permits property taxes to exceed the current 1% limit in order to repay the bonds and (2) changes existing statutory law regarding charter school facilities. As adopted, the constitutional amendments may be changed only with another Statewide vote of the people. The statutory provisions could be changed by a majority vote of both houses of the Legislature and approval by the Governor, but only to further the purposes of the proposition. The local school jurisdictions affected by this proposition are K-12 school districts, including the District, community college districts, and county offices of education. As noted above, the California Constitution previously limited property taxes to 1 percent of the value of property, and property taxes could only exceed this limit to pay for (1) any local government debts approved by the voters prior to July 1, 1978 or (2) bonds to buy or improve real property that receive two-thirds voter approval after July 1, 1978.

The 55% vote requirement applies only if the local bond measure presented to the voters includes: (1) a requirement that the bond funds can be used only for construction, rehabilitation, equipping of school facilities, or the acquisition or lease of real property for school facilities; (2) a specific list of school projects to be funded and certification that the school board has evaluated safety, class size reduction, and information technology needs in developing the list; and (3) a requirement that the school board conduct annual, independent financial and performance audits until all bond funds have been spent to ensure that the bond funds have been used only for the projects listed in the measure. Legislation approved in June 2000 placed certain limitations on local school bonds to be approved by 55% of the voters. These provisions require that such bonds may be issued on if the tax rate per \$100,000 of taxable property value projected to be levied as the result of any single election will not exceed \$60 (for a unified school district), \$30 (for a high school or elementary school district), or \$25 (for a community college district), when assessed valuation is projected to increase in accordance with Article

XIIIA of the State Constitution. These requirements are not part of Proposition 39 and can be changed with a majority vote of both houses of the Legislature and approval by the Governor.

Proposition 1A and Proposition 22

On November 2, 2004, California voters approved Proposition 1A, which amends the State constitution to significantly reduce the State's authority over major local government revenue sources. Under Proposition 1A, the State cannot (i) reduce local sales tax rates or alter the method of allocating the revenue generated by such taxes, (ii) shift property taxes from local governments to schools or community colleges, (iii) change how property tax revenues are shared among local governments without two-third approval of both houses of the Legislature or (iv) decrease Vehicle License Fee revenues without providing local governments with equal replacement funding. Proposition 1A does allow the State to approve voluntary exchanges of local sales tax and property tax revenues among local governments within a county. Proposition 1A also amends the State Constitution to require the State to suspend certain State laws creating mandates in any year that the State does not fully reimburse local governments for their costs to comply with the mandates. This provision does not apply to mandates relating to schools or community colleges or to those mandates relating to employee rights.

Proposition 22, The Local Taxpayer, Public Safety, and Transportation Protection Act, approved by the voters of the State on February 5, 2008, prohibits the State from enacting new laws that require redevelopment agencies to shift funds to schools, community colleges or other agencies and eliminates the State's authority to shift property taxes temporarily during a severe financial hardship of the State. In addition, Proposition 22 restricts the State's authority to use State fuel tax revenues to pay debt service on state transportation bonds, to borrow or change the distribution of state fuel tax revenues, and to use vehicle license fee revenues to reimburse local governments for state mandated costs. Proposition 22 impacts resources in the State's general fund and transportation funds, the State's main funding source for schools and community colleges, as well as universities, prisons and health and social services programs. According to an analysis of Proposition 22 submitted by the Legislative Analyst's Office (the "LAO") on July 15, 2010, the reduction in resources available for the State to spend on these other programs as a consequence of the passage of Proposition 22 was expected to be approximately \$1 billion in fiscal year 2010-11, with an estimated immediate fiscal effect equal to approximately 1 percent of the State's total general fund spending. The longer-term effect of Proposition 22, according to the LAO analysis, will be an increase in the State's general fund costs by approximately \$1 billion annually for several decades.

Proposition 30

On November 6, 2012, voters of the State approved the Temporary Taxes to Fund Education, Guaranteed Local Public Safety Funding, Initiative Constitutional Amendment (also known as "Proposition 30"), which temporarily increases the State Sales and Use Tax and personal income tax rates on higher incomes. Proposition 30 temporarily imposes an additional tax on all retailers, at the rate of 0.25% of gross receipts from the sale of all tangible personal property sold in the State from January 1, 2013 to December 31, 2016. Proposition 30 also imposes an additional excise tax on the storage, use, or other consumption in the State of tangible personal property purchased from a retailer on and after January 1, 2013 and before January 1, 2017, for storage, use, or other consumption in the State. This excise tax will be levied at a rate of 0.25% of the sales price of the property so purchased. For personal income taxes imposed beginning in the taxable year commencing January 1, 2012 and ending December 31, 2018, Proposition 30 increases the marginal personal income tax rate by: (i) 1% for taxable income over \$250,000 but less than \$300,001 for single filers (over \$500,000 but less than \$600,001 for joint filers and over \$340,000 but less than \$408,001 for head-of-household filers), (ii) 2% for taxable income over \$300,000 but less than \$500,001 for single filers (over \$600,000 but less than \$1,000,001 for joint

filers and over \$408,000 but less than \$680,001 for head-of-household filers), and (iii) 3% for taxable income over \$500,000 for single filers (over \$1,000,000 for joint filers and over \$680,000 for head-of-household filers).

The revenues generated from the temporary tax increases will be included in the calculation of the Proposition 98 minimum funding guarantee for school districts and community college districts. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Proposition 98 and 111” herein. From an accounting perspective, the revenues generated from the temporary tax increases will be deposited into the State account created pursuant to Proposition 30 called the Education Protection Account (the “EPA”). Pursuant to Proposition 30, funds in the EPA will be allocated quarterly, with 89% of such funds provided to school districts and 11% provided to community college districts. The funds will be distributed to school districts and community college districts in the same manner as existing unrestricted per-student funding, except that no school district will receive less than \$200 per unit of ADA and no community college district will receive less than \$100 per full-time equivalent student. The governing board of each school district and community college district is granted sole authority to determine how the moneys received from the EPA are spent, provided that the appropriate governing board is required to make these spending determinations in open session at a public meeting and such local governing boards are prohibited from using any funds from the EPA for salaries or benefits of administrators or any other administrative costs.

Jarvis vs. Connell

On May 29, 2002, the California Court of Appeal for the Second District decided the case of *Howard Jarvis Taxpayers Association, et al. v. Kathleen Connell* (as Controller of the State of California). The Court of Appeal held that either a final budget bill, an emergency appropriation, a self-executing authorization pursuant to state statutes (such as continuing appropriations) or the California Constitution or a federal mandate is necessary for the State Controller to disburse funds. The foregoing requirement could apply to amounts budgeted by the District as being received from the State. To the extent the holding in such case would apply to State payments reflected in the District’s budget, the requirement that there be either a final budget bill or an emergency appropriation may result in the delay of such payments to the District if such required legislative action is delayed, unless the payments are self-executing authorizations or are subject to a federal mandate. On May 1, 2003, the California Supreme Court upheld the holding of the Court of Appeal, stating that the Controller is not authorized under State law to disburse funds prior to the enactment of a budget or other proper appropriation, but under federal law, the Controller is required, notwithstanding a budget impasse and the limitations imposed by State law, to timely pay those State employees who are subject to the minimum wage and overtime compensation provisions of the federal Fair Labor Standards Act.

Proposition 2

On November 4, 2014, voters approved the Rainy Day Budget Stabilization Fund Act (also known as “Proposition 2”). Proposition 2 is a legislatively-referred constitutional amendment which makes certain changes to State budgeting practices, including substantially revising the conditions under which transfers are made to and from the State’s Budget Stabilization Account (the “BSA”) established by the California Balanced Budget Act of 2004 (also known as Proposition 58).

Under Proposition 2, and beginning in fiscal year 2015-16 and each fiscal year thereafter, the State will generally be required to annually transfer to the BSA an amount equal to 1.5% of estimated State general fund revenues (the “Annual BSA Transfer”). Supplemental transfers to the BSA (a “Supplemental BSA Transfer”) are also required in any fiscal year in which the estimated State general

fund revenues that are allocable to capital gains taxes exceed 8% of total estimated general fund tax revenues. Such excess capital gains taxes—net of any portion thereof owed to K-14 school districts pursuant to Proposition 98—will be transferred to the BSA. Proposition 2 also increases the maximum size of the BSA to an amount equal to 10% of estimated State general fund revenues for any given fiscal year. In any fiscal year in which a required transfer to the BSA would result in an amount in excess of the 10% threshold, Proposition 2 requires such excess to be expended on State infrastructure, including deferred maintenance.

For the first 15-year period ending with the 2029-30 fiscal year, Proposition 2 provides that half of any required transfer to the BSA, either annual or supplemental, must be appropriated to reduce certain State liabilities, including making certain payments owed to K-14 school districts, repaying State interfund borrowing, reimbursing local governments for State mandated services, and reducing or prefunding accrued liabilities associated with State-level pension and retirement benefits. Following the initial 15-year period, the Governor and the Legislature are given discretion to apply up to half of any required transfer to the BSA to the reduction of such State liabilities. Any amount not applied towards such reduction must be transferred to the BSA or applied to infrastructure, as described above.

Proposition 2 changes the conditions under which the Governor and the Legislature may draw upon or reduce transfers to the BSA. The Governor does not retain unilateral discretion to suspend transfers to the BSA, nor does the Legislature retain discretion to transfer funds from the BSA for any reason, as previously provided by law. Rather, the Governor must declare a “budget emergency,” defined as an emergency within the meaning of Article XIII B of the Constitution or a determination that estimated resources are inadequate to fund State general fund expenditures, for the current or ensuing fiscal year, at a level equal to the highest level of State spending within the three immediately preceding fiscal years. Any such declaration must be followed by a legislative bill providing for a reduction or transfer. Draws on the BSA are limited to the amount necessary to address the budget emergency, and no draw in any fiscal year may exceed 50% of funds on deposit in the BSA unless a budget emergency was declared in the preceding fiscal year.

Proposition 2 also requires the creation of the Public School System Stabilization Account (the “PSSSA”) into which transfers will be made in any fiscal year in which a Supplemental BSA Transfer is required (as described above). Such transfer will be equal to the portion of capital gains taxes above the 8% threshold that would be otherwise paid to K-14 school districts as part of the minimum funding guarantee. A transfer to the PSSSA will only be made if certain additional conditions are met, as follows: (i) the minimum funding guarantee was not suspended in the immediately preceding fiscal year, (ii) the operative Proposition 98 formula for the fiscal year in which a PSSSA transfer might be made is “Test 1,” (iii) no maintenance factor obligation is being created in the budgetary legislation for the fiscal year in which a PSSSA transfer might be made, (iv) all prior maintenance factor obligations have been fully repaid, and (v) the minimum funding guarantee for the fiscal year in which a PSSSA transfer might be made is higher than the immediately preceding fiscal year, as adjusted for enrollment growth and cost of living. Proposition 2 caps the size of the PSSSA at 10% of the estimated minimum guarantee in any fiscal year, and any excess funds must be paid to K-14 school districts. Reductions to any required transfer to the PSSSA, or draws on the PSSSA, are subject to the same budget emergency requirements described above. However, Proposition 2 also mandates draws on the PSSSA in any fiscal year in which the estimated minimum funding guarantee is less than the prior year’s funding level, as adjusted for enrollment growth and cost of living.

Future Initiatives

Article XIII A, Article XIII B, Article XIII C and Article XIII D of the California Constitution and Propositions 98, 39, 22, 26 and 30 were each adopted as measures that qualified for the ballot pursuant to the State's initiative process. From time to time other initiative measures could be adopted further affecting District revenues or the District's ability to expend revenues. The nature and impact of these measures cannot be anticipated by the District.

DISTRICT FINANCIAL INFORMATION

The information in this section concerning the District's general fund finances and State funding of public education is provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal of and interest on the Bonds is payable from the general fund of the District. The Bonds are payable solely from the proceeds of an ad valorem property tax required to be levied by the County within the boundaries of the District in an amount sufficient for the payment thereof. See "THE BONDS – Security and Sources of Payment" herein.

State Funding of Education

School district revenues consist primarily of guaranteed State moneys, local property taxes and funds received from the State in the form of categorical aid under ongoing programs of local assistance. All State aid is subject to the appropriation of funds in the State's annual budget.

Revenue Limit Funding. Previously, school districts operated under general purpose revenue limits established by the State Department of Education. In general, revenue limits were calculated for each school district by multiplying the ADA for such district by a base revenue limit per unit of ADA. Revenue limit calculations were subject to adjustment in accordance with a number of factors designed to provide cost of living adjustments ("COLAs") and to equalize revenues among school districts of the same type. Funding of a school district's revenue limit was provided by a mix of local property taxes and State apportionments of basic and equalization aid. Since fiscal year 2013-14, school districts have been funded based on uniform funding grants assigned to certain grade spans. See "—Local Control Funding Formula" herein.

The table on the following page displays the District's historical ADA and revenue limit per ADA for fiscal years 2008-09 through 2012-13.

AVERAGE DAILY ATTENDANCE AND REVENUE LIMIT
Fiscal Years 2008-09 through 2012-13
Lynwood Unified School District

<u>Year</u>	<u>ADA⁽¹⁾</u>	<u>Base Revenue Limit Per ADA</u>	<u>Deficit Revenue Limit per ADA⁽²⁾</u>
2008-09	16,096	\$6,120.94	\$5,640.81
2009-10	15,602	6,382.94	4,958.36
2010-11	15,585	6,387.10	5,239.79
2011-12	15,002	6,530.75	5,185.28
2012-13	14,288	6,743.71	5,211.54

⁽¹⁾ Reflects ADA as of the second principal reporting period (P-2 ADA), ending on or before the last attendance month prior to April 15 of each school year. An attendance month is equal to each four-week period of instruction beginning with the first day of school for a particular school district.

⁽²⁾ Deficit revenue limit funding, when provided for in State budgetary legislation, reduced the revenue limit allocations received by school districts by applying a deficit factor to the base revenue limit for the given fiscal year, and resulted from an insufficiency of appropriation funds in the State budget to provide for State aid owed to school districts. The State's practice of deficit revenue limit funding was most recently reinstated beginning in fiscal year 2008-09, and discontinued following the implementation of the LCFF (as defined herein).

Source: Lynwood Unified School District.

Local Control Funding Formula. State Assembly Bill 97 (Stats. 2013, Chapter 47) ("AB 97"), enacted as part of the fiscal year 2013-14 State budget, established a new system for funding school districts, charter schools and county offices of education. Certain provisions of AB 97 were amended and clarified by Senate Bill 91 (Stats. 2013, Chapter 49) ("SB 91").

The primary component of AB 97, as amended by SB 91, is the implementation of the Local Control Funding Formula ("LCFF"), which replaced the revenue limit funding system for determining State apportionments, as well as the majority of categorical program funding. State allocations are now provided on the basis of target base funding grants per unit of ADA (a "Base Grant") assigned to each of four grade spans. Each Base Grant is subject to certain adjustments and add-ons, as discussed below. Full implementation of the LCFF is expected to occur over a period of several years. Beginning in fiscal year 2013-14, an annual transition adjustment has been calculated for each school district, equal to such district's proportionate share of appropriations included in the State budget to close the gap between the prior-year funding level and the target allocation following full implementation of the LCFF. In each year, school districts have had the same proportion of their respective funding gaps closed, with dollar amounts varying depending on the size of a district's funding gap.

The Base Grants per unit of ADA for each grade span are as follows: (i) \$6,845 for grades K-3; (ii) \$6,947 for grades 4-6; (iii) \$7,154 for grades 7-8; and (iv) \$8,289 for grades 9-12. Beginning in fiscal year 2013-14, and in each subsequent year, the Base Grants are to be adjusted for COLAs by applying the implicit price deflator for government goods and services. Following full implementation of the LCFF, the provision of COLAs will be subject to appropriation for such adjustment in the annual State budget. The differences among Base Grants are linked to differentials in statewide average revenue limit rates by district type, and are intended to recognize the generally higher costs of education at higher grade levels. See "—State Budget" herein for the adjusted Base Grants provided by current State budgetary legislation.

The Base Grants for grades K-3 and 9-12 are subject to adjustments of 10.4% and 2.6%, respectively, to cover the costs of class size reduction in early grades and the provision of career technical education in high schools. Following full implementation of the LCFF, and unless otherwise collectively bargained for, school districts serving students in grades K-3 must maintain an average class enrollment of 24 or fewer students in grades K-3 at each school site in order to continue receiving the adjustment to

the K-3 Base Grant. Such school districts must also make progress towards this class size reduction goal in proportion to the growth in their funding over the implementation period. Additional add-ons are also provided to school districts that received categorical block grant funding pursuant to the Targeted Instructional Improvement and Home-to-School Transportation programs during fiscal year 2012-13.

School districts that serve students of limited English proficiency (“EL” students), students from low income families that are eligible for free or reduced priced meals (“LI” students) and foster youth are eligible to receive additional funding grants. Enrollment counts are unduplicated, such that students may not be counted as both EL and LI (foster youth automatically meet the eligibility requirements for free or reduced priced meals). A supplemental grant add-on (each, a “Supplemental Grant”) is authorized for school districts that serve EL/LI students, equal to 20% of the applicable Base Grant multiplied by such districts’ percentage of unduplicated EL/LI student enrollment. School districts whose EL/LI populations exceed 55% of their total enrollment are eligible for a concentration grant add-on (each, a “Concentration Grant”) equal to 50% of the applicable Base Grant multiplied the percentage of such district’s unduplicated EL/LI student enrollment in excess of the 55% threshold.

The following table shows a breakdown of the District’s ADA by grade span, total enrollment, and the percentage of EL/LI student enrollment, for fiscal years 2012-13 through 2015-16.

ADA, ENROLLMENT AND EL/LI ENROLLMENT PERCENTAGE
Fiscal Years 2012-13 through 2015-16
Lynwood Unified School District

Fiscal Year	Average Daily Attendance⁽¹⁾					Enrollment	
	<u>K-3</u>	<u>4-6</u>	<u>7-8</u>	<u>9-12</u>	<u>Total ADA</u>	<u>Total Enrollment⁽²⁾</u>	<u>% of EL/LI Enrollment⁽²⁾</u>
2012-13	4,796	3,119	2,102	4,270	14,288	15,029	N/A
2013-14	4,746	3,069	2,052	4,322	14,198	14,919	92%
2014-15	4,517	3,285	2,025	4,327	14,154	14,776	96
2015-16 ⁽³⁾	4,583	3,246	2,129	4,240	14,198	14,700	97

Note: ADA numbers may not add due to rounding.

⁽¹⁾ Except for fiscal year 2015-16, reflects P-2 ADA.

⁽²⁾ Fiscal years 2013-14 and 2014-15 reflect certified enrollment as of the fall census day (the first Wednesday in October), which is reported to the California Longitudinal Pupil Achievement Data System (“CALPADS”) in each school year and used to calculate each school district’s unduplicated EL/LI student enrollment. Adjustments may be made to the certified EL/LI counts by the California Department of Education. CALPADS figures generally exclude preschool and adult transitional students. For purposes of calculating Supplemental and Concentration Grants, a school district’s fiscal year 2013-14 percentage of unduplicated EL/LI students was expressed solely as a percentage of its total fiscal year 2013-14 total enrollment. For fiscal year 2014-15, the percentage of unduplicated EL/LI enrollment was based on the two-year average of EL/LI enrollment in fiscal years 2013-14 and 2014-15, or the current year percentage of EL/LI enrollment, whichever was greater. Beginning in fiscal year 2015-16, a school district’s percentage of unduplicated EL/LI students is based on a rolling average of such district’s EL/LI enrollment for the then-current fiscal year and the two immediately preceding fiscal years.

⁽³⁾ Projected.

Source: Lynwood Unified School District.

For certain school districts that would have received greater funding levels under the prior revenue limit system, the LCFF provides for a permanent economic recovery target (“ERT”) add-on, equal to the difference between the revenue limit allocations such districts would have received under the prior system in fiscal year 2020-21, and the target LCFF allocations owed to such districts in the same year. To derive the projected funding levels, the LCFF assumes the discontinuance of deficit revenue limit funding, implementation of a COLA in fiscal years 2014-15 through 2020-21, and restoration of categorical funding to pre-recession levels. The ERT add-on will be paid incrementally over the implementing period of the LCFF.

The sum of a school district's adjusted Base, Supplemental and Concentration Grants will be multiplied by such district's P-2 ADA for the current or prior year, whichever is greater (with certain adjustments applicable to small school districts). This funding amount, together with any applicable ERT or categorical block grant add-ons, will yield a district's total LCFF allocation. Generally, the amount of annual State apportionments received by a school district will amount to the difference between such total LCFF allocation and such district's share of applicable local property taxes. Most school districts receive a significant portion of their funding from such State apportionments. As a result, decreases in State revenues may significantly affect appropriations made by the Legislature to school districts.

Certain school districts, known as "basic aid" districts, have allocable local property tax collections that equal or exceed such districts' total LCFF allocation, and result in the receipt of no State apportionment aid. Basic aid school districts receive only special categorical funding, which is deemed to satisfy the "basic aid" requirement of \$120 per student per year guaranteed by Article IX, Section 6 of the State Constitution. The implication for basic aid districts is that the legislatively determined allocations to school districts, and other politically determined factors, are less significant in determining their primary funding sources. Rather, property tax growth and the local economy are the primary determinants. The District does not currently qualify as a basic aid district.

Accountability. On January 16, 2014, the State Board of Education adopted regulations regarding the expenditure of supplemental and concentration funding, and on February 6, 2014 the State Office of Administrative Law approved such regulations. These regulations include a requirement that school districts increase or improve services for EL/LI students in proportion to the increase in funds apportioned to such districts on the basis of the number and concentration of such EL/LI students, as well as the conditions under which school districts can use supplemental or concentration funding on a school-wide or district-wide basis.

School districts are also required to adopt local control and accountability plans ("LCAPs") disclosing annual goals for all students, as well as certain numerically significant student subgroups, to be achieved in eight areas of State priority identified by the LCFF. LCAPs may also specify additional local priorities. LCAPs must specify the actions to be taken to achieve each goal, including actions to correct identified deficiencies with regard to areas of State priority. LCAPs are required to be adopted every three years, beginning in fiscal year 2014-15, and updated annually thereafter. The State Board of Education adopted a template LCAP for school districts to use on January 16, 2014 and the State Office of Administrative Law approved the template on February 6, 2014.

Support and Intervention. AB 97, as amended by SB 91, establishes a new system of support and intervention to assist school districts meet the performance expectations outlined in their respective LCAPs. School districts must adopt their LCAPs (or annual updates thereto) in tandem with their annual operating budgets, and not later than five days thereafter submit such LCAPs or updates to their respective county superintendents of schools. On or before August 15 of each year, a county superintendent may seek clarification regarding the contents of a district's LCAP (or annual update thereto), and the district is required to respond to such a request within 15 days. Within 15 days of receiving such a response, the county superintendent can submit non-binding recommendations for amending the LCAP or annual update, and such recommendations must be considered by the respective school district at a public hearing within 15 days. A district's LCAP or annual update must be approved by the county superintendent by October 8 of each year if the superintendent determines that (i) the LCAP or annual update adheres to the State template, and (ii) the district's budgeted expenditures are sufficient to implement the actions and strategies outlined in the LCAP.

A school district is required to receive additional support if its respective LCAP or annual update thereto is not approved, if the district requests technical assistance from its respective county superintendent, or if the district does not improve student achievement across more than one State priority for one or more student subgroups. Such support can include a review of a district's strengths and weaknesses in the eight State priority areas, or the assignment of an academic expert to assist the district identify and implement programs designed to improve outcomes. Assistance may be provided by the California Collaborative for Educational Excellence, a state agency created by the LCFF and charged with assisting school districts achieve the goals set forth in their LCAPs. The State Board of Education has developed rubrics to assess school district performance and the need for support and intervention.

The State Superintendent of Public Instruction (the "State Superintendent") is further authorized, with the approval of the State Board of Education, to intervene in the management of persistently underperforming school districts. The State Superintendent may intervene directly or assign an academic trustee to act on his or her behalf. In so doing, the State Superintendent is authorized (i) to modify a district's LCAP, (ii) impose budget revisions designed to improve student outcomes, and (iii) stay or rescind actions of the local governing board that would prevent such district from improving student outcomes; provided, however, that the State Superintendent is not authorized to rescind an action required by a local collective bargaining agreement.

Other State Sources. In addition to State allocations determined pursuant to the LCFF, the District receives other State revenues consisting primarily of restricted revenues designed to implement State mandated programs. Beginning in fiscal year 2013-14, categorical spending restrictions associated with a majority of State mandated programs were eliminated, and funding for these programs was folded into the LCFF. Categorical funding for certain programs was excluded from the LCFF, and school districts will continue to receive restricted State revenues to fund these programs.

Other Funding Sources

Other State Sources. In addition to State allocations determined pursuant to the LCFF, the District receives other State revenues consisting primarily of restricted revenues designed to implement State mandated programs. Beginning in fiscal year 2013-14, categorical spending restrictions associated with a majority of State mandated programs were eliminated, and funding for these programs was folded into the LCFF. Categorical funding for 14 programs was excluded from the LCFF—including, among others, child nutrition, after school education and safety, special education, and State preschool—and school districts will continue to receive restricted State revenues to fund these programs.

Developer Fees. The District maintains a fund, separate and apart from the general fund, to account for developer fees collected by the District. Residential development is assessed a fee of \$2.97 per square foot, and commercial development is assessed a fee of \$0.47 per square foot. The following table lists the annual developer fees generated since fiscal year 2006-07.

**DISTRICT DEVELOPER FEES
Fiscal Years 2006-07 through 2015-16
Lynwood Unified School District**

<u>Fiscal Year</u>	<u>Developer Fees Collected</u>
2006-07	\$366,506.99
2007-08	169,973.37
2008-09	64,395.70
2009-10	59,598.99
2010-11	26,329.06
2011-12	293,249.00
2012-13	9,894.04
2013-14	45,699.39
2014-15	40,019.27
2015-16 ⁽¹⁾	5,411.33

⁽¹⁾ Budgeted.

Source: Lynwood Unified School District.

Dissolution of Redevelopment Agencies

On December 30, 2011, the State Supreme Court issued its decision in the case of *California Redevelopment Association v. Matosantos* (“*Matosantos*”), finding ABx1 26, a trailer bill to the 2011-12 State budget, to be constitutional. As a result, all redevelopment agencies in the State ceased to exist as a matter of law on February 1, 2012.

ABx1 26 was modified by Assembly Bill No. 1484 (Chapter 26, Statutes of 2011-12) (“AB 1484”), which, together with ABx1 26, is referred to herein as the “Dissolution Act.” The Dissolution Act provides that all rights, powers, duties and obligations of a redevelopment agency under the California Community Redevelopment Law that have not been repealed, restricted or revised pursuant to ABx1 26 will be vested in a successor agency, generally the county or city that authorized the creation of the redevelopment agency (each, a “Successor Agency”). All property tax revenues that would have been allocated to a redevelopment agency, less the corresponding county auditor-controller’s cost to administer the allocation of property tax revenues, are now allocated to a corresponding Redevelopment Property Tax Trust Fund (“Trust Fund”), to be used for the payment of pass-through payments to local taxing entities, and thereafter to bonds of the former redevelopment agency and any “enforceable obligations” of the Successor Agency, as well as to pay certain administrative costs. The Dissolution Act defines “enforceable obligations” to include bonds, loans, legally required payments, judgments or settlements, legal binding and enforceable obligations, and certain other obligations.

Among the various types of enforceable obligations, the first priority for payment is tax allocation bonds issued by the former redevelopment agency; second is revenue bonds, which may have been issued by the host city, but only where the tax increment revenues were pledged for repayment and only where other pledged revenues are insufficient to make scheduled debt service payments; third is administrative costs of the Successor Agency, equal to at least \$250,000 in any year, unless the oversight board reduces such amount for any fiscal year or a lesser amount is agreed to by the Successor Agency; then, fourth is

tax revenues in the Trust Fund in excess of such amounts, if any, will be allocated as residual distributions to local taxing entities in the same proportions as other tax revenues. Moreover, all unencumbered cash and other assets of former redevelopment agencies will also be allocated to local taxing entities in the same proportions as tax revenues. Notwithstanding the foregoing portion of this paragraph, the order of payment is subject to modification in the event a Successor Agency timely reports to the Controller and the Department of Finance that application of the foregoing will leave the Successor Agency with amounts insufficient to make scheduled payments on enforceable obligations. If the county auditor-controller verifies that the Successor Agency will have insufficient amounts to make scheduled payments on enforceable obligations, it shall report its findings to the Controller. If the Controller agrees there are insufficient funds to pay scheduled payments on enforceable obligations, the amount of such deficiency shall be deducted from the amount remaining to be distributed to taxing agencies, as described as the fourth distribution above, then from amounts available to the Successor Agency to defray administrative costs. In addition, if a taxing agency entered into an agreement pursuant to Health and Safety Code Section 33401 for payments from a redevelopment agency under which the payments were to be subordinated to certain obligations of the redevelopment agency, such subordination provisions shall continue to be given effect.

As noted above, the Dissolution Act expressly provides for continuation of pass-through payments to local taxing entities. Per statute, 100% of contractual and statutory two percent pass-throughs, and 56.7% of statutory pass-throughs authorized under the Community Redevelopment Law Reform Act of 1993 (AB 1290, Chapter 942, Statutes of 1993) (“AB 1290”), are restricted to educational facilities without offset against revenue limit apportionments by the State. Only 43.3% of AB 1290 pass-throughs are offset against State aid so long as the District uses the moneys received for land acquisition, facility construction, reconstruction, or remodeling, or deferred maintenance as provided under Education Code Section 42238(h).

ABX1 26 states that in the future, pass-throughs shall be made in the amount “which would have been received had the redevelopment agency existed at that time,” and that the County Auditor-Controller shall “determine the amount of property taxes that would have been allocated to each redevelopment agency had the redevelopment agency not been dissolved pursuant to the operation of [ABX1 26] using current assessed values and pursuant to statutory [pass-through] formulas and contractual agreements with other taxing agencies.”

Successor Agencies continue to operate until all enforceable obligations have been satisfied and all remaining assets of the Successor Agency have been disposed of. AB 1484 provides that once the debt of the Successor Agency is paid off and remaining assets have been disposed of, the Successor Agency shall terminate its existence and all pass-through payment obligations shall cease.

The District can make no representations as to the extent to which its revenue limit apportionments from the State may be offset by the future receipt of residual distributions or from unencumbered cash and assets of former redevelopment agencies any other surplus property tax revenues pursuant to the Dissolution Act.

Budget Process

State Budgeting Requirements. The District is required by provisions of the State Education Code to maintain a balanced budget each year, in which the sum of expenditures and the ending fund balance cannot exceed the sum of revenues and the carry-over fund balance from the previous year. The State Department of Education imposes a uniform budgeting and accounting format for school districts. The budget process for school districts was substantially amended by Assembly Bill 1200 (“AB 1200”), which became State law on October 14, 1991. Portions of AB 1200 are summarized below. Additional amendments to the budget process were made by Assembly Bill 2585, effective as of September 9, 2014, including the elimination of the dual budget cycle option for school districts. All school districts must now be on a single budget cycle.

School districts must adopt a budget on or before July 1 of each year. The budget must be submitted to the county superintendent within five days of adoption or by July 1, whichever occurs first. The county superintendent will examine the adopted budget for compliance with the standards and criteria adopted by the State Board of Education and identify technical corrections necessary to bring the budget into compliance, and will determine if the budget allows the district to meet its current obligations, if the budget is consistent with a financial plan that will enable the district to meet its multi-year financial commitments, whether the budget includes the expenditures necessary to implement a local control and accountability plan, and whether the budget’s ending fund balance exceeds the minimum recommended reserve for economic uncertainties.

On or before August 15, the county superintendent will approve, conditionally approve or disapprove the adopted budget for each school district. Budgets will be disapproved if they fail the above standards. The district board must be notified by August 15 of the county superintendent’s recommendations for revision and reasons for the recommendations. The county superintendent may assign a fiscal advisor or appoint a committee to examine and comment on the superintendent’s recommendations. The committee must report its findings no later than August 20. Any recommendations made by the county superintendent must be made available by the district for public inspection. No later than September 22, the county superintendent must notify the State Superintendent of Public Instruction of all school districts whose budget may be disapproved.

For districts whose budgets have been disapproved, the district must revise and readopt its budget by September 8, reflecting changes in projected income and expense since July 1, including responding to the county superintendent’s recommendations. The county superintendent must determine if the budget conforms with the standards and criteria applicable to final district budgets and not later than October 8, will approve or disapprove the revised budgets. If the budget is disapproved, the county superintendent will call for the formation of a budget review committee pursuant to Education Code Section 42127.1. No later than October 8, the county superintendent must notify the State Superintendent of Public Instruction of all school districts whose budget has been disapproved. Until a district’s budget is approved, the district will operate on the lesser of its proposed budget for the current fiscal year or the last budget adopted and reviewed for the prior fiscal year.

Interim Financial Reports. Under the provisions of AB 1200, each school district is required to file interim certifications with the county office of education as to its ability to meet its financial obligations for the remainder of the then-current fiscal year and, based on current forecasts, for the subsequent fiscal year. The county office of education reviews the certification and issues either a positive, negative or qualified certification. A positive certification is assigned to any school district that will meet its financial obligations for the current fiscal year and subsequent two fiscal years. A negative certification is assigned to any school district that will be unable to meet its financial obligations for the remainder of the current fiscal year or subsequent fiscal year. A qualified certification is assigned to any school district that may not meet its financial obligations for the current fiscal year or two subsequent fiscal years.

Within the past five fiscal years, the District filed its first and second interim financial reports for fiscal year 2010-11 and its second interim financial report for fiscal year 2011-12 with “qualified” designations. Beginning with fiscal year 2012-13, the District has filed all interim reports with a “positive” designation, and the County Office of Education has accepted such designations.

Budgeting Trends. The District’s general fund adopted budgets for fiscal years 2012-13 through 2015-16, audited actual results for fiscal years 2011-12 through 2014-15 and projected results for fiscal year 2015-16 are set forth on the following page.

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GENERAL FUND BUDGETING
Fiscal Years 2012-13 through 2015-16
Lynwood Unified School District

	Fiscal Year 2012-13⁽¹⁾		Fiscal Year 2013-14⁽¹⁾		Fiscal Year 2014-15⁽¹⁾		Fiscal Year 2015-16⁽²⁾	
	<u>Budgeted</u>	<u>Audited</u>	<u>Budgeted</u>	<u>Audited</u>	<u>Budgeted</u>	<u>Audited</u>	<u>Budgeted</u>	<u>Projected</u>
REVENUES								
Revenue Limit/LCFF Sources ⁽³⁾	\$71,809,232	\$78,132,529	\$80,495,471	\$102,253,548	\$116,414,395	\$120,011,565	\$141,293,516	\$141,483,860
Federal	12,551,565	12,482,787	12,102,202	12,118,720	11,482,508	12,165,991	10,470,210	12,079,959
Other State ⁽³⁾	25,540,724	28,698,676	23,735,935	11,863,994	9,851,203	16,179,045	17,812,787	24,023,147
Other Local	<u>8,457,666</u>	<u>5,851,035</u>	<u>6,343,792</u>	<u>7,409,193</u>	<u>2,619,895</u>	<u>6,398,913</u>	<u>1,472,500</u>	<u>1,657,615</u>
Total Revenues	118,359,187	125,165,027	122,677,400	133,645,455	140,368,001	154,755,514	171,049,013	179,244,581
EXPENDITURES								
Certificated Salaries	54,486,817	55,617,053	54,148,150	56,438,507	54,929,294	65,130,271	64,447,118	70,093,131
Classified Salaries	21,221,688	21,224,956	20,403,754	21,589,656	21,859,064	24,830,481	25,311,405	27,882,829
Employee Benefits	23,162,843	26,991,544	23,661,011	27,141,017	24,848,522	32,577,598	28,114,580	30,868,115
Books and Supplies	5,228,953	4,561,721	3,610,036	4,468,949	5,706,752	6,260,341	6,392,836	8,573,504
Services, Other Operating Expenses	14,819,257	17,139,078	16,139,432	17,346,416	19,435,714	18,992,859	23,615,611	22,063,798
Capital outlay	80,000	403,878	85,000	439,000	1,829,045	4,268,404	3,120,192	2,970,192
Direct Support/Indirect Costs	--	--	--	--	--	--	(594,586)	(594,586)
Debt Service	--	1,467,990	--	1,634,115	--	1,897,994	--	--
Other Outgo	<u>4,152,274</u>	<u>1,053,487</u>	<u>3,076,164</u>	<u>3,012,188</u>	<u>4,378,427</u>	<u>3,001,549</u>	<u>6,139,414</u>	<u>6,139,414</u>
Total Expenditures	123,152,274	128,459,707	121,123,547	132,069,848	132,986,818	156,959,497	156,546,571	167,996,397
EXCESS (DEFICIENCY) OR REVENUES OVER (UNDER) EXPENDITURES	(4,793,087)	(3,294,680)	1,553,853	1,575,607	7,381,183	(2,203,983)	14,502,442	11,248,184
OTHER FINANCING SOURCES (USES)								
Interfund Transfers in	--	--	--	--	--	--	--	--
Interfund transfers out	<u>(1,987,922)</u>	<u>(186,826)</u>	<u>(2,187,260)</u>	<u>(112,362)</u>	<u>(2,085,965)</u>	<u>(112,362)</u>	<u>(2,559,517)</u>	<u>(2,665,843)</u>
Total Other Financing Sources and Uses	(1,987,922)	(186,826)	(2,187,260)	(112,362)	(2,085,965)	(112,362)	(2,559,517)	(2,665,843)
Excess (Deficiency) of Revenues and Other Financing Sources Over (Under) Expenditures and Other Financing Sources	(6,781,009)	(3,481,506)	(633,407)	1,463,245	5,295,218	(2,316,345)	11,942,925	8,582,341
Fund Balance, July 1	<u>15,394,869</u>	<u>15,394,869</u>	<u>11,913,363</u>	<u>11,913,363</u>	<u>13,376,608</u>	<u>13,376,608</u>	<u>9,845,787⁽⁴⁾</u>	<u>9,845,787⁽²⁾</u>
Fund Balance, June 30	<u>\$8,613,860</u>	<u>\$11,913,363</u>	<u>\$11,279,956</u>	<u>\$13,376,608</u>	<u>\$18,671,826</u>	<u>\$11,060,263</u>	<u>\$21,788,712</u>	<u>\$18,428,128</u>

⁽¹⁾ From the District's audited financial statements for each fiscal year.

⁽²⁾ From the District's second interim financial report for fiscal year 2015-16, dated as of March 8, 2016.

⁽³⁾ Change in revenues between fiscal years 2012-13 and 2013-14 reflects the first-year implementation of the LCFF.

⁽⁴⁾ Beginning amounts do not reflect the inclusion of the District's Adult Education and Deferred Maintenance Funds, which for financial reporting purposes have been included within the District's general fund in prior-year audits.

Source: Lynwood Unified School District

Accounting Practices

The accounting policies of the District conform to generally accepted accounting principles in accordance with policies and procedures of the California School Accounting Manual. This manual, according to Section 41010 of the California Education Code, is to be followed by all California school districts. Revenues are recognized in the period in which they become both measurable and available to finance expenditures of the current fiscal period. Expenditures are recognized in the period in which the liability is incurred.

Comparative Financial Statements

Audited financial statements for the District for the fiscal year ended June 30, 2015, and prior fiscal years are on file with the District and available for public inspection at the Office of the Chief Business Official of the District, 11321 Bullis Road, Lynwood, California 90262, telephone: (310) 886-1600. The District's audited financial statements for the year ended June 30, 2015 are attached hereto as APPENDIX B. The table on the following page reflects the District's general fund revenues, expenditures and changes in fund balance for fiscal years 2010-11 through 2014-15.

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AUDITED GENERAL FUND REVENUES, EXPENDITURES AND FUND BALANCES
Fiscal Years 2010-11 through 2014-15
Lynwood Unified School District

	Fiscal Year <u>2010-11</u>	Fiscal Year <u>2011-12</u>	Fiscal Year <u>2012-13</u>	Fiscal Year <u>2013-14</u>	Fiscal Year <u>2014-15</u>
REVENUES					
Revenue Limit/LCFF Sources	\$82,377,942	\$80,399,671	\$78,132,529 ⁽¹⁾	\$102,253,548 ⁽¹⁾	\$120,011,565
Federal	16,871,074	15,303,118	12,482,787	12,118,720	12,165,991
Other State	30,863,996	30,322,474	28,698,676 ⁽¹⁾	11,863,994 ⁽¹⁾	16,179,045
Other Local	<u>10,561,726</u>	<u>6,977,324</u>	<u>5,851,035</u>	<u>7,409,193</u>	<u>6,398,913</u>
Total Revenues	140,674,738	133,002,587	125,165,027	133,645,455	154,755,514
EXPENDITURES					
Certificated Salaries	58,925,588	59,921,025	55,617,053	56,438,507	65,130,271
Classified Salaries	19,207,485	20,172,479	21,224,956	21,589,656	24,830,481
Employee Benefits	22,535,876	24,922,766	26,991,544	27,141,017	32,577,598
Books and Supplies	4,266,343	5,203,790	4,561,721	4,468,949	6,260,341
Services, Other Operating Expenses	16,700,020	15,535,994	17,139,078	17,346,416	18,992,859
Capital outlay	--	475,078	403,878	439,000	4,268,404
Direct Support/Indirect Costs	--	--	--	--	--
Debt Service	1,865,371	1,638,918	1,467,990	495,000	1,897,994
Other Outgo	<u>6,345,377</u>	<u>5,293,080</u>	<u>1,053,487</u>	<u>1,139,115</u>	<u>3,001,549</u>
Total Expenditures	129,846,060	133,163,130	128,459,707	132,069,848	156,959,497
EXCESS (DEFICIENCY) OR REVENUES OVER (UNDER) EXPENDITURES	10,828,678	(160,543)	(3,294,680)	1,575,607	(2,203,983)
OTHER FINANCING SOURCES (USES)					
Interfund Transfers in	--	--	--	--	--
Other sources	(86,277)	--	--	--	--
Interfund transfers out	--	<u>(42,389)</u>	<u>(186,826)</u>	<u>(112,362)</u>	<u>(112,362)</u>
Total Other Financing Sources and Uses	(86,277)	(42,389)	(186,826)	(112,362)	(112,362)
Excess (Deficiency) of Revenues and Other Financing Sources Over (Under)					
Expenditures and Other Financing Sources	10,742,401	(202,932)	(3,481,506)	1,463,245	(2,316,345)
Fund Balance, July 1, as originally stated	4,597,592	15,597,801	15,394,869	11,913,363	13,376,608
Audit adjustments/Other Restatements	<u>257,808⁽²⁾</u>	--	--	--	--
Fund Balance, June 30	<u>\$15,597,801</u>	<u>\$15,394,869</u>	<u>\$11,913,363</u>	<u>\$13,376,608</u>	<u>\$11,060,263</u>

⁽¹⁾ Year-to-year change in revenues reflects the first-year implementation of the LCFF.

⁽²⁾ Reflects a positive restatement to the District's general fund in order to conform to Governmental Accounting Standards Board ("GASB") Statement No. 54's definition of governmental funds. For financial reporting purposes, Fund 11—Adult Education and Fund 14—Deferred Maintenance, are presented as part of the District's general fund. The restatement did not change the total fund balance amounts reported in the District's financial statements.

Source: Lynwood Unified School District.

State Budget

The following information concerning the State's budget has been obtained from publicly available information which the District believes to be reliable; however, the District does not guarantee the accuracy or completeness of this information and has not independently verified such information. Furthermore, it should not be inferred from the inclusion of this information in this Official Statement that the principal of or interest on the Bonds is payable from the general fund of the District. The Bonds are payable from the proceeds of an ad valorem property tax required to be levied by the County on taxable property within the boundaries of the District in an amount sufficient for the payment thereof.

2015-16 Budget. On June 24, 2015, the Governor signed into law the State budget for fiscal year 2015-16 (the "2015-16 Budget"). The following information is drawn from the State Department of Finance's summary of the 2015-16 Budget, as well as a summary prepared by the Legislative Analyst's Office (the "LAO").

For fiscal year 2014-15, the 2015-16 Budget projects total State general fund revenues of \$111.3 billion, and total State general fund expenditures of \$114.5 billion. The 2015-16 Budget projects that the State will end the 2014-15 fiscal year with a general fund ending balance of \$2.4 billion and total reserves of \$3 billion (including \$1.5 billion in the traditional general reserve and \$1.6 billion in the BSA). For fiscal year 2015-16, the 2015-16 Budget projects total State general fund revenues of \$115 billion and total expenditures of \$115.4 billion, leaving the State with a year-end general fund balance of approximately \$2 billion. The 2015-16 Budget projects total year-end reserves of \$4.6 billion, including \$1.1 billion in the traditional general fund reserve and \$3.5 billion in the BSA.

As a result of higher than anticipated State revenues, the 2015-16 Budget includes revised estimates to the minimum funding guarantees for fiscal years 2013-14 and 2014-15. The 2013-14 minimum guarantee is revised upward to \$58.9 billion, an increase of \$612 million over the estimate included in the 2014-15 State budget. For fiscal year 2014-15, the 2015-16 Budget revises the minimum guarantee upward to \$66.3 billion, an increase of \$5.4 billion over the estimate included in the 2014-15 State budget.

The 2015-16 Budget sets the Proposition 98 minimum funding guarantee for fiscal year 2015-16 at \$68.4 billion, including \$49.4 billion of support from the State general fund. This represents a year-to-year increase of \$2.1 billion over the revised level for fiscal year 2014-15. For K-12 education, the 2015-16 Budget provides total Proposition 98 funding of \$59.5 billion, including \$43.2 billion from the State general fund. Under the 2015-16 Budget, K-12 per-pupil spending in fiscal year 2015-16 is \$9,942, an increase of \$1,011 (or 11%) from the prior year.

Significant features of the 2015-16 Budget related to K-12 education include the following:

- **Local Control Funding Formula** – An increase of \$6 billion in Proposition 98 funding to continue the transition to the LCFF, bringing total LCFF funding to \$52 billion. This represents a 13% year-to-year increase, and is projected to close the remaining funding implementation gap between the prior year and the LCFF target levels by approximately 52%. As a result, the adjusted 2015-16 Base Grants are as follows: (i) \$7,820 for grades K-3, (ii) \$7,189 for grades 4-6, (iii) \$7,403 for grades 7-8, and (iv) \$8,801 for grades 9-12. See also "DISTRICT FINANCIAL INFORMATION – State Funding of Education – Local Control Funding Formula" herein.
- **Career Technical Education (CTE)** – The 2015-16 Budget establishes the Career Technical Education Incentive Grant Program for local education agencies to establish new or expand

high-quality CTE programs. The 2015-16 Budget provides \$400 million in fiscal year 2015-16 to fund the program, as well as \$300 million and \$200 million for fiscal years 2016-17 and 2017-18, respectively. The program allocates this funding into three pools for large, medium-sized and small applicants, based on ADA in grades 7-12. Specifically, 4% of total funding is available for agencies with less than 140 ADA, 8% is available for agencies with ADAs between 140 and 550, and the remainder for agencies with more than 550 ADA. Local education agencies will be required to provide local-to-state matching funds in each of the three years. When determining grant recipients, the State Department of Education will be required to give priority to those agencies that are establishing new programs, serve a large number of EL, LI and foster youth students, serve pupil groups with above-average dropout rates, or are located in areas of high unemployment.

- *K-14 Deferrals* – \$992 million to eliminate all outstanding apportionment deferrals, including \$897 million for K-12 education, consistent with a revenue-based trigger mechanism included in the 2014-15 State budget.
- *Maintenance Factor/Settle Up Payments* – The 2015-16 Budget reduces the outstanding Proposition 98 maintenance factor to \$772 million. The maintenance factor is created in years where the State provides less growth in K-14 funding than growth in the State economy by implementing “Test 3” or suspends the guarantee entirely. The 2015-16 Budget also provides \$256 million in “settle up” payments to repay obligations created in years where revenue projections understate the minimum funding guarantee.
- *Educator Support* – An increase of \$500 million in one-time Proposition 98 funding for educator support, including beginning teacher and administrator support, mentoring and professional development. These funds will be allocated to local educational agencies in an equal amount per certificated staff and are available for expenditure over the next three fiscal years.
- *Special Education* – \$60.1 million of Proposition 98 funding, including \$50.1 million of ongoing funding and \$10 million of one-time funds, to implement selected programmatic changes in special education services. The changes are intended to implement recommendations issued by a State taskforce formed in 2013, as well as to make targeted investments designed to improve the delivery of services and outcomes for disabled students.
- *K-12 High-Speed Internet Access* – An increase of \$50 million in one-time Proposition 98 funding to support additional internet connectivity and infrastructure.
- *Mandates* – An increase of \$3.2 billion in one-time Proposition 98 funding to reduce a backlog of unpaid reimbursement claims to K-12 local educational agencies for the cost of State-mandated programs. After accounting for this payment, the outstanding K-12 mandate backlog is approximately \$1.2 billion.
- *Adult Education* – \$500 million to fund the Adult Education Block Grant program. Prior budgetary legislation mandated the establishment of regional adult education consortia composed of school districts, community college districts and certain other stakeholders to coordinate the delivery of adult education services. Up to \$375 million is available to be distributed directly to K-12 school districts and county offices of education to match amounts that have been spent on adult education within the past two years. The balance will be apportioned directly to consortia for distribution to their member agencies. Beginning in fiscal year 2016-17, all funds for adult education will be apportioned directly to consortia. The 2015-16 Budget also provides \$25 million in one-time Proposition 98 funding to assist consortia develop or update data systems necessary to evaluate the effectiveness of their

programs, as well as to fund State-level activities to develop consistent data policies and data collection procedures.

- *Categorical Programs* – The 2015-16 Budget provides \$40 million to fund a 1.02% COLA for select K-12 categorical programs.
- *Emergency Repair Program* – \$273 million to make the final payment towards funding the Emergency Repair Program (“ERP”), which was created as the result of a legal settlement in 2004 to provide local educational agencies funding for critical repair projects.
- *Basic Skills Pilot Program* – \$10 million of Proposition 98 funding to support a pilot program designed to incentivize high schools, community college districts and the California State University system to coordinate the delivery of basic skills instruction to incoming CSU students.
- *Special Education* – \$67 million to fund a package of special-education related activities, including \$52 million in ongoing funding and \$15 million in one-time funds.

For additional information regarding the 2015-16 Budget, see the State Department of Finance website at www.dof.ca.gov and the LAO’s website at www.lao.ca.gov. However, the information presented on such websites is not incorporated herein by reference.

Governor’s Proposed 2016-17 Budget. On January 7, 2016, the Governor released his proposed State budget for fiscal year 2016-17 (the “Proposed Budget”). The following information is drawn from the Department of Finance’s report of the Proposed Budget, and well as the LAO’s summary of the Proposed Budget.

The Proposed Budget projects, for fiscal year 2015-16, total general fund revenues and transfers of \$117.6 billion and total expenditures of \$116.1 billion. The State is projected to end the 2015-16 fiscal year with total available reserves of \$8.7 billion, including \$4.2 billion in the traditional general fund reserve and \$4.5 billion in the BSA). For fiscal year 2016-17, the Proposed Budget assumes total general fund revenues of \$120.6 billion and authorizes expenditures of \$122.6 billion. The State is projected to end the 2016-17 fiscal year with total available reserves of \$10.2 billion, including \$2.2 billion in the traditional general fund reserve and \$8 billion in the BSA.

The Proposed Budget provides for retroactive increases to the Proposition 98 minimum funding guarantee for both fiscal years 2014-15 and 2015-16. For fiscal year 2014-15, the minimum funding guarantee is increased to \$66.7 billion, an increase of \$387 million from the level set by the 2015-16 Budget. The revision is due largely to an increase in the amount of local property tax collections allocable to K-14 school districts. For fiscal year 2015-16, the minimum funding guarantee is revised at \$69.2 billion, reflecting an increase of \$766 million over the level set by the 2015-16 Budget. The increase is due largely to increases in State general fund revenues, which requires the State to make a larger maintenance factor payment in fiscal year 2015-16.

For fiscal year 2016-17, the Proposed Budget sets the minimum funding guarantee at \$71.6 billion, including \$51 billion from the State general fund, reflecting an increase of \$2.4 billion over the revised fiscal year 2015-16 level. Ongoing Proposition 98 per-pupil expenditures in fiscal year 2016-17 are set at \$10,605, reflecting an increase of \$368 (or 3.6%) above the revised prior-year level. Under the Proposed Budget, fiscal year 2016-17 is projected to be a “Test 3” year, with the higher minimum funding guarantee driven primarily by a 2.4% increase in per-capita State general fund revenues. The State is projected to create a \$548 million maintenance factor obligation in fiscal year 2016-17.

Significant proposals or adjustments with respect to K-12 education funding include the following:

- *Local Control Funding Formula.* \$2.8 billion of Proposition 98 funding to school districts and charter schools to continue the implementation of the LCFF, a per-pupil increase of 6% from the prior fiscal year. This amount is estimated to close approximately 49% of the remaining funding gap between fiscal year 2013-14 funding levels and the LCFF target rates. As a result, the Proposed Budget projects total LCFF implementation to be at 95% during fiscal year 2016-17. The Proposed Budget also provides \$1.7 million to support a COLA to LCFF funding levels for county offices of education.
- *Settle-Up Payments.* \$257 million in settle up payments to repay an obligation created in fiscal years where revenue projections understate the minimum funding guarantee. The payment is allocated to an obligation created during fiscal year 2009-10. Following this payment, the State is projected have approximately \$1 billion in outstanding settle up payments.
- *Early Education Block Grant.* The Proposed Budget redirects \$1.7 billion in Proposition 98 funding to create a new block grants to benefit low-income and at-risk preschoolers. Specifically, the Proposed Budget would redirect categorical funding from the State Preschool, Transitional Kindergarten and Preschool Quality Rating and Improvement System grants. Funding would be provided to local educational agencies, and potentially other entities that offer State-funded preschool. Funds would be distributed based on population and need, but the Proposed Budget also includes a hold-harmless provision for certain providers.
- *Mandates* – Approximately \$1.3 billion in one-time Proposition 98 funding to reduce the existing backlog of unpaid reimbursement claims to K-12 local educational agencies for the cost of State-mandated programs. The funding would be provided to local educational agencies on a per-student basis, and would be available to be used at local discretion. After this payment, the Proposed Budget estimates that the State will have a remaining mandate backlog of \$1.8 billion.
- *Charter Schools* – An increase of \$61 million in Proposition 98 funding to support a projected growth in charter school ADA. The Proposed Budget also provides \$20 million of one-time funds to support operational start up costs for new charter schools in 2016 and 2017, to offset the loss of federal funding previously available for this purpose.
- *Categorical Programs* –\$22.9 million in Proposition 98 funding to support a 0.47% COLA for select K-12 categorical programs that remain outside the LCFF.
- *Special Education* – A decrease of \$15.5 million in Proposition 98 funding for special education, as a result of a projected decrease in special education ADA.
- *Proposition 39* – Passed by voters in November 2012, Proposition 39 increases State corporate tax revenues and requires that, for a five-year period starting in fiscal year 2013-14, a portion of these additional revenues be used allocated to local education agencies to improve energy efficiency and expand the use of alternative energy in public buildings. The Proposed Budget allocates \$365.4 million of such funds to support school district and charter school energy efficiency projects.
- *Truancy and Dropout Prevention* – Proposition 47, approved by voters in November 2014, reduces penalties for certain non-serious and non-violent property and drug offenses, and

requires that State expenditures savings resulting from these reduced penalties be invested into K-12 truancy and dropout prevention. The Proposed Budget allocates \$7.3 million of such funding to K-12 local education agencies.

- *Behavioral Supports* – \$30 million in one-time Proposition 98 funding to assist local educational agencies provide coordinated academic and behavioral support systems.

For additional information regarding the Proposed Budget, see the State Department of Finance website at www.dof.ca.gov and the LAO's website at www.lao.ca.gov. However, the information presented on such websites is not incorporated herein by reference.

Future Actions. The District cannot predict what actions will be taken in the future by the Legislature and the Governor to address changing State revenues and expenditures. The District also cannot predict the impact such actions will have on State revenues available in the current or future years for education. The State budget will be affected by national and State economic conditions and other factors over which the District will have no control. Certain actions or results could produce a significant shortfall of revenue and cash, and could consequently impair the State's ability to fund schools. State budget shortfalls in future fiscal years may also have an adverse financial impact on the financial condition of the District. However, the obligation to levy *ad valorem* property taxes upon all taxable property within the District for the payment of principal of and interest on the Bonds would not be impaired.

LYNWOOD UNIFIED SCHOOL DISTRICT

The information in this section concerning the operations of the District and the District's finances is provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal of and interest on the Bonds is payable from the general fund of the District. The Bonds are payable solely from the proceeds of an ad valorem property tax which is required to be levied by the County within the boundaries of the District in an amount sufficient for the payment thereof. See "THE BONDS – Security and Sources of Payment" herein.

General Information

The Lynwood Unified School District, formed in 1950, provides kindergarten through twelfth grade education services to residents in Los Angeles County, California. The District encompasses an area of approximately 6.5 square miles, and includes most of the City of Lynwood. The District operates 12 elementary schools, three middle schools, two high schools, one continuation high school, one adult school and two child care centers. For fiscal year 2015-16, the District's ADA is budgeted to be 14,198 students and taxable property within the District has an assessed valuation of \$2,840,280,380.

Unless otherwise indicated, the following financial, statistical and demographic data has been provided by the District. Additional information concerning the district and copies of the most recent and subsequent audited financial reports of the District may be obtained by contacting: Lynwood Unified School District, 11321 Bullis Rd., Lynwood, California 90262, Attention: Superintendent.

Administration

The District is governed by a five-member Board of Education, each member of which is elected to a four-year term. Elections for positions to the Board are held every two years, alternating between two and three available positions. Current members of the Board, together with their offices and the date each member's term expires, are listed below:

BOARD OF EDUCATION Lynwood Unified School District

<u>Board Member</u>	<u>Office</u>	<u>Term Expires</u>
Maria G. Lopez	President	December 2019
Gary Hardie Jr.	Vice President	December 2019
Briseida Gonzalez	Clerk	December 2019
Alfonso Morales	Member	December 2017
Alma-Delia Renteria	Member	December 2017

The Superintendent of the District is responsible for administering the affairs of the District in accordance with the policies of the Board. Brief biographies of key personnel follow:

Paul Gothold, Deputy Superintendent. Mr. Gothold was appointed as Superintendent of the District in 2013. Previously, Mr. Gothold served as the Chief Academic Officer of the District and as Deputy Superintendent. Prior to serving the District, Mr. Gothold served as Director of Secondary Education at Montebello Unified School District, the third largest school district in Los Angeles County. His experience in public education spans 18 years beginning as a Teacher, BTSA Mentor and Assessor, Assistant Principal, and High School Principal. Mr. Gothold has also served as an Adjunct Professor at Whittier College, teaching "Secondary Curriculum Methods" to grad students in the teacher credentialing program.

Marlene Dunn, Chief Business Official. Ms. Dunn was appointed as Chief Business Official of the District in 2015. Prior to serving the District, Ms. Dunn served the Los Angeles County Office of Education for 20 years, most recently as the Director of Business Advisory Services and Interim Chief Financial Officer, and was responsible for fiscal oversight of 80 public school districts and other agencies with budgets totaling more than \$22 billion. Ms. Dunn received her bachelor's degree in business administration and management from the University of Phoenix, and an associate's degree in accounting from Cerritos College.

Average Daily Attendance and Enrollment

The following table shows ADA and enrollment figures for the District for the last six years and budgeted amounts for fiscal year 2015-16.

AVERAGE DAILY ATTENDANCE AND ENROLLMENT Fiscal Years 2009-10 through 2015-16 Lynwood Unified School District

<u>Fiscal Year</u>	<u>Average Daily Attendance⁽¹⁾</u>	<u>Enrollment⁽²⁾</u>
2009-10	15,602	16,715
2010-11	15,602	15,987
2011-12	15,585	15,515
2012-13	15,002	15,029
2013-14	14,198	14,919
2014-15	14,154	14,776
2015-16 ⁽³⁾	14,198	14,700

⁽¹⁾ Except for fiscal year 2015-16, reflects P-2 ADA.

⁽²⁾ Enrollment for years prior to fiscal 2013-14 is as of October CBEDS report. Certified enrollment for fiscal year 2013-14 and onward is as of the fall census day (the first Wednesday in October) reported to CALPADS. See also "DISTRICT FINANCIAL INFORMATION – State Funding of Education – Local Control Funding Formula" herein. Fiscal year 2015-16 projected.

⁽³⁾ Projected.

Source: Lynwood Unified School District.

Labor Relations

As of January 1, 2016, the District employed 818 full-time equivalent ("FTE") certificated employees and 970 FTE classified employees. District employees, except management and some part-time employees, are represented by the three bargaining units as noted below:

<u>Labor Organization</u>	<u>Contract Expiration Date</u>
Lynwood Teachers' Association	June 30, 2016
California Schools Employee Association	June 30, 2016
Service Employees International Union	June 30, 2016

Source: Lynwood Unified School District.

District Retirement Programs

The information set forth below regarding the District's retirement programs, other than the information provided by the District regarding its annual contributions thereto, has been obtained from publicly available sources which are believed to be reliable but are not guaranteed as to accuracy or completeness, and should not to be construed as a representation by either the District, Financial Advisor or the Underwriter.

STRS. All full-time certificated employees, as well as certain classified employees, are members of the State Teachers' Retirement System ("STRS"). STRS provides retirement, disability and survivor benefits to plan members and beneficiaries under a defined benefit program (the "STRS Defined Benefit Program"). The STRS Defined Benefit Program is funded through a combination of investment earnings and statutorily set contributions from three sources: employees, employers, and the State. Benefit provisions and contribution amounts are established by State statutes, as legislatively amended from time to time.

Prior to fiscal year 2014-15, and unlike typical defined benefit programs, neither the employee, employer nor State contribution rates to the STRS Defined Benefit Program varied annually to make up funding shortfalls or assess credits for actuarial surpluses. In recent years, the combined employer, employee and State contributions to the STRS Defined Benefit Program have not been sufficient to pay actuarially required amounts. As a result, and due to significant investment losses, the unfunded actuarial liability of the STRS Defined Benefit Program has increased significantly in recent fiscal years. In September 2013, STRS projected that the STRS Defined Benefit Program would be depleted in 31 years assuming existing contribution rates continued, and other significant actuarial assumptions were realized. In an effort to reduce the unfunded actuarial liability of the STRS Defined Benefit Program, the State recently passed the legislation described below to increase contribution rates.

Prior to July 1, 2014, K-14 school districts were required by such statutes to contribute 8.25% of eligible salary expenditures, while participants contributed 8% of their respective salaries. On June 24, 2014, the Governor signed AB 1469 ("AB 1469") into law as a part of the State's fiscal year 2014-15 budget. AB 1469 seeks to fully fund the unfunded actuarial obligation with respect to service credited to members of the STRS Defined Benefit Program before July 1, 2014 (the "2014 Liability"), within 32 years, by increasing member, K-14 school district and State contributions to STRS. Commencing July 1, 2014, the employee contribution rate will increase over a three-year phase-in period in accordance with the following schedule:

MEMBER CONTRIBUTION RATES STRS (Defined Benefit Program)

<u>Effective Date</u>	<u>STRS Members Hired Prior to January 1, 2013</u>	<u>STRS Members Hired After January 1, 2013</u>
July 1, 2014	8.15%	8.150%
July 1, 2015	9.20	8.560
July 1, 2016	10.25	9.205

Source: AB 1469.

Pursuant to AB 1469, K-14 school districts' contribution rate will increase over a seven year phase in period in accordance with the following schedule:

**K-14 SCHOOL DISTRICT CONTRIBUTION RATES
STRS (Defined Benefit Program)**

<u>Effective Date</u>	<u>K-14 School Districts</u>
July 1, 2014	8.88%
July 1, 2015	10.73
July 1, 2016	12.58
July 1, 2017	14.43
July 1, 2018	16.28
July 1, 2019	18.13
July 1, 2020	19.10

Source: AB 1469.

Based upon the recommendation from its actuary, for fiscal year 2021-22 and each fiscal year thereafter the STRS Teachers' Retirement Board (the "STRS Board"), is required to increase or decrease the K-14 school districts' contribution rate to reflect the contribution required to eliminate the remaining 2014 Liability by June 30, 2046; provided that the rate cannot change in any fiscal year by more than 1% of creditable compensation upon which members' contributions to the STRS Defined Benefit Program are based; and provided further that such contribution rate cannot exceed a maximum of 20.25%. In addition to the increased contribution rates discussed above, AB 1469 also requires the STRS Board to report to the Legislature every five years (commencing with a report due on or before July 1, 2019) on the fiscal health of the STRS Defined Benefit Program and the unfunded actuarial obligation with respect to service credited to members of that program before July 1, 2014. The reports are also required to identify adjustments required in contribution rates for K-14 school districts and the State in order to eliminate the 2014 Liability.

The District's contributions to STRS were \$4,619,857 for fiscal year 2012-13, \$4,594,341 for fiscal year 2013-14, and \$5,971,352 for fiscal year 2014-15. The District has budgeted its contribution to STRS to be \$7,943,858 in fiscal year 2015-16.

The State also contributes to STRS, currently in an amount equal to 4.891% of teacher payroll for fiscal year 2015-16. The State's contribution reflects a base contribution rate of 2.017%, and a supplemental contribution rate that will vary from year to year based on statutory criteria. Pursuant to AB 1469, the State contribution rate will increase over a three year period to a total of 6.328% in fiscal year 2016-17. Based upon the recommendation from its actuary, for fiscal year 2017-18 and each fiscal year thereafter, the STRS Board is required, with certain limitations, to increase or decrease the State's contribution rates to reflect the contribution required to eliminate the unfunded actuarial accrued liability attributed to benefits in effect before July 1, 1990. In addition, the State is currently required to make an annual general fund contribution up to 2.5% of the fiscal year covered STRS member payroll to the Supplemental Benefit Protection Account (the "SBPA"), which was established by statute to provide supplemental payments to beneficiaries whose purchasing power has fallen below 85% of the purchasing power of their initial allowance.

PERS. Classified employees working four or more hours per day are members of the Public Employees' Retirement System ("PERS"). PERS provides retirement and disability benefits, annual cost-of-living adjustments, and death benefits to plan members and beneficiaries. Benefit provisions are established by the State statutes, as legislatively amended from time to time. PERS operates a number of retirement plans including the Public Employees Retirement Fund ("PERF"). PERF is a multiple-employer defined benefit retirement plan. In addition to the State, employer participants at June 30, 2014 included 1,580 public agencies and 1,513 K-14 school districts. PERS acts as the common investment and administrative agent for the member agencies. The State and K-14 school districts (for "classified employees," which generally consist of school employees other than teachers) are required by law to participate in PERF. Employees participating in PERF generally become fully vested in their retirement benefits earned to date after five years of credited service. One of the plans operated by PERS is for K-14 school districts throughout the State (the "Schools Pool").

Contributions by employers to the PERS Schools Pool are based upon an actuarial rate determined annually and contributions by plan members vary based upon their date of hire. The District is currently required to contribute to PERS at an actuarially determined rate, which is 11.847% of eligible salary expenditures for fiscal year 2015-16. Participants enrolled in PERS prior to January 1, 2013 contribute 7% of their respective salaries, while participants enrolled after January 1, 2013 contribute at an actuarially determined rate, which is 6% of their respective salaries for fiscal year 2015-16. See "— California Public Employees' Pension Reform Act of 2013" herein.

The District's contributions to PERS were \$2,515,065 for fiscal year 2012-13, \$2,495,714 for fiscal year 2013-14 and \$2,871,044 for fiscal year 2014-15. The District has budgeted its contribution to PERS to be \$3,523,818 in fiscal year 2015-16.

State Pension Trusts. Each of STRS and PERS issues a separate comprehensive financial report that includes financial statements and required supplemental information. Copies of such financial reports may be obtained from each of STRS and PERS as follows: (i) STRS, P.O. Box 15275, Sacramento, California 95851-0275; (ii) PERS, P.O. Box 942703, Sacramento, California 94229-2703. Moreover, each of STRS and PERS maintains a website, as follows: (i) STRS: www.calstrs.com; (ii) PERS: www.calpers.ca.gov. However, the information presented in such financial reports or on such websites is not incorporated into this Official Statement by any reference.

Both STRS and PERS have substantial statewide unfunded liabilities. The amount of these unfunded liabilities will vary depending on actuarial assumptions, returns on investments, salary scales and participant contributions. The following table summarizes information regarding the actuarially-determined accrued liability for both STRS and PERS. Actuarial assessments are "forward-looking" information that reflect the judgment of the fiduciaries of the pension plans, and are based upon a variety of assumptions, one or more of which may not materialize or be changed in the future. Actuarial assessments will change with the future experience of the pension plans.

FUNDED STATUS
STRS (Defined Benefit Program) and PERS
(Dollar Amounts in Millions) ⁽¹⁾
Fiscal Years 2010-11 through 2013-14

<u>STRS</u>					
<u>Fiscal Year</u>	<u>Accrued Liability</u>	<u>Value of Trust Assets (MVA) ⁽²⁾</u>	<u>Unfunded Liability (MVA) ⁽²⁾⁽³⁾</u>	<u>Value of Trust Assets (AVA) ⁽⁴⁾</u>	<u>Unfunded Liability (AVA) ⁽⁴⁾</u>
2010-11	\$208,405	\$147,140	\$68,365	\$143,930	\$64,475
2011-12	215,189	143,118	80,354	144,232	70,957
2012-13	222,281	157,176	74,374	148,614	73,667
2013-14	231,213	179,749	61,807	158,495	72,718

<u>PERS</u>					
<u>Fiscal Year</u>	<u>Accrued Liability</u>	<u>Value of Trust Assets (MVA) ⁽²⁾</u>	<u>Unfunded Liability (MVA) ⁽²⁾</u>	<u>Value of Trust Assets (AVA) ⁽⁴⁾</u>	<u>Unfunded Liability (AVA) ⁽⁴⁾</u>
2010-11	\$58,358	\$45,901	\$12,457	\$51,547	\$6,811
2011-12	59,439	44,854	14,585	53,791	5,648
2012-13	61,487	49,482	12,005	56,250	5,237
2013-14	65,600	56,838	8,761	-- ⁽⁵⁾	-- ⁽⁵⁾

⁽¹⁾ Amounts may not add due to rounding.

⁽²⁾ Reflects market value of assets.

⁽³⁾ Excludes assets allocated to the SBPA reserve.

⁽⁴⁾ Reflects actuarial value of assets.

⁽⁵⁾ Effective for the June 30, 2014 actuarial valuation, PERS no longer uses an actuarial value of assets.

Source: PERS Schools Pool Actuarial Valuation; STRS Defined Benefit Program Actuarial Valuation.

According to the STRS Defined Benefit Program Actuarial Valuation, as of June 30, 2014, the future revenue from contributions and appropriations for the STRS Defined Benefit Program was projected to be sufficient to finance its obligations. This finding reflects the scheduled contribution increases specified in AB 1469 and is based on the valuation assumptions and the valuation policy adopted by the STRS Board.

In recent years, the PERS Board of Administration (the “PERS Board”) has taken several steps, as described below, intended to reduce the amount of the unfunded accrued actuarial liability of its plans, including the Schools Pool.

On March 14, 2012, the PERS Board voted to lower the PERS’ rate of expected price inflation and its investment rate of return (net of administrative expenses) (the “PERS Discount Rate”) from 7.75% to 7.5%. As one consequence of such decrease, the annual contribution amounts paid by PERS member public agencies, including the District, have been increased by 1 to 2% for miscellaneous plans and by 2 to 3% for safety plans beginning in fiscal year 2013-14. On February 18, 2014, the PERS Board voted to keep the PERS Discount Rate unchanged at 7.5%. On November 17, 2015, the PERS Board voted to reduce the PERS Discount Rate to 6.5% over a period of 20 years. This change could result in increased contributions over time from both employers and employees.

On April 17, 2013, the PERS Board approved new actuarial policies aimed at returning PERS to fully-funded status within 30 years. The policies include a rate smoothing method with a 30-year fixed

amortization period for gains and losses, a five-year increase of public agency contribution rates, including the contribution rate at the onset of such amortization period, and a five year reduction of public agency contribution rates at the end of such amortization period. The new actuarial policies were first included in the June 30, 2014 actuarial valuation and were implemented with respect the State, K-14 school districts and all other public agencies in fiscal year 2015-16.

Also, on February 20, 2014, the PERS Board approved new demographic assumptions reflecting (i) expected longer life spans of public agency employees and related increases in costs for the PERS system and (ii) trends of higher rates of retirement for certain public agency employee classes, including police officers and firefighters. The new actuarial assumptions will first be reflected in the Schools Pool in the June 30, 2015 actuarial valuation. The increase in liability due to the new assumptions will be amortized over 20 years with increases phased in over five years, beginning with the contribution requirement for fiscal year 2016-17. The new demographic assumptions affect the State, K-14 school districts and all other public agencies.

The District can make no representations regarding the future program liabilities of STRS, or whether the District will be required to make additional contributions to STRS in the future above those amounts required under AB 1469. The District can also provide no assurances that the District's required contributions to PERS will not increase in the future.

California Public Employees' Pension Reform Act of 2013. On September 12, 2012, the Governor signed into law the California Public Employees' Pension Reform Act of 2013 (the "Reform Act"), which makes changes to both STRS and PERS, most substantially affecting new employees hired after January 1, 2013 (the "Implementation Date"). For STRS participants hired after the Implementation Date, the Reform Act changes the normal retirement age by increasing the eligibility for the 2% age factor (the age factor is the percent of final compensation to which an employee is entitled to for each year of service) from age 60 to 62 and increasing the eligibility of the maximum age factor of 2.4% from age 63 to 65. Similarly, for non-safety PERS participants hired after the Implementation Date, the Reform Act changes the normal retirement age by increasing the eligibility for the 2% age factor from age 55 to 62 and increases the eligibility requirement for the maximum age factor of 2.5% to age 67. Among the other changes to PERS and STRS, the Reform Act also: (i) requires all new participants enrolled in PERS and STRS after the Implementation Date to contribute at least 50% of the total annual normal cost of their pension benefit each year as determined by an actuary, (ii) requires STRS and PERS to determine the final compensation amount for employees based upon the highest annual compensation earnable averaged over a consecutive 36-month period as the basis for calculating retirement benefits for new participants enrolled after the Implementation Date (previously 12 months for STRS members who retire with 25 years of service), and (iii) caps "pensionable compensation" for new participants enrolled after the Implementation Date at 100% of the federal Social Security contribution (to be adjusted annually based on changes to the Consumer Price Index for all Urban Consumers) and benefit base for members participating in Social Security or 120% for members not participating in social security (to be adjusted annually based on changes to the Consumer Price Index for all Urban Consumers), while excluding previously allowed forms of compensation under the formula such as payments for unused vacation, annual leave, personal leave, sick leave, or compensatory time off.

GASB Statement Nos. 67 and 68. On June 25, 2012, GASB approved Statements Nos. 67 and 68 ("Statements") with respect to pension accounting and financial reporting standards for state and local governments and pension plans. The new Statements, No. 67 and No. 68, replace GASB Statement No. 27 and most of Statements No. 25 and No. 50. The changes impact the accounting treatment of pension plans in which state and local governments participate. Major changes include: (1) the inclusion of unfunded pension liabilities on the government's balance sheet (currently, such unfunded liabilities are

typically included as notes to the government's financial statements); (2) more components of full pension costs being shown as expenses regardless of actual contribution levels; (3) lower actuarial discount rates being required to be used for underfunded plans in certain cases for purposes of the financial statements; (4) closed amortization periods for unfunded liabilities being required to be used for certain purposes of the financial statements; and (5) the difference between expected and actual investment returns being recognized over a closed five-year smoothing period. In addition, according to GASB, Statement No. 68 means that, for pensions within the scope of the Statement, a cost-sharing employer that does not have a special funding situation is required to recognize a net pension liability, deferred outflows of resources, deferred inflows of resources related to pensions and pension expense based on its proportionate share of the net pension liability for benefits provided through the pension plan. Because the accounting standards do not require changes in funding policies, the full extent of the effect of the new standards on the District is not known at this time. The reporting requirements for pension plans took effect for the fiscal year beginning July 1, 2013 and the reporting requirements for government employers, including the District, took effect for the fiscal year beginning July 1, 2014.

For fiscal year ending June 30, 2015, the District's proportionate share of the net STRS pension liability was \$73,349,471. As of such date, the District's proportionate share of the net PERS pension liability was \$23,663,277. For additional information regarding the Statements, see also "APPENDIX B –2014-15 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 13" herein.

Other Postemployment Benefits

Benefits Plan. The District administers a single-employer defined healthcare benefit plan (the "Plan") providing post-employment medical, dental and vision insurance benefits (the "Benefits") to eligible retirees of the District and their spouses. Employees are eligible on or after attaining the age of 55 with at least 10 years of service to the District. The Plan provides Benefits for up to five years, or until such employee reaches age 65, whichever occurs first. The District currently recognizes expenses for the Plan on a pay-as-you-go basis to cover the cost of premiums for current retirees. For fiscal year 2014-15, the District contributed \$770,786 towards the Plan, all of which were for current insurance premiums. For fiscal year 2015-16, the District has budgeted \$1,000,000 as its contribution towards the Plan, for current insurance premiums.

Accrued Liability. The District has implemented GASB Statement #45, *Accounting and Financial Reporting by Employers for Postemployment Benefit Plans Other Than Pension Plans*, pursuant to which the District has commissioned and received several actuarial studies of its outstanding liabilities with respect to the Benefits. The most recent of these studies, dated as of June 30, 2012, determined that the actuarial accrued liability ("AAL") with respect to the Benefits was \$10,893,076. The Study also concluded that the annual required contribution ("ARC") was \$1,264,704. The ARC is the amount that would be necessary to fund the value of future benefits earned by current employees during each fiscal year (the "Normal Cost") and the amount necessary to amortize the AAL, in accordance with the GASB Statements Nos. 43 and 45.

As of June 30, 2015, the District recognized a net long-term balance sheet liability of \$7,041,530 with respect to the Benefits (the "Net OPEB Obligation"), based on the District's contributions towards the ARC during fiscal year 2014-15, as adjusted for interest on the prior year's Net OPEB Obligation and adjustments to the ARC. See "APPENDIX B –2014-15 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 11" herein.

Risk Management

The District is exposed to various risks of loss related to tortious liability, theft, damage or destruction of assets, errors or omissions, employee injuries or natural disasters. The District maintains commercial insurance for first party damage up to \$500 million, as well as insurance for general liability claims with coverage of up to \$1 million per occurrence, with excess coverage of up to \$25 million. The District also purchases employee health insurance, excess workers compensation insurance and property liability coverage. The District is self-insured for workers compensation coverage up to \$2 million, with excess coverage of up to \$10 million. There has been no significant reduction in any of these insurance coverages from prior year. Settled claims resulting from these programs have not exceeded insurance coverage in each of the past three fiscal years.

The District participates in two joint powers agreements with the following entities: the Schools' Excess Liability Fund ("SELF"), and the Alliance of Schools for Cooperative Insurance Programs ("ASCIP," and, together with SELF, the "JPAs"). The District pays a premiums to the JPAs for its health, excess workers compensation and property liability coverage. Each JPA is governed by a board consisting of a representative from each member district. Each governing board controls the operations of its JPA independent of any influence by the District beyond the District's representation on the governing boards. The relationships between the District and the JPAs are such that neither JPA is a component unit of the District for financial reporting purposes.

There are a number of claims pending against the District. In the opinion of the District, the related liability, if any, stemming from these claims will not materially affect the financial condition of the District. Settled claims have not exceeded available insurance coverages in the past three fiscal years.

See also "APPENDIX B – 2014-15 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT – Note 12" and "—Note 15" herein.

District Debt Structure

Long-Term Debt. A schedule of changes in long-term debt for the year ended June 30, 2015, is shown below:

	Balance July 1, 2014	Additions	Deductions	Balance June 30, 2015
General obligation bonds	\$34,930,288	\$10,859,536	\$2,230,000	\$43,559,824
Premium on Bonds	1,255,734	955,508	89,695	2,121,547
Bond Anticipation Notes	13,499,948	9,380,000	13,499,948	9,380,000
Certificates of participation	20,985,000	--	510,000	20,475,000
Compensated absences	1,677,426	196,779	--	1,874,205
PARS retirement	1,127,104	1,624,435	1,058,936	1,692,603
Claims liabilities	7,817,000	680,000	--	8,497,000
OPEB obligation, net ⁽¹⁾	<u>6,637,105</u>	<u>1,175,211</u>	<u>770,786</u>	<u>7,041,530</u>
Total Long-Term liabilities	<u>\$87,929,605</u>	<u>\$24,871,469</u>	<u>\$18,159,365</u>	<u>\$94,641,709</u>

⁽¹⁾ Reflects the change in the District's net OPEB obligation, based on its contributions towards the ARC. See "—Other Post-Employment Benefits" herein.

Source: Lynwood Unified School District.

PARS Early Retirement Incentive. The District offered certain qualified employees an early retirement incentive pursuant to a qualified plan under Section 401A of the Internal Revenue Code. The plan is administered by Public Agency Retirement Systems ("PARS"). The retirees receive an annual

benefit payment in five equal installments. As of June 30, 2015, there were 96 employees participating in this plan, and the District's total obligation to such employees was \$1,692,603.

Bond Anticipation Notes. On August 1, 2014, the District issued 2014 General Obligation Bond Anticipation Notes, Series A and Series B (collectively, the "Notes"), in the collective principal amount of \$9,380,000. The Notes mature on August 1, 2017. The Notes were issued to (i) finance the repair, upgrading, construction and equipping of certain District sites and facilities, in anticipation of the issuance of bonds pursuant to the Authorization, and (ii) to pay a prior series of bond anticipation notes. The Notes are payable from proceeds of the future sale of general obligation bonds issued pursuant to the Authorization, from proceeds of the sale of bond anticipation notes in renewal of the Notes, or from other funds of the District lawfully available for the purpose of repaying the Notes, including State grants. Interest on the Notes is also payable from an *ad valorem* property tax lawfully levied to pay such interest when due.

General Obligation Bonds. The following table shows the combined debt service schedule with respect to the total outstanding general obligation bonded debt of the District, including the Bonds (and assuming no optional redemptions).

COMBINED GENERAL OBLIGATION BOND DEBT SERVICE SCHEDULE
Lynwood Unified School District

Year Ending August 1	Election of 2002 Series A Bonds	2012 Refunding Bonds	Election of 2012 Series A Bonds	Election of 2012 Series B Bonds	The Bonds	Total Annual Debt Service
2016	\$800,000.00	\$657,812.50	\$915,175.00	\$454,931.26	--	\$2,827,918.76
2017	850,000.00	656,762.50	926,925.00	523,931.26	\$578,814.44	3,536,433.20
2018	--	1,555,912.50	943,075.00	561,531.26	496,400.00	3,556,918.76
2019	--	1,614,931.25	953,475.00	559,531.26	348,500.00	3,476,437.51
2020	--	1,675,275.00	963,275.00	397,131.26	398,500.00	3,434,181.26
2021	--	1,722,150.00	982,475.00	397,131.26	422,500.00	3,524,256.26
2022	--	1,802,150.00	991,875.00	497,131.26	371,000.00	3,662,156.26
2023	--	1,870,150.00	1,005,275.00	494,631.26	445,500.00	3,815,556.26
2024	--	1,941,400.00	1,023,025.00	491,881.26	477,500.00	3,933,806.26
2025	--	2,000,400.00	1,033,625.00	638,881.26	404,800.00	4,077,706.26
2026	--	2,077,400.00	1,048,025.00	681,381.26	413,500.00	4,220,306.26
2027	--	2,150,212.50	1,060,837.50	726,631.26	437,000.00	4,374,681.26
2028	2,200,000.00	--	1,076,987.50	629,650.00	583,000.00	4,489,637.50
2029	--	--	1,087,000.00	680,200.00	573,000.00	2,340,200.00
2030	--	--	1,099,750.00	738,650.00	563,000.00	2,401,400.00
2031	--	--	1,115,250.00	934,650.00	443,000.00	2,492,900.00
2032	--	--	1,128,250.00	990,250.00	428,800.00	2,547,300.00
2033	--	--	1,138,750.00	1,057,650.00	454,900.00	2,651,300.00
2034	--	--	1,156,750.00	1,116,250.00	455,100.00	2,728,100.00
2035	--	--	1,171,750.00	816,250.00	720,150.00	2,708,150.00
2036	--	--	1,188,750.00	881,087.50	742,100.00	2,811,937.50
2037	--	--	1,202,500.00	962,212.50	758,000.00	2,922,712.50
2038	--	--	1,218,000.00	1,038,800.00	768,000.00	3,024,800.00
2039	--	--	--	2,040,850.00	1,036,800.00	3,077,650.00
	--	--	--	--	2,394,000.00	2,394,000.00
	--	--	--	--	<u>2,485,600.00</u>	<u>2,485,600.00</u>
Totals	<u>\$3,850,000.00</u>	<u>\$19,724,556.25</u>	<u>\$24,430,800.00</u>	<u>\$18,311,225.12</u>	<u>\$17,199,464.44</u>	<u>\$83,516,045.81</u>

Certificates of Participation. On April 26, 2007, the District executed and delivered its Certificates of Participation (School Construction Project) 2007 Series A, evidencing principal in an amount equal to \$19,430,000 (the “2007 Series A Certificates”), for the purpose of financing certain facility improvements. On July 10, 2007, the District executed and delivered its Certificates of Participation (Refinancing Project) 2007 Series B, evidencing principal in an amount equal to \$4,260,000 (the “2007 Series B Certificates”), for the purpose of refunding certain then-outstanding certificates of participation. On March 1, 2016, the District executed and delivered its 2016 Refunding Certificates of Participation, evidencing principal in an amount equal to \$16,325,000 (the “2016 Certificates,” and together with the 2007 Series A Certificates and 2007 Series B Certificates, the “Certificates”), for the purpose of refunding portions of the 2007 Series A Certificates and 2007 Series B Certificates.

Each of the Certificates is payable from lease payments to be made by the District pursuant to certain lease agreements by and between the Public Property Financing Corporation of California, for use and possession of certain District sites and facilities. The following table shows future lease payments due with respect to the District’s outstanding Certificates.

ANNUAL LEASE PAYMENT SCHEDULE
Certificates of Participation
Lynwood Unified School District

<u>Year Ending</u> <u>October 1</u>	<u>2007 Series A</u> <u>Certificates</u>	<u>2007 Series B</u> <u>Certificates</u>	<u>2016</u> <u>Certificates</u>	<u>Total</u>
2016	\$488,568.76	\$233,462.50	\$670,780.73	\$1,392,811.99
2017	505,006.26	234,212.50	672,981.26	1,412,200.02
2018	--	209,750.00	1,192,981.26	1,402,731.26
2019	--	205,500.00	1,177,181.26	1,382,681.26
2020	--	201,250.00	1,171,181.26	1,372,431.26
2021	--	202,000.00	1,169,181.26	1,371,181.26
2022	--	202,500.00	1,180,931.26	1,383,431.26
2023	--	202,750.00	1,170,681.26	1,373,431.26
2024	--	202,750.00	1,169,431.26	1,372,181.26
2025	--	202,500.00	1,176,681.26	1,379,181.26
2026	--	197,000.00	1,171,931.26	1,368,931.26
2027	--	196,500.00	1,175,681.26	1,372,181.26
2028	--	195,750.00	1,177,431.26	1,373,181.26
2029	--	199,750.00	1,177,181.26	1,376,931.26
2030	--	198,250.00	1,169,931.26	1,368,181.26
2031	--	196,500.00	1,175,931.26	1,372,431.26
2032	--	194,500.00	1,174,431.26	1,368,931.26
2033	--	192,250.00	1,175,181.26	1,367,431.26
2034	--	194,750.00	1,180,031.26	1,374,781.26
2035	--	196,750.00	1,182,531.26	1,379,281.26
2036	--	198,250.00	1,203,937.50	1,402,187.50
2037	--	194,250.00	1,182,212.50	1,376,462.50
Total	<u>\$993,575.02</u>	<u>\$4,451,175.00</u>	<u>\$24,898,424.67</u>	<u>\$30,343,174.69</u>

TAX MATTERS

In the opinion of Bond Counsel, under existing statutes, regulations, rulings and judicial decisions, and assuming the accuracy of certain representations and compliance with certain covenants and requirements described herein, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. In the further opinion of Bond Counsel, interest on the Bonds is exempt from State personal income tax. Bond Counsel notes that, with respect to corporations, interest on the Bonds may be included as an adjustment in the calculation of alternative minimum taxable income which may affect the alternative minimum tax liability of corporations.

The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of the same series and maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bond constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bond Owner before receipt of cash attributable to such excludable income. The amount of original issue discount deemed received by the Bond Owner will increase the Bond Owner's basis in the Bond. In the opinion of Bond Counsel, the amount of original issue discount that accrues to the owner of the Bond is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State personal income tax.

Bond Counsel's opinion as to the exclusion from gross income of interest (and original issue discount) on the Bonds is based upon certain representations of fact and certifications made by the District and others and is subject to the condition that the District complies with all requirements of the Internal Revenue Code of 1986, as amended (the "Code"), that must be satisfied subsequent to the issuance of the Bonds to assure that interest (and original issue discount) on the Bonds will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause the interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The District has covenanted to comply with all such requirements.

The amount by which a Bond Owner's original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Code; such amortizable Bond premium reduces the Bond Owner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bond Owner realizing a taxable gain when a Bond is sold by the Owner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Owner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable Bond premium.

The Internal Revenue Service (the "IRS") has initiated an expanded program for the auditing of tax-exempt bond issues, including both random and targeted audits. It is possible that the Bonds will be selected for audit by the IRS. It is also possible that the market value of the Bonds might be affected as a result of such an audit of the Bonds (or by an audit of similar bonds). No assurance can be given that in the course of an audit, as a result of an audit, or otherwise, Congress or the IRS might not change the Code (or interpretation thereof) subsequent to the issuance of the Bonds to the extent that it adversely affects the exclusion from gross income of interest on the Bonds or their market value.

SUBSEQUENT TO THE ISSUANCE OF THE BONDS, THERE MIGHT BE FEDERAL, STATE OR LOCAL STATUTORY CHANGES (OR JUDICIAL OR REGULATORY INTERPRETATIONS OF FEDERAL, STATE OR LOCAL LAW) THAT AFFECT THE FEDERAL, STATE OR LOCAL TAX TREATMENT OF THE INTEREST ON THE BONDS OR THE MARKET VALUE OF THE BONDS. LEGISLATIVE CHANGES HAVE BEEN PROPOSED IN CONGRESS, WHICH, IF ENACTED, WOULD RESULT IN ADDITIONAL FEDERAL INCOME TAX BEING IMPOSED ON CERTAIN OWNERS OF TAX-EXEMPT STATE OR LOCAL OBLIGATIONS SUCH AS THE BONDS. THE INTRODUCTION OR ENACTMENT OF ANY SUCH CHANGES COULD ADVERSELY AFFECT THE MARKET VALUE OR LIQUIDITY OF THE BONDS. NO ASSURANCE CAN BE GIVEN THAT, SUBSEQUENT TO THE ISSUANCE OF THE BONDS, SUCH CHANGES (OR OTHER CHANGES) WILL NOT BE INTRODUCED OR ENACTED OR INTERPRETATIONS WILL NOT OCCUR. BEFORE PURCHASING ANY OF THE BONDS, ALL POTENTIAL PURCHASERS SHOULD CONSULT THEIR TAX ADVISORS REGARDING POSSIBLE STATUTORY CHANGES OR JUDICIAL OR REGULATORY CHANGES OR INTERPRETATIONS, AND THEIR COLLATERAL TAX CONSEQUENCES RELATING TO THE BONDS.

Bond Counsel's opinions may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. Bond Counsel has not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Resolution and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. Bond Counsel expresses no opinion as to the effect on the exclusion from gross income of interest (and original issue discount) on the Bonds for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than Stradling Yocca Carlson & Rauth.

Although Bond Counsel has rendered an opinion that interest (and original issue discount) on the Bonds is excluded from gross income for federal income tax purposes provided that the District continues to comply with certain requirements of the Code, the ownership of the Bonds and the accrual or receipt of interest (and original issue discount) with respect to the Bonds may otherwise affect the tax liability of certain persons. Bond Counsel expresses no opinion regarding any such tax consequences. Accordingly, before purchasing any of the Bonds, all potential purchasers should consult their tax advisors with respect to collateral tax consequences relating to the Bonds.

A copy of the proposed form of opinion of Bond Counsel is attached hereto as APPENDIX A.

LEGAL MATTERS

Legality for Investment in California

Under provisions of the California Financial Code, the Bonds are legal investments for commercial banks in California to the extent that the Bonds, in the informed opinion of the bank, are prudent for the investment of funds of depositors, and, under provisions of the Government Code of the State, are eligible for security for deposits of public moneys in the State.

Expanded Reporting Requirements

On May 17, 2006, the President signed the Tax Increase Prevention and Reconciliation Act of 2005 (“TIPRA”). Under Section 6049 of the Internal Revenue Code of 1986, as amended by TIPRA, interest paid on tax-exempt obligations will be subject to information reporting in a manner similar to interest paid on taxable obligations. The effective date for this provision is for interest paid after December 31, 2005, regardless of when the tax-exempt obligations were issued. The purpose of this change was to assist in relevant information gathering for the IRS relating to other applicable tax provisions. TIPRA provides that backup withholding may apply to such interest payments made after March 31, 2007 to any bondholder who fails to file an accurate Form W-9 or who meets certain other criteria. The information reporting and backup withholding requirements of TIPRA do not affect the excludability of such interest from gross income for federal income tax purposes.

Continuing Disclosure

Current Undertakings. The District has covenanted for the benefit of the Owners and Beneficial Owners of the Bonds to provide certain financial information and operating data relating to the District (the “Annual Report”) by not later than nine months following the end of the District’s fiscal year (which currently ends June 30), commencing with the report for the 2015-16 Fiscal Year, and to provide notices of the occurrence of certain listed events. The Annual Report and notices of listed events will be filed by the District in accordance with the requirements of the Rule. The specific nature of the information to be contained in the Annual Report or the notices of listed events is included in “APPENDIX C – FORM OF CONTINUING DISCLOSURE CERTIFICATE FOR THE BONDS.” These covenants have been made in order to assist the Underwriter in complying with the Rule.

Prior Undertakings. Within the past five years, the District failed to file all or a portion of the annual reports for fiscal years 2009-10 through 2012-13, as well as notices of material events, in a timely manner as required by its prior undertakings entered into pursuant to the Rule.

No Litigation

No litigation is pending or threatened concerning the validity of the Bonds, and a certificate to that effect will be furnished to purchasers at the time of the original delivery of the Bonds. The District is not aware of any litigation pending or threatened questioning the political existence of the District or contesting the District’s ability to receive *ad valorem* property taxes or to collect other revenues or contesting the District’s ability to issue and retire the Bonds.

Financial Statements

The financial statements with supplemental information for the year ended June 30, 2015, the independent auditor’s report of the District, and the related statements of activities and of cash flows for the year then ended, and the report of Vavrinek Trine Day & Co. LLP (the “Auditor”), are included in this Official Statement as Appendix B. In connection with the inclusion of the financial statements and the report of the Auditor herein, the District did not request the Auditor to, and the Auditor has not undertaken to, update its report or to take any action intended or likely to elicit information concerning the accuracy, completeness or fairness of the statements made in this Official Statement, and no opinion is expressed by the Auditor with respect to any event subsequent to the date of its report.

Legal Opinion

The legal opinion of Bond Counsel, approving the validity of the Bonds, will be supplied to the original purchasers of the Bonds without cost. A copy of the proposed form of such legal opinion is attached to this Official Statement as APPENDIX A.

MISCELLANEOUS

Ratings

The Bonds are expected to be assigned a rating of “AA,” with a stable outlook, by S&P, based upon the issuance of the Policy by AGM at the time of delivery of the Bonds. The Bonds have been assigned an underlying rating of “A” by S&P. The ratings reflect only the views of S&P, and any explanation of the significance of such rating should be obtained therefrom. There is no assurance that the ratings will be retained for any given period of time or that the same will not be revised downward or withdrawn entirely by S&P if, in its judgment, circumstances so warrant. The District undertakes no responsibility to oppose any such revision or withdrawal. Any such downward revision or withdrawal of the ratings obtained may have an adverse effect on the market price of the Bonds.

Generally, rating agencies base their ratings on information and materials furnished to them (which may include information and material from the District which is not included in this Official Statement) and on investigations, studies and assumptions by the rating agencies.

The District has covenanted in a Continuing Disclosure Certificate to file on the Municipal Securities Rulemaking Board’s Electronic Municipal Market Access website (“EMMA”) notices of any ratings changes on the Bonds. See “APPENDIX C - FORM OF CONTINUING DISCLOSURE CERTIFICATE FOR THE BONDS” attached hereto. Notwithstanding such covenant, information relating to ratings changes on the Bonds may be publicly available from the rating agencies prior to such information being provided to the District and prior to the date the District is obligated to file a notice of rating change on EMMA. Purchasers of the Bonds are directed to S&P and its website and official media outlets for the most current ratings changes with respect to the Bonds after the initial issuance of the Bonds.

Underwriting

Purchase of Bonds. RBC Capital Markets, LLC (the “Underwriter”) has agreed, pursuant to a purchase contract by and between the District and the Underwriter, to purchase all of the Bonds for a purchase price of \$10,158,347.05 (which is equal to the initial principal amount of the Bonds of \$9,610,000.00, plus net original issue premium of \$611,437.05, and less an underwriting discount of \$63,090.00).

The purchase contract for the Bonds provides that the Underwriter will purchase all of the Bonds if any are purchased, the obligation to make such purchase being subject to certain terms and conditions set forth in such purchase contract, the approval of certain legal matters by bond counsel and certain other conditions. The initial offering prices stated on the inside cover of this Official Statement may be changed from time to time by the Underwriter. The Underwriter may offer and sell Bonds to certain dealers and others at prices lower than such initial offering prices.

Underwriter Disclosures. The Underwriter has provided the following paragraph for inclusion in this Official Statement. The District does not guarantee the accuracy or completeness of the following information, and the inclusion thereof should be construed as a representation of the District.

The Underwriter and its respective affiliates are full-service financial institutions engaged in various activities that may include securities trading, commercial and investment banking, municipal advisory, brokerage, and asset management. In the ordinary course of business, the Underwriter and its respective affiliates may actively trade debt and, if applicable, equity securities (or related derivative securities) and provide financial instruments (which may include bank loans, credit support or interest rate swaps). The Underwriter and its respective affiliates may engage in transactions for their own accounts involving the securities and instruments made the subject of this securities offering or other offerings of the District. The Underwriter and its respective affiliates may make a market in credit default swaps with respect to municipal securities in the future. The Underwriter and its respective affiliates may also communicate independent investment recommendations, market color or trading ideas and publish independent research views in respect of this securities offering or other offerings of the District; provided, however, that potential investors are advised that the offering of the Bonds is made only by means of the Official Statement. No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representation other than as contained in the Official Statement.

Additional Information

The purpose of this Official Statement is to supply information to prospective buyers of the Bonds. Quotations from and summaries and explanations of the Bonds, the Resolution providing for issuance of the Bonds, and the constitutional provisions, statutes and other documents referenced herein, do not purport to be complete, and reference is made to said documents, constitutional provisions and statutes for full and complete statements of their provisions.

All data contained herein has been taken or constructed from District records. Appropriate District officials, acting in their official capacities, have reviewed this Official Statement and have determined that, as of the date hereof, the information contained herein is, to the best of their knowledge and belief, true and correct in all material respects and does not contain an untrue statement of a material fact or omit to state a material fact necessary in order to make the statements made herein, in light of the circumstances under which they were made, not misleading. This Official Statement has been approved by the District.

LYNWOOD UNIFIED SCHOOL DISTRICT

By: _____ /s/ Paul Gothold
Superintendent

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APPENDIX A

FORM OF OPINION OF BOND COUNSEL FOR THE BONDS

Upon issuance and delivery of the Bonds, Stradling Yocca Carlson & Rauth, Bond Counsel, proposes to render its final approving opinion with respect to the Bonds substantially in the following form:

May 5, 2016

Board of Trustees
Lynwood Unified School District

Members of the Board of Trustees:

We have examined a certified copy of the record of the proceedings relative to the issuance and sale of \$9,610,000 Lynwood Unified School District Election of 2012 General Obligation Bonds, Series C (the “Bonds”). As to questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials furnished to us without undertaking to verify the same by independent investigation.

Based on our examination as bond counsel of existing law, certified copies of such legal proceedings and such other proofs as we deem necessary to render this opinion, we are of the opinion, as of the date hereof and under existing law, that:

1. Such proceedings and proofs show lawful authority for the issuance and sale of the Bonds pursuant to Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code of the State of California (the “Act”), commencing with Section 53506 *et seq.*, a fifty-five percent vote of the qualified electors of the Lynwood Unified School District (the “District”) voting at an election held on November 6, 2012, and a resolution of the Board of Trustees of the District (the “Resolution”).

2. The Bonds constitute valid and binding general obligations of the District, payable as to both principal and interest from the proceeds of a levy of *ad valorem* property taxes on all property subject to such taxes in the District, which taxes are unlimited as to rate or amount.

3. Under existing statutes, regulations, rulings and judicial decisions, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of calculating the federal alternative minimum tax imposed on individuals and corporations. It should be noted that, with respect to corporations, such interest may be included as an adjustment in the calculation of alternative minimum taxable income, which may affect the federal income tax liability of corporations.

4. Interest on the Bonds is exempt from State of California personal income tax.

5. The difference between the issue price of a Bond (the first price at which a substantial amount of the Bonds of a maturity is to be sold to the public) and the stated redemption price at maturity with respect to such Bonds constitutes original issue discount. Original issue discount accrues under a constant yield method, and original issue discount will accrue to a Bondowner before receipt of cash attributable to such excludable income. The

amount of original issue discount deemed received by a Bondowner will increase the Bondowner's basis in the applicable Bond. Original issue discount that accrues to the Bondowner is excluded from the gross income of such owner for federal income tax purposes, is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, and is exempt from State of California personal income tax.

6 The amount by which a Bond Owner's original basis for determining loss on sale or exchange in the applicable Bond (generally, the purchase price) exceeds the amount payable on maturity (or on an earlier call date) constitutes amortizable Bond premium, which must be amortized under Section 171 of the Code; such amortizable Bond premium reduces the Bond Owner's basis in the applicable Bond (and the amount of tax-exempt interest received), and is not deductible for federal income tax purposes. The basis reduction as a result of the amortization of Bond premium may result in a Bond Owner realizing a taxable gain when a Bond is sold by the Bond Owner for an amount equal to or less (under certain circumstances) than the original cost of the Bond to the Bond Owner. Purchasers of the Bonds should consult their own tax advisors as to the treatment, computation and collateral consequences of amortizable Bond premium.

The opinions expressed herein may be affected by actions taken (or not taken) or events occurring (or not occurring) after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions or events are taken or do occur. The Resolution and the Tax Certificate relating to the Bonds permit certain actions to be taken or to be omitted if a favorable opinion of Bond Counsel is provided with respect thereto. No opinion is expressed herein as to the effect on the exclusion from gross income of interest (and original issue discount) for federal income tax purposes with respect to any Bond if any such action is taken or omitted based upon the advice of counsel other than ourselves. Other than expressly stated herein, we express no opinion regarding tax consequences with respect to the Bonds.

The opinions expressed herein as to the exclusion from gross income of interest (and original issue discount) on the Bonds are based upon certain representations of fact and certifications made by the District and others and are subject to the condition that the District complies with all requirements of the Internal Revenue Code of 1986, as amended (the "Code"), that must be satisfied subsequent to the issuance of the Bonds to assure that such interest (and original issue discount) will not become includable in gross income for federal income tax purposes. Failure to comply with such requirements of the Code might cause interest (and original issue discount) on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The District has covenanted to comply with all such requirements.

It is possible that subsequent to the issuance of the Bonds there might be federal, state, or local statutory changes (or judicial or regulatory interpretations of federal, state, or local law) that affect the federal, state, or local tax treatment of the Bonds or the market value of the Bonds. No assurance can be given that subsequent to the issuance of the Bonds such changes or interpretations will not occur.

The rights of the owners of the Bonds and the enforceability thereof may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted to the extent constitutionally applicable and their enforcement may also be subject to the exercise of judicial discretion in appropriate cases, and by the limitation on legal remedies against public agencies in the State of California.

Respectfully submitted,

Stradling Yocca Carlson & Rauth

APPENDIX B

2014-15 AUDITED FINANCIAL STATEMENTS OF THE DISTRICT

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**LYNWOOD UNIFIED
SCHOOL DISTRICT**

ANNUAL FINANCIAL REPORT

JUNE 30, 2015

LYNWOOD UNIFIED SCHOOL DISTRICT

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JUNE 30, 2015

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LYNWOOD UNIFIED SCHOOL DISTRICT

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FINANCIAL SECTION



INDEPENDENT AUDITOR'S REPORT

Governing Board
Lynwood Unified School District
Lynwood, California

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of the Lynwood Unified School District (the District) as of and for the year ended June 30, 2015, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the *2014-2015 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, issued by the California Education Audit Appeals Panel as regulations. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the District's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund information of the Lynwood Unified School District, as of June 30, 2015, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter - Change in Accounting Principles

As discussed in Notes 1 and 16 to the financial statements, in 2015, the District adopted new accounting guidance, GASB Statement No. 68, *Accounting and Financial Reporting for Pensions* and GASB Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date*. Our opinion is not modified with respect to this matter.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the required supplementary information, such as management's discussion and analysis on pages 5 through 13 and budgetary comparison, and other postemployment benefit, net pension liability, and District contribution information on pages 72 through 75, respectively, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Lynwood Unified School District's basic financial statements. The accompanying supplementary information such as the combining and individual nonmajor fund financial statements and Schedule of Expenditures of Federal Awards, as required by the Office of Management and Budget Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations* and the other supplementary information as listed on the table of contents are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The accompanying supplementary information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the Schedule of Expenditures of Federal Awards and other accompanying supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 15, 2015, on our consideration of the Lynwood Unified School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Lynwood Unified School District's internal control over financial reporting and compliance.

Vannink, Tien, Day & Co., LLP

Rancho Cucamonga, California
December 15, 2015



LYNWOOD UNIFIED SCHOOL DISTRICT BUSINESS SERVICES DIVISION

11321 Bullis Road * Lynwood, CA 90262 * (310) 886-1600

This section of Lynwood Unified School District's (the District) annual financial report presents our discussion and analysis of the District's financial performance during the fiscal year that ended on June 30, 2015, with comparative information from 2014. Please read it in conjunction with the District's financial statements, which immediately follow this section.

OVERVIEW OF THE FINANCIAL STATEMENTS

The Financial Statements

The financial statements presented herein include all of the activities of the District and its component units using the integrated approach as prescribed by Governmental Accounting Standards Board (GASB) Statement No. 34.

The *Government-Wide Financial Statements* present the financial picture of the District from the economic resources measurement focus using the accrual basis of accounting. They present governmental activities and business-type activities separately. These statements include all assets of the District (including capital assets), as well as all liabilities (including long-term obligations). Additionally, certain eliminations have occurred as prescribed by the statement in regards to interfund activity, payables, and receivables.

The *Fund Financial Statements* include statements for each of the three categories of activities: governmental, proprietary, and fiduciary.

The *Governmental Activities* are prepared using the current financial resources measurement focus and modified accrual basis of accounting.

The *Fiduciary Activities* are prepared using the economic resources measurement focus and the accrual basis of accounting.

Reconciliation of the Fund Financial Statements to the Government-Wide Financial Statements is provided to explain the differences created by the integrated approach.

The Primary unit of the government is the Lynwood Unified School District.

DISTRICT-WIDE STATEMENTS

The Statement of Net Position and the Statement of Activities

The *Statement of Net Position* and the *Statement of Activities* report information about the District as a whole and about its activities. These statements include all assets and liabilities of the District using the accrual basis of accounting, which is similar to the accounting used by most private-sector companies. All of the current year's revenues and expenses are taken into account regardless of when cash is received or paid.

LYNWOOD UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2015

These two statements report the District's net position and changes in them. Net position is the difference between assets and deferred outflows of resources, and liabilities and deferred inflows of resources, which is one way to measure the District's financial health, or financial position. Over time, increases or decreases in the District's net position will serve as a useful indicator of whether the financial position of the District is improving or deteriorating. Other factors to consider are changes in the District's property tax base and the condition of the District's facilities.

The relationship between revenues and expenses is the District's *operating results*. Since the governing board's responsibility is to provide services to our students and not to generate profit as commercial entities do, one must consider other factors when evaluating the overall health of the District. The quality of the education and the safety of our schools will likely be an important component in this evaluation.

The *Statement of Net Position* and the *Statement of Activities* include *governmental activities*. The District's services are reported in this category. This includes the education of kindergarten through grade twelve students, adult education students, the operation of child development activities, and the on-going effort to improve and maintain buildings and sites. Property taxes, State income taxes, user fees, interest income, Federal, State and local grants, as well as certificates of participation, finance these activities.

REPORTING THE DISTRICT'S MOST SIGNIFICANT FUNDS

Fund Financial Statements

The fund financial statements provide detailed information about the most significant funds - not the District as a whole. Some funds are required to be established by State law and by bond covenants. However, management establishes many other funds to help it control and manage money for particular purposes or to show that it is meeting legal responsibilities for using certain taxes, grants, and other money that it receives from the U.S. Department of Education.

Governmental Funds - Most of the District's basic services are reported in governmental funds, which focus on how money flows into and out of those funds and the balances left at year-end that are available for spending. These funds are reported using an accounting method called modified accrual accounting, which measures cash and all other financial assets that can readily be converted to cash. The governmental fund statements provide a detailed short-term view of the District's general government operations and the basic services it provides. Governmental fund information helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. The differences of results in the governmental fund financial statements to those in the government-wide financial statements are explained in a reconciliation following each governmental fund financial statement.

LYNWOOD UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

Proprietary Funds - When the District charges users for the services it provides, whether to outside customers or to other departments within the District, these services are generally reported in proprietary funds. Proprietary funds are reported in the same way that all activities are reported in the *Statement of Net Position* and the *Statement of Revenues, Expenses, and Changes in Fund Net Position*. We use internal service funds to report activities that provide supplies and services for the District's other programs and activities, such as the District's Workers' Compensation Self-Insurance Fund. The Internal Service Fund is reported with governmental activities in the government-wide financial statements.

THE DISTRICT AS A TRUSTEE

Reporting the District's Fiduciary Responsibilities

The District is the trustee, or *fiduciary*, for funds held on behalf of others, like our funds for associated student body activities and foundation funds. The District's fiduciary activities are reported in the *Statements of Fiduciary Net Position*. We exclude these activities from the District's other financial statements because the District cannot use these assets to finance its operations. The District is responsible for ensuring that the assets reported in these funds are used for their intended purposes.

FINANCIAL HIGHLIGHTS

- As of June 30, 2015, the Restricted and Unrestricted General Fund reported a combined fund balance of approximately \$11.1 million, a decrease of approximately \$2.3 million over last year's ending balance. A large portion of the decrease was attributed to the spending down of prior year carryover.
- The total reported revenue in the General Fund was approximately \$154.8 million. The Local Control Funding Formula Cost of Living Adjustment was 1.565 percent. Compared to 2013-2014, the total revenues were approximately \$25.1 million more. The increase was attributed primarily to the new State Local Control Funding Formula and the additional revenue of the supplement and concentration grants included in the LCFF.
- The General Fund total expenditure was approximately \$24.9 million higher compared to 2013-2014.
- As of June 30, 2015, the General Fund reported an unrestricted reserve for economic uncertainties approximately \$6.3 million.
- Continued declining enrollment which resulted in 14,166 ADA, a loss of 124 ADA from 2013-2014.

LYNWOOD UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

THE DISTRICT AS A WHOLE

Net Position

The District's net position was \$111,603,263 for the fiscal year ended June 30, 2015. Of this amount, \$(128,417,144) was unrestricted (deficit). Restricted net position are reported separately to show legal constraints from debt covenants and enabling legislation that limit the governing board's ability to use those net position for day-to-day operations. Our analysis below, in summary form, focuses on the net position (Table 1) and change in net position (Table 2) of the District's governmental activities.

Table 1

	Governmental Activities	
	2015	2014 As Restated
Assets		
Current and other assets	\$ 59,986,582	61,965,412
Capital assets	284,390,824	288,171,296
Total Assets	<u>344,377,406</u>	<u>350,136,708</u>
Deferred Outflows of Resources	<u>8,842,396</u>	<u>7,115,935</u>
Liabilities		
Current liabilities	21,454,179	16,830,880
Long-term obligations	95,435,709	90,179,605
	<u>97,012,748</u>	<u>124,053,953</u>
Total Liabilities	<u>213,902,636</u>	<u>231,064,438</u>
Deferred Inflows of Resources	<u>27,713,903</u>	<u>-</u>
Net Position		
Net investment in capital assets	228,789,876	242,098,762
Restricted	11,230,531	15,434,987
Unrestricted	(128,417,144)	(131,345,544)
Total Net Position	<u>\$ 111,603,263</u>	<u>\$ 126,188,205</u>

LYNWOOD UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

Changes in Net Position

The results of this year's operations for the District as a whole are reported in the *Statement of Activities* on page 15. Table 2 takes the information from the Statement, rounds off the numbers, and rearranges them slightly so you can see our total revenues for the year.

Table 2

	Governmental Activities	
	2015	2014
Revenues		
Program Revenues:		
Charges for services	\$ 263,145	484,378
Operating grants and contributions	27,550,489	35,366,952
General Revenues:		
Federal and State aid	117,214,570	88,864,613
Property taxes	9,234,505	10,283,076
Other general revenues	18,571,040	3,990,630
Total Revenues	172,833,749	138,989,649
Expenses		
Instruction-related	122,726,131	100,685,073
Pupil services	19,129,805	15,756,541
General administration	12,331,990	10,051,821
Plant services	22,823,466	18,440,549
Other	10,407,299	6,075,723
Total Expenses	187,418,691	151,009,707
Change in Net Position	\$ (14,584,942)	\$ (12,020,058)

Governmental Activities

As reported in the *Statement of Activities* on page 15, the cost of all of our governmental activities this year was \$187,148,691. However, the amount that our taxpayers ultimately financed for these activities through local taxes was only \$9,234,505 because the cost was paid by those who benefited from the programs \$263,145 or by other governments and organizations who subsidized certain programs with grants and contributions of \$27,550,489. The remaining "public benefit" portion of our governmental activities was paid with \$117,214,570 in Federal and State aid and \$18,571,040 with other General Fund revenue sources such as interest and general entitlements.

LYNWOOD UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

In Table 3, we have presented the cost of each of the District's largest functions - instruction, instruction-related activities, pupil services, administration, plant services, and other activities, as well as each program's *net* cost (total cost less revenues generated by the activities). As discussed above, net cost shows the financial burden that was placed on the District's taxpayers by each of these functions. Providing this information allows our citizens to consider the cost of each function in comparison to the benefits provided by that function.

Table 3

	Total Cost of Services		Total Net Cost of Services	
	2015	2014	2015	2014
Instruction	\$ 101,959,827	84,809,546	\$ 91,112,728	67,610,972
Instruction-related activities	20,766,304	16,991,427	15,423,652	11,224,534
Pupil services	19,129,805	14,656,435	10,556,037	6,388,820
General administration	12,331,990	9,568,067	11,078,833	8,223,915
Plant services	22,823,466	20,816,330	22,542,828	20,540,061
Other	10,407,299	6,202,351	8,890,979	4,994,026
Total	\$ 187,418,691	\$ 153,044,156	\$ 159,605,057	\$ 118,982,328

THE DISTRICT'S FUNDS

As the District completed this year, our governmental funds reported a combined fund balance of \$27,969,133, which is a decrease of \$5,973,126 from last year (Table 4).

Table 4

	Balances and Activity			
	July 1, 2014	Revenues	Expenditures	June 30, 2015
General Fund	\$ 13,376,608	\$ 154,755,514	\$ 157,071,859	\$ 11,060,263
Building Fund	8,541,364	20,842,233	21,124,360	8,259,237
Non-Major Governmental Funds	12,024,287	14,096,406	17,471,060	8,649,633
Total	\$ 33,942,259	\$ 189,694,153	\$ 195,667,279	\$ 27,969,133

The primary reason for this decrease is our General Fund. The fund balance in the General Fund decreased by \$2,316,345 to \$11,060,263. This decrease is due to the overall cost for modernization.

General Fund Budgetary Highlights

Over the course of the year, the District revises its budget as it attempts to deal with unexpected changes in revenues and expenditures. The final amendment to the budget was adopted in July 2015. (A schedule showing the District's original and final budget amounts compared with amounts actually paid and received is provided in our annual report on page 72).

LYNWOOD UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets

At June 30, 2015, the District had \$284,390,824 in a broad range of capital assets (net of depreciation), including land, buildings, furniture, and equipment. This amount represents a net decrease (including additions, deductions, and depreciation) of \$3,780,472, or 1.31 percent, from last year (Table 5).

Table 5

	Governmental Activities	
	2015	2014
Land	\$ 32,298,855	\$ 32,298,855
Construction in progress	2,342,791	26,233,483
Land improvements	2,929,268	3,166,681
Buildings and improvements	241,213,584	223,309,648
Equipment	5,606,326	3,162,629
Total	\$ 284,390,824	\$ 288,171,296

Long-Term Obligations

At June 30, 2015, the District had \$73,414,824 in general obligation bonds, bond anticipation notes and certificates of participation outstanding compared to \$69,415,236 on June 30, 2014, an increase of 5.76 percent. Other obligations consisted of those items listed in Table 6 below.

Table 6

	Governmental Activities	
	2015	2014
General obligation bonds	\$ 43,559,824	\$ 34,930,288
Premium on bonds	2,121,547	1,255,734
Bond anticipation note	9,380,000	13,499,948
Certificates of participation	20,475,000	20,985,000
Compensated absences	1,874,205	1,677,426
PARS retirement	1,692,603	1,127,104
Claims Liabilities	8,497,000	7,817,000
OPEB obligation, net	7,041,530	6,637,105
Total	\$ 94,641,709	\$ 87,929,605

Other obligations include compensated absences payable, supplemental early retirement plans, claims liabilities, and postemployment benefits (not including health benefits). We present more detailed information regarding our long-term obligations in Note 9 of the financial statements.

LYNWOOD UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

Net Pension Liability (NPL)

At year-end, the District had a pension liability of \$97,012,748 as a result of implementing GASB Statement No. 68.

ECONOMIC FACTORS AND NEXT YEAR'S BUDGETS AND RATES

The State has enacted the Local Control Funding Formula (LCFF) to replace revenue limits and most categorical programs, commencing in 2013-2014. According to School Services of California, this is the most sweeping reform of the state's school finance system since the enactment of Senate Bill 90 in the early 1970's. At full implementation, the LCFF will fund every student at the same base rate. It is projected that it will take approximately eight years until full implementation is reached; therefore, this will make it difficult to project future revenues. However, the State provides some data that enables the district to project future years' revenue conservatively.

The key assumptions in our revenue forecast are:

1. Per law, the school districts are funded based on either the current year or previous year's Average Daily Attendance (ADA), whichever is higher. The District is still experiencing declining enrollment. Consequently, the LCFF funding is budgeted based on the 2014-2015 P-2 ADA of 14,166.
2. The local control funding formula is computed using Cost of Living Adjustment (COLA) of 1.02 percent and 51.52 percent of the GAP Funding in 2015-2016. Per student ADA funding, under LCFF, will be estimated at \$9,868.
3. The declining enrollment trend continues in Lynwood Unified School District and multi-year projections included the budget assumes flat ADA in the subsequent two fiscal years.

THE FUTURE

The passage of Proposition 30 in November 2012 provided some financial stability for public school districts in California, beginning with 2012-2013. For the 2013-2014 fiscal year, state revenues and cash flow schedules stabilized. The Governor's new fiscal initiative, the Local Control Funding Formula (LCFF) replaces the former Revenue Limit funding model. All public school districts, including Lynwood Unified School District, are converting accounting systems to accommodate the new funding formula in 2014-2015.

The LCFF is anticipated to provide increased state revenues over the next eight years. Multi-year financial projections for Lynwood Unified indicate an improvement in funding levels that will contribute to the financial stability of the district. A continuing concern is declining enrollment. On average, about one hundred fewer students than the previous year's enrollment have been realized on an annual basis. This means a loss in revenue of over a half million dollars each year. The District has seen the declining enrollments starting to level off and is currently budgeting no material change in the 2015-16 budget but will continue to closely monitor.

LYNWOOD UNIFIED SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2015

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, students, and investors and creditors with a general overview of the District's finances and to show the District's accountability for the money it receives. If you have questions about this report or need any additional financial information, contact the Chief Business Officer, at Lynwood Unified School District, 11321 Bullis Rd., Lynwood, California 90262, or e-mail at mdunn@mylud.org.

LYNWOOD UNIFIED SCHOOL DISTRICT

STATEMENT OF NET POSITION JUNE 30, 2015

	Governmental Activities
ASSETS	
Deposits and investments	\$ 49,340,620
Receivables	9,502,580
Prepaid expenses	67,008
Stores inventories	273,067
Other current assets	803,307
Capital assets	
Land and construction in process	34,641,646
Other capital assets	404,668,041
Less: Accumulated depreciation	(154,918,863)
Total Capital Assets	<u>284,390,824</u>
Total Assets	<u>344,377,406</u>
DEFERRED OUTFLOWS OF RESOURCES	
Current year pension contribution	<u>8,842,396</u>
LIABILITIES	
Accounts payable	19,246,156
Interest payable	937,622
Unearned revenue	1,270,401
Claims liability	794,000
Current portion of long-term obligations other than pensions	2,959,870
Noncurrent portion of long-term obligations other than pensions	91,681,839
Total Long-Term Obligations Other Than Net Pension Liability	<u>94,641,709</u>
Aggregate net pension liability	<u>97,012,748</u>
Total Liabilities	<u>213,902,636</u>
DEFERRED INFLOWS OF RESOURCES	
Net Change in proportionate share of net pension liability	1,520,767
Difference between projected and actual earnings on pension plan investments	<u>26,193,136</u>
Total Deferred Inflows of Resources	<u>27,713,903</u>
NET POSITION	
Net investment in capital assets	228,789,876
Restricted for:	
Debt service	1,427,877
Capital projects	3,007,517
Educational programs	3,008,452
Other restrictions	3,786,685
Unrestricted (deficit)	<u>(128,417,144)</u>
Total Net Position	<u><u>\$ 111,603,263</u></u>

The accompanying notes are an integral part of these financial statements.

LYNWOOD UNIFIED SCHOOL DISTRICT

STATEMENT OF ACTIVITIES FOR THE YEAR ENDED JUNE 30, 2015

Functions/Programs	Expenses	Program Revenues		Net (Expenses) Revenues and Changes in Net Position
		Charges for Services and Sales	Operating Grants and Contributions	
Governmental Activities:				
Instruction	\$ 101,959,827	\$ 49,020	\$ 10,798,079	\$ (91,112,728)
Instruction-related activities:				
Supervision of instruction	8,487,079	269	3,904,664	(4,582,146)
Instructional library, media, and technology	814,119	-	307,117	(507,002)
School site administration	11,465,106	8,041	1,122,561	(10,334,504)
Pupil services:				
Home-to-school transportation	1,634,464	-	-	(1,634,464)
Food services	8,608,038	190,307	6,697,247	(1,720,484)
All other pupil services	8,887,303	631	1,685,583	(7,201,089)
Administration:				
Data processing	2,229,929	-	104,918	(2,125,011)
All other administration	10,102,061	10,744	1,137,495	(8,953,822)
Plant services	22,823,466	4,133	276,505	(22,542,828)
Ancillary services	443,315	-	1,332	(441,983)
Community services	760,779	-	554,111	(206,668)
Enterprise services	4,729	-	-	(4,729)
Interest on long-term obligations	5,508,697.00	-	-	(5,508,697)
Other outgo	3,689,779	-	960,877	(2,728,902)
Total Governmental Activities	\$ 187,418,691	\$ 263,145	\$ 27,550,489	(159,605,057)
General revenues and subventions:				
Property taxes, levied for general purposes				6,577,954
Property taxes, levied for debt service				2,375,223
Taxes levied for other specific purposes				281,328
Federal and State aid not restricted to specific purposes				117,214,570
Interest and investment earnings				227,463
Miscellaneous				18,343,577
Subtotal, General Revenues				145,020,115
Change in Net Position				(14,584,942)
Beginning Balance (as Restated)				126,188,205
Net Position - Ending				\$ 111,603,263

The accompanying notes are an integral part of these financial statements.

LYNWOOD UNIFIED SCHOOL DISTRICT

GOVERNMENTAL FUNDS

BALANCE SHEET

JUNE 30, 2015

	General Fund	Building Funds	Non-Major Governmental Funds	Total Governmental Funds
ASSETS				
Deposits and investments	\$ 21,013,997	\$ 8,433,876	\$ 8,323,470	\$ 37,771,343
Receivables	7,605,569	25,699	1,840,623	9,471,891
Due from other funds	347,919	-	-	347,919
Prepaid expenditures	67,008	-	-	67,008
Stores inventories	208,503	-	64,564	273,067
Other current assets	803,307	-	-	803,307
Total Assets	\$ 30,046,303	\$ 8,459,575	\$ 10,228,657	\$ 48,734,535
LIABILITIES AND FUND BALANCES				
Liabilities:				
Accounts payable	\$ 17,928,305	\$ 192,891	\$ 1,027,975	\$ 19,149,171
Due to other funds	-	7,447	338,383	345,830
Unearned revenue	1,057,735	-	212,666	1,270,401
Total Liabilities	18,986,040	200,338	1,579,024	20,765,402
Fund Balances:				
Nonspendable	326,261	-	65,314	391,575
Restricted	3,008,452	8,036,732	7,943,715	18,988,899
Assigned	1,416,608	222,505	640,604	2,279,717
Unassigned	6,308,942	-	-	6,308,942
Total Fund Balances	11,060,263	8,259,237	8,649,633	27,969,133
Total Liabilities and Fund Balances	\$ 30,046,303	\$ 8,459,575	\$ 10,228,657	\$ 48,734,535

The accompanying notes are an integral part of these financial statements.

LYNWOOD UNIFIED SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET TO THE STATEMENT OF NET POSITION JUNE 30, 2015

Total Fund Balance - Governmental Funds		\$ 27,969,133
Amounts Reported for Governmental Activities in the Statement of Net Position is Different Because:		
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in governmental funds.		
The cost of capital assets is:	\$ 439,309,687	
Accumulated depreciation is:	<u>(154,918,863)</u>	
Net Capital Assets		284,390,824
Expenditures relating to contributions made to pension plans were recognized on the modified accrual basis, but are not recognized on the accrual basis.		8,842,396
In governmental funds, unmatured interest on long-term obligations is recognized in the period when it is due. On the government-wide financial statements, unmatured interest on long-term obligations is recognized when it is incurred.		(937,622)
An internal service fund is used by the District's management to charge the costs of the health and welfare benefits and workers' compensation program to the individual funds. The assets and liabilities of the Internal Service Fund are included with governmental activities. Internal Service Fund net assets are:		2,209,892
The net change in proportionate share of net pension liability as of the measurement date is not recognized as an expenditure under the modified accrual basis, but are recognized on the accrual basis over the expected remaining service life of members receiving pension benefits.		(1,520,767)
The difference between projected and actual pension plan investment earnings are not recognized on the modified accrual basis, but are recognized on the accrual basis as an adjustment to pension expense.		(26,193,136)
Net pension liability is not due and payable in the current period and is not reported as a liability in the funds.		(97,012,748)
Long-term obligations, including general obligation bonds, certificates of participation, capital lease obligations, compensated absences, and postemployment benefits are not due and payable in the current period and, therefore, are not reported as liabilities in the funds.		
Long-term obligations at year-end consist of:		
General obligation bonds	43,559,824	
Premium on issuance, net of amortization	2,121,547	
Bond anticipation note	9,380,000	
Certificates of participation	20,475,000	
Compensated absences - accumulated vacation	1,874,205	
PARS retirement	1,692,603	
Net OPEB obligation	<u>7,041,530</u>	
Total Long-Term Obligations		(86,144,709)
Total Net Position - Governmental Activities		<u><u>\$ 111,603,263</u></u>

The accompanying notes are an integral part of these financial statements.

LYNWOOD UNIFIED SCHOOL DISTRICT

GOVERNMENTAL FUNDS STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES FOR THE YEAR ENDED JUNE 30, 2015

	General Fund	Building Fund	Non-Major Governmental Funds	Total Governmental Funds
REVENUES				
Local Control Funding Formula	\$ 120,011,565	\$ -	\$ -	\$ 120,011,565
Federal sources	12,165,991	-	7,356,117	19,522,108
Other State sources	16,179,045	-	1,264,526	17,443,571
Other local sources	6,398,913	63,287	5,363,401	11,825,601
Total Revenues	154,755,514	63,287	13,984,044	168,802,845
EXPENDITURES				
Current				
Instruction	86,436,244	-	2,932,407	89,368,651
Instruction-related activities:				
Supervision of instruction	8,316,118	-	5,892	8,322,010
Instructional library, media and technology	791,046	-	-	791,046
School site administration	10,317,541	-	342,446	10,659,987
Pupil services:				
Home-to-school transportation	1,610,465	-	-	1,610,465
Food services	-	-	7,901,271	7,901,271
All other pupil services	8,302,696	-	3,330	8,306,026
Administration:				
Data processing	2,181,067	-	-	2,181,067
All other administration	9,064,526	-	575,869	9,640,395
Plant services	19,939,682	-	128,698	20,068,380
Facility acquisition and construction	3,348,477	5,524,605	1,856,569	10,729,651
Ancillary services	442,377	-	-	442,377
Community services	733,847	-	-	733,847
Other outgo	3,577,417	-	-	3,577,417
Debt service				
Principal	904,581	13,499,948	1,856,333	16,260,862
Interest and other	993,413	2,099,807	1,868,245	4,961,465
Total Expenditures	156,959,497	21,124,360	17,471,060	195,554,917
Excess (Deficiency) of				
Revenues Over Expenditures	(2,203,983)	(21,061,073)	(3,487,016)	(26,752,072)
Other Financing Sources (Uses)				
Transfers in	-	-	112,362	112,362
Other sources	-	20,778,946	-	20,778,946
Transfers out	(112,362)	-	-	(112,362)
Net Financing Sources				
(Uses)	(112,362)	20,778,946	112,362	20,778,946
NET CHANGE IN FUND BALANCES	(2,316,345)	(282,127)	(3,374,654)	(5,973,126)
Fund Balances - Beginning	13,376,608	8,541,364	12,024,287	33,942,259
Fund Balances - Ending	\$ 11,060,263	\$ 8,259,237	\$ 8,649,633	\$ 27,969,133

The accompanying notes are an integral part of these financial statements.

LYNWOOD UNIFIED SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES TO THE STATEMENT OF ACTIVITIES FOR THE YEAR ENDED JUNE 30, 2015

Total Net Change in Fund Balances - Governmental Funds \$ (5,973,126)

**Amounts Reported for Governmental Activities in the Statement of Activities are
Different Because:**

Capital outlays to purchase or build capital assets are reported in governmental funds as expenditures, however, for governmental activities, those costs are shown in the Statement of Net Position and allocated over their estimated useful lives as annual depreciation expenses in the Statement of Activities.

This is the amount by which depreciation exceeded capital outlay in the period.

Depreciation expense	\$ (12,739,770)	
Capital outlays	<u>8,959,298</u>	
Net Expense Adjustment		(3,780,472)

In the Statement of Activities, certain operating expenses - compensated absences (vacations) and special termination benefits (early retirement) are measured by the amounts earned during the year. In the governmental funds, however, expenditures for these items are measured by the amount of financial resources used (essentially, the amounts actually paid). This year, special termination benefits used were less than amounts earned by \$565,499. Vacation used was less than amounts earned by \$196,779.

(762,278)

In the governmental funds, pension costs are based on employer contributions made to pension plans during the year. However, in the Statement of Activities, pension expense is the net effect of all changes in the deferred outflows, deferred inflows and net pension liability during the year.

1,053,763

In the Statement of Activities, Other Postemployment Benefits Obligations (OPEB) are measured by an actuarially determined Annual Required Contribution (ARC). In the governmental funds, however, expenditures for these items are measured by the amount of financial resources used (essentially, the amounts actually paid). This year, amounts contributed toward the OPEB obligation were less than the ARC by \$404,425.

(404,425)

Proceeds received from issuance of debt is a revenue in the governmental funds, but it increases long-term obligations in the Statement of Net Position and does not affect the Statement of Activities:

Sale of general obligation bonds	(10,655,000)	
Sale of bond anticipation notes	<u>(9,380,000)</u>	
Combined Adjustment		(20,035,000)

Under the modified basis of accounting used in the governmental funds, expenditures are not recognized for transactions that are not normally paid with expendable available financial resources. In the Statement of Activities, however, which is presented on the accrual basis, expenses and liabilities are reported regardless of when financial resources are available.

This adjustment combines the net changes of the following balances:

Premium on issuance for general obligation bonds	(955,508)	
Amortization of debt premium	<u>89,695</u>	
Combined Adjustment		(865,813)

The accompanying notes are an integral part of these financial statements.

LYNWOOD UNIFIED SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES TO THE STATEMENT OF ACTIVITIES (Continued) FOR THE YEAR ENDED JUNE 30, 2015

Repayment of bond principal is an expenditure in the governmental funds, but it reduces long-term obligations in the Statement of Net Position and does not affect the Statement of Activities:

General obligation bonds	\$ 2,230,000	
Certificates of participation	510,000	
Bond anticipation note	<u>13,499,948</u>	
Combined Adjustment		\$ 16,239,948

Interest on long-term obligations in the Statement of Activities differs from the amount reported in the governmental funds because interest is recorded as an expenditure in the funds when it is due, and thus requires the use of current financial resources. In the Statement of Activities, however, interest expense is recognized as the interest accrues, regardless of when it is due. The additional interest reported in the Statement of Activities is the result of two factors. First, accrued interest on the general obligation bonds decreased by \$411,477, and second, \$204,536 of additional accumulated interest was accreted on the Districts' "capital appreciation" general obligation bonds.

\$ (616,013)

An internal service fund is used by the District's management to charge the costs of the health and welfare benefits and workers' compensation insurance program to the individual funds. The net revenue of the Internal Service Fund is reported with governmental activities.

558,474

Change in Net Position of Governmental Activities

\$ (14,584,942)

The accompanying notes are an integral part of these financial statements.

LYNWOOD UNIFIED SCHOOL DISTRICT

PROPRIETARY FUNDS STATEMENT OF NET POSITION JUNE 30, 2015

	Governmental Activities - Internal Service Fund
ASSETS	
Current Assets	
Deposits and investments	\$ 11,569,277
Receivables	30,689
Total Assets	<u>11,599,966</u>
LIABILITIES	
Current Liabilities	
Accounts payable	96,985
Due to other funds	2,089
Claims liability	794,000
Total Current Liabilities	<u>893,074</u>
Noncurrent Liabilities	
Long-term claims liability	8,497,000
Total Liabilities	<u>9,390,074</u>
NET POSITION	
Restricted	2,209,892
Total Net Position	<u>\$ 2,209,892</u>

The accompanying notes are an integral part of these financial statements.

LYNWOOD UNIFIED SCHOOL DISTRICT

PROPRIETARY FUNDS

STATEMENT OF REVENUES, EXPENSES, AND CHANGES

IN FUND NET POSITION

FOR THE YEAR ENDED JUNE 30, 2015

	Governmental Activities - Internal Service Fund
OPERATING REVENUES	
Charges to other funds and miscellaneous revenues	<u>\$ 2,793,183</u>
OPERATING EXPENSES	
Payroll costs	119,043
Professional and contract services	2,181,514
Supplies and materials	<u>1,305</u>
Total Operating Expenses	<u>2,301,862</u>
Operating Income	<u>491,321</u>
NONOPERATING REVENUES	
Interest income	<u>67,153</u>
Change in Net Position	558,474
Total Net Position - Beginning	<u>1,651,418</u>
Total Net Position - Ending	<u><u>\$ 2,209,892</u></u>

The accompanying notes are an integral part of these financial statements.

LYNWOOD UNIFIED SCHOOL DISTRICT

PROPRIETARY FUNDS STATEMENT OF CASH FLOWS FOR THE YEAR ENDED JUNE 30, 2015

	Governmental Activities - Internal Service Fund
CASH FLOWS FROM OPERATING ACTIVITIES	
Cash receipts from customers	\$ 2,795,272
Cash payments to suppliers for goods and services	(2,990,177)
Cash payments for administrative expense	(119,043)
Net Cash Used in Operating Activities	<u>(313,948)</u>
CASH FLOWS FROM INVESTING ACTIVITIES	
Interest on investments	71,133
Net Decrease in Cash and Cash Equivalents	(242,815)
Cash and Cash Equivalents - Beginning	11,812,092
Cash and Cash Equivalents - Ending	<u>\$ 11,569,277</u>
RECONCILIATION OF OPERATING INCOME TO NET CASH USED IN OPERATING ACTIVITIES:	
Operating income	\$ 491,321
Changes in assets and liabilities:	
Accounts payable	(31,358)
Due to other funds	2,089
Claims liabilities	(776,000)
NET CASH USED IN OPERATING ACTIVITIES	<u>\$ (313,948)</u>

The accompanying notes are an integral part of these financial statements.

LYNWOOD UNIFIED SCHOOL DISTRICT

FIDUCIARY FUNDS

STATEMENT OF NET POSITION

JUNE 30, 2015

	Associated Student Bodies	Foundation Private-Purpose Trust Fund	Total Fiduciary Funds
ASSETS			
Deposits and investments	\$ 659,272	\$ 25,617	\$ 684,889
Receivables	-	73	73
Stores inventories	82,212	-	82,212
Total Assets	\$ 741,484	25,690	767,174
LIABILITIES			
Accounts payable	\$ -	8,520	8,520
Due to student groups	741,484	-	741,484
Total Liabilities	\$ 741,484	8,520	750,004
NET POSITION			
Held in trust for scholarships		17,170	17,170
Total Net Position		\$ 17,170	\$ 17,170

The accompanying notes are an integral part of these financial statements.

LYNWOOD UNIFIED SCHOOL DISTRICT

FIDUCIARY FUNDS STATEMENT OF CHANGES IN NET POSITION FOR THE YEAR ENDED JUNE 30, 2015

	Foundation Private-Purpose Trust Fund
ADDITIONS	
District contributions	\$ 2,101
Interest	153
Total Additions	<u>2,254</u>
DEDUCTIONS	
Other expenditures	<u>7,520</u>
Change in Net Position	(5,266)
Net Position - Beginning	<u>22,436</u>
Net Position - Ending	<u><u>\$ 17,170</u></u>

The accompanying notes are an integral part of these financial statements.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Financial Reporting Entity

The Lynwood Unified School District (the District) was organized in 1950 under the laws of the State of California. The District operates under a locally elected five-member Board form of government and provides educational services to grades kindergarten through twelve as mandated by the State and/or Federal agencies. The District operates twelve elementary, three middle, two high schools, a continuation high school, an adult regional occupational program, and two child care centers.

A reporting entity is comprised of the primary government, component units, and other organizations that are included to ensure the financial statements are not misleading. The primary government of the District consists of all funds, departments, boards, and agencies that are not legally separate from the District. For Lynwood Unified School District, this includes general operations, food service, and student related activities of the District.

Basis of Presentation - Fund Accounting

The accounting system is organized and operated on a fund basis. A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts, which are segregated for the purpose of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations. The District's funds are grouped into three broad fund categories: governmental, proprietary, and fiduciary.

Governmental Funds Governmental funds are those through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses, and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets and liabilities is reported as fund balance. The following are the District's major and non-major governmental funds:

Major Governmental Funds

General Fund The General Fund is the chief operating fund for all districts. It is used to account for the ordinary operations of the District. All transactions except those accounted for in another fund are accounted for in this fund.

Two funds currently defined as special revenue funds in the California State Accounting Manual (CSAM) do not meet the GASB Statement No. 54 special revenue fund definition. Specifically, Fund 11, Adult Education Fund, and Fund 14, Deferred Maintenance Fund, are not substantially composed of restricted or committed revenue sources. While these funds are authorized by statute and will remain open for internal reporting purposes, these funds function effectively as extensions of the General Fund, and accordingly have been combined with the General Fund for presentation in these audited financial statements.

As a result, the General Fund reflects an increase in assets, fund balance, revenues, and expenditures of \$356,724, \$356,724, \$425,885, and \$2,692,027, respectively.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Building Fund The Building Fund exists primarily to account separately for proceeds from the sale of bonds (*Education Code* Section 15146) and may not be used for any purposes other than those for which the bonds were issued.

Non-Major Governmental Funds

Special Revenue Funds The Special Revenue funds are used to account for the proceeds from specific revenue sources (other than trusts, major capital projects, or debt service) that are restricted or committed to expenditures for specified purposes and that compose a substantial portion of the inflows of the fund. Additional resources that are restricted, committed, or assigned to the purpose of the fund may also be reported in the fund.

Child Development Fund The Child Development Fund is used to account separately for Federal, State, and local revenues to operate child development programs and is to be used only for expenditures for the operation of child development programs.

Cafeteria Fund The Cafeteria Fund is used to account separately for Federal, State, and local resources to operate the food service program (*Education Code* Sections 38090-38093) and is used only for those expenditures authorized by the governing board as necessary for the operation of the District's food service program (*Education Code* Sections 38091 and 38100).

Capital Project Funds The Capital Project funds are used to account for financial resources that are restricted, committed, or assigned to the acquisition or construction of major capital facilities and other capital assets (other than those financed by proprietary funds and trust funds).

Capital Facilities Fund The Capital Facilities Fund is used primarily to account separately for monies received from fees levied on developers or other agencies as a condition of approving a development (*Education Code* Sections 17620-17626). Expenditures are restricted to the purposes specified in *Government Code* Sections 65970-65981 or to the items specified in agreements with the developer (*Government Code* Section 66006).

County School Facilities Fund The County School Facilities Fund is established pursuant to *Education Code* Section 17070.43 to receive apportionments from the 1998 State School Facilities Fund (Proposition 1A), the 2002 State School Facilities Fund (Proposition 47), or the 2004 State School Facilities Fund (Proposition 55) authorized by the State Allocation Board for new school facility construction, modernization projects, and facility hardship grants, as provided in the Leroy F. Greene School Facilities Act of 1998 (*Education Code* Section 17070 et seq.).

Debt Service Funds The Debt Service funds are used to account for the accumulation of restricted, committed, or assigned resources for and the payment of principal and interest on general long-term obligations.

Bond Interest and Redemption Fund The Bond Interest and Redemption Fund is used for the repayment of bonds issued for a district (*Education Code* Sections 15125-15262).

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Tax Override Fund The Tax Override Fund is used for the repayment of voted indebtedness (other than Bond Interest and Redemption Fund repayments) to be financed from ad valorem tax levies.

Proprietary Funds Proprietary funds are used to account for activities that are more business-like than government-like in nature. Business-type activities include those for which a fee is charged to external users or to other organizational units of the local education agency, normally on a full cost-recovery basis. Proprietary funds are generally intended to be self-supporting and are classified as enterprise or internal service. The District has the following proprietary funds:

Internal Service Fund Internal Service funds may be used to account for any activity for which services are provided to other funds of the District on a cost-reimbursement basis. The District operates a Self-Insurance Workers' Compensation Program that is accounted for in an internal service fund.

Fiduciary Funds Fiduciary funds are used to account for assets held in trustee or agent capacity for others that cannot be used to support the District's own programs. The fiduciary fund category is split into four classifications: pension trust funds, investment trust funds, private-purpose trust funds, and agency funds. The key distinction between trust and agency funds is that trust funds are subject to a trust agreement that affects the degree of management involvement and the length of time that the resources are held.

Trust funds are used to account for the assets held by the District under a trust agreement for individuals, private organizations, or other governments and are therefore, not available to support the District's own programs. The District's trust funds are for donation required to be held in the Foundation Trust. Agency funds are custodial in nature (assets equal liabilities) and do not involve measurement of results of operations. Such funds have no equity accounts since all assets are due to individuals or entities at some future time. The District's agency fund accounts for student body activities (ASB).

Basis of Accounting - Measurement Focus

Government-Wide Financial Statements The government-wide financial statements are prepared using the economic resources measurement focus and the accrual basis of accounting. This is the same approach used in the preparation of the proprietary fund financial statements, but differs from the manner in which governmental fund financial statements are prepared.

The government-wide Statement of Activities presents a comparison between expenses, both direct and indirect, and of the District and for each governmental function, and excludes fiduciary activity. Direct expenses are those that are specifically associated with a service, program, or department and are therefore, clearly identifiable to a particular function. The District does not allocate indirect expenses to functions in the *Statement of Activities*, except for depreciation. Program revenues include charges paid by the recipients of the goods or services offered by the programs and grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues are presented as general revenues. The comparison of program revenues and expenses identifies the extent to which each program or business segment is self-financing or draws from the general revenues of the District. Eliminations have been made to minimize the double counting of internal activities.

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Net position should be reported as restricted when constraints placed on net asset use are either externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments or imposed by law through constitutional provisions or enabling legislation. The net position restricted for other activities result from special revenue funds and the restrictions on their net asset use.

Fund Financial Statements Fund financial statements report detailed information about the District. The focus of governmental and proprietary fund financial statements is on major funds rather than reporting funds by type. Each major fund is presented in a separate column. Non-major funds are aggregated and presented in a single column. The internal service fund is presented in a single column on the face of the proprietary fund statements.

Governmental Funds All governmental funds are accounted for using the flow of current financial resources measurement focus and the modified accrual basis of accounting. With this measurement focus, only current assets and current liabilities generally are included on the balance sheet. The statement of revenues, expenditures, and changes in fund balances reports on the sources (revenues and other financing sources) and uses (expenditures and other financing uses) of current financial resources. This approach differs from the manner in which the governmental activities of the government-wide financial statements are prepared. Governmental fund financial statements, therefore, include reconciliations with brief explanations to better identify the relationship between the government-wide financial statements, prepared using the economic resources measurement focus and the accrual basis of accounting, and the governmental fund financial statements, prepared using the flow of current financial resources measurement focus and the modified accrual basis of accounting.

Proprietary Funds Proprietary funds are accounted for using the flow of economic resources measurement focus and the accrual basis of accounting. All assets and all liabilities associated with the operation of this fund are included in the Statement of Net Position. The statement of changes in fund net position presents increases (revenues) and decreases (expenses) in net total assets. The statement of cash flows provides information about how the District finances and meets the cash flow needs of its proprietary fund.

Fiduciary Funds Fiduciary funds are accounted for using the flow of economic resources measurement focus and the accrual basis of accounting. Fiduciary funds are excluded from the government-wide financial statements because they do not represent resources of the District.

Revenues – Exchange and Non-Exchange Transactions Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded on the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available. Available means that the resources will be collected within the current fiscal year or are expected to be collected soon enough thereafter, to be used to pay liabilities of the current fiscal year. Generally, available is defined as collectible within 45 or 60 days. However, to achieve comparability of reporting among California districts and so as not to distort normal revenue patterns, with specific respect to reimbursement grants and corrections to State-aid apportionments, the California Department of Education has defined available for districts as collectible within one year. The following revenue sources are considered to be both measurable and available at fiscal year-end: State apportionments, interest, certain grants, and other local sources.

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Non-exchange transactions, in which the District receives value without directly giving equal value in return, include property taxes, certain grants, entitlements, and donations. Revenue from property taxes is recognized in the fiscal year in which the taxes are received. Revenue from certain grants, entitlements, and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements include time and purpose restrictions. On a modified accrual basis, revenue from non-exchange transactions must also be available before it can be recognized.

Unearned Revenue Unearned revenue arises when potential revenue does not meet both the "measurable" and "available" criteria for recognition in the current period or when resources are received by the District prior to the incurrence of qualifying expenditures. In subsequent periods, when both revenue recognition criteria are met, or when the District has a legal claim to the resources, the liability for unearned revenue is removed from the balance sheet and revenue is recognized.

Certain grants received before the eligibility requirements are met are recorded as unearned revenue. On the governmental fund financial statements, receivables that will not be collected within the available period are also recorded as unearned revenue.

Expenses/Expenditures On the accrual basis of accounting, expenses are recognized at the time they are incurred. The measurement focus of governmental fund accounting is on decreases in net financial resources (expenditures) rather than expenses. Expenditures are generally recognized in the accounting period in which the related fund liability is incurred, if measurable, and typically paid within 90 days. Principal and interest on long-term obligations, which has not matured, are recognized when paid in the governmental funds as expenditures. Allocations of costs, such as depreciation and amortization, are not recognized in the governmental funds but are recognized in the government-wide statements.

Cash and Cash Equivalents

The District's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition. Cash equivalents also include cash with county treasury balances for purposes of the statement of cash flows.

Investments

Investments held at June 30, 2015, with original maturities greater than one year are stated at fair value. Fair value is estimated based on quoted market prices at year-end. All investments not required to be reported at fair value are stated at cost or amortized cost. Fair values of investments in county and State investment pools are determined by the program sponsor.

Prepaid Expenditures

Prepaid expenditures (expenses) represent amounts paid in advance of receiving goods or services. The District has the option of reporting an expenditure in governmental funds for prepaid items either when purchased or during the benefiting period. The District has chosen to report the expenditures when incurred.

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Stores Inventories

Inventories consist of expendable food and supplies held for consumption. Inventories are stated at cost, on the weighted average basis. The costs of inventory items are recorded as expenditures in the governmental funds and expenses in the proprietary funds when used.

Capital Assets and Depreciation

The accounting and reporting treatment applied to the capital assets associated with a fund are determined by its measurement focus. Capital assets are long-lived assets of the District. The District maintains a capitalization threshold of \$5,000. The District does not possess any infrastructure. Improvements are capitalized; the costs of normal maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are not capitalized, but are expensed as incurred.

When purchased, such assets are recorded as expenditures in the governmental funds and capitalized in the government-wide Statement of Net Position. The valuation basis for capital assets is historical cost, or where historical cost is not available, estimated historical cost based on replacement cost. Donated capital assets are capitalized at estimated fair market value on the date donated.

Capital assets in the proprietary funds are capitalized in the fund in which they are utilized. The valuation basis for proprietary fund capital assets is the same as those used for the capital assets of governmental funds.

Depreciation is computed using the straight-line method. Estimated useful lives of the various classes of depreciable capital assets are as follows: buildings, 20 to 50 years; improvements/infrastructure, five to 50 years; equipment, five to 50 years.

Compensated Absences

Compensated absences are accrued as a liability as the benefits are earned. The entire compensated absence liability is reported on the government-wide Statement of Net Position. For governmental funds, the current portion of unpaid compensated absences is recognized upon the occurrence of relevant events such as employee resignations and retirements that occur prior to year-end that have not yet been paid with expendable available financial resources. These amounts are reported in the fund from which the employees who have accumulated leave are paid.

Sick leave is accumulated without limit for each employee at the rate of one day for each month worked. Leave with pay is provided when employees are absent for health reasons; however, the employees do not gain a vested right to accumulated sick leave. Employees are never paid for any sick leave balance at termination of employment or any other time. Therefore, the value of accumulated sick leave is not recognized as a liability in the District's financial statements. However, credit for unused sick leave is applicable to all classified school members who retire after January 1, 1999. At retirement, each member will receive .004 year of service credit for each day of unused sick leave. Credit for unused sick leave is applicable to all certificated employees and is determined by dividing the number of unused sick days by the number of base service days required to complete the last school year, if employed full-time.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Accrued Liabilities and Long-Term Obligations

All payables, accrued liabilities, and long-term obligations are reported in the government-wide and proprietary fund financial statements. In general, governmental fund payables and accrued liabilities that, once incurred, are paid in a timely manner and in full from current financial resources are reported as obligations of the governmental funds.

However, claims and judgments, compensated absences, special termination benefits, and contractually required pension contributions that will be paid from governmental funds are reported as a liability in the governmental fund financial statements only to the extent that they are due for payment during the current year. Bonds, capital leases, and other long-term obligations are recognized as liabilities in the governmental fund financial statements when due.

Deferred Outflows/Inflows of Resources

In addition to assets, the statement of financial position also reports deferred outflows of resources. This separate financial statement element represents a consumption of net position that applies to a future period and so will not be recognized as an expense or expenditure until then. The District reports deferred outflows of resources for the unamortized loss on the refunding of general obligation bonds and current year pension contributions.

In addition to liabilities, the statement of financial position reports a separate section for deferred inflows of resources. This separate financial statement element represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The District reports deferred inflows of resources for the difference between projected and actual earnings on pension plan investments specific to the net pension liability.

Pensions

For purposes of measuring the net pension liability and deferred outflows/inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the California State Teachers Retirement System (CalSTRS) and the California Public Employees' Retirement System (CalPERS) plan for schools (Plans) and additions to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by CalSTRS and CalPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Member contributions are recognized in the period in which they are earned. Investments are reported at fair value.

Premiums

In the government-wide financial statements long-term obligations are reported as liabilities in the statement of net position. Debt premiums are amortized over the life of the bonds using the straight-line method.

Fund Balances - Governmental Funds

As of June 30, 2015, fund balances of the governmental funds are classified as follows:

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Nonspendable - amounts that cannot be spent either because they are in nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted - amounts that can be spent only for specific purposes because of constitutional provisions or enabling legislation or because of constraints that are externally imposed by creditors, grantors, contributors, or the laws or regulations of other governments.

Assigned - amounts that do not meet the criteria to be classified as restricted or committed but that are intended to be used for specific purposes. Under the District's adopted policy, only the governing board or chief business officer/assistant superintendent of business services may assign amounts for specific purposes.

Unassigned - all other spendable amounts.

Spending Order Policy

When an expenditure is incurred for purposes for which both restricted and unrestricted fund balance is available, the District considers restricted funds to have been spent first. When an expenditure is incurred for which committed, assigned, or unassigned fund balances are available, the District considers amounts to have been spent first out of committed funds, then assigned funds, and finally unassigned funds, as needed, unless the governing board has provided otherwise in its commitment or assignment actions.

Minimum Fund Balance Policy

The governing board adopted a minimum fund balance policy for the General Fund in order to protect the District against revenue shortfalls or unpredicted one-time expenditures. The policy requires a Reserve for Economic Uncertainties consisting of unassigned amounts equal to no less than three percent of General Fund expenditures and other financing uses.

Net Position

Net position represent the difference between assets and liabilities. Net position invested in capital assets, net of related debt consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction, or improvement of those assets. The District has related debt outstanding as of June 30, 2015. Net position are reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors, or laws or regulations of other governments. The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position is available. The government-wide financial statements report \$11,230,531 of restricted net position.

Operating Revenues and Expenses

Operating revenues are those revenues that are generated directly from the primary activity of the proprietary funds. For the District, these revenues are Self-Insurance Workers' Compensation Program funds. Operating expenses are necessary costs incurred to provide the good or service that is the primary activity of the fund. All revenues and expenses not meeting this definition are reported as nonoperating revenues and expenses.

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Interfund Activity

Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after nonoperating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented on the financial statements.

Estimates

The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Budgetary Data

The budgetary process is prescribed by provisions of the *California Education Code* and requires the governing board to hold a public hearing and adopt an operating budget no later than July 1st of each year. The District governing board satisfied these requirements. The adopted budget is subject to amendment throughout the year to give consideration to unanticipated revenue and expenditures primarily resulting from events unknown at the time of budget adoption with the legal restriction that expenditures cannot exceed appropriations by major object account.

The amounts reported as the original budgeted amounts in the budgetary statements reflect the amounts when the original appropriations were adopted. The amounts reported as the final budgeted amounts in the budgetary statements reflect the amounts after all budget amendments have been accounted for. For budget purposes, on behalf payments have not been included as revenue and expenditures as required under generally accepted accounting principles.

Property Tax

Secured property taxes attach as an enforceable lien on property as of January 1. Taxes are payable in two installments on November 1 and February 1 and become delinquent on December 10 and April 10, respectively. Unsecured property taxes are payable in one installment on or before August 31. The County of Los Angeles bills and collects the taxes on behalf of the District. Local property tax revenues are recorded when received.

Change in Accounting Principles

In June 2012, the GASB issued Statement No. 68, *Accounting and Financial Reporting for Pensions—an amendment of GASB Statement No. 27*. The primary objective of this Statement is to improve accounting and financial reporting by state and local governments for pensions. It also improves information provided by state and local governmental employers about financial support for pensions that is provided by other entities. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for pensions with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

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NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

This Statement replaces the requirements of Statement No. 27, *Accounting for Pensions by State and Local Governmental Employers*, as well as the requirements of Statement No. 50, *Pension Disclosures*, as they relate to pensions that are provided through pension plans administered as trusts or equivalent arrangements (hereafter jointly referred to as trusts) that meet certain criteria. The requirements of Statements No. 27 and No. 50 remain applicable for pensions that are not covered by the scope of this Statement.

The scope of this Statement addresses accounting and financial reporting for pensions that are provided to the employees of state and local governmental employers through pension plans that are administered through trusts that have the following characteristics:

- Contributions from employers and non-employer contributing entities to the pension plan and earnings on those contributions are irrevocable.
- Pension plan assets are dedicated to providing pensions to plan members in accordance with the benefit terms.
- Pension plan assets are legally protected from the creditors of employers, non-employer contributing entities, and the pension plan administrator. If the plan is a defined benefit pension plan, plan assets also are legally protected from creditors of the plan members.

This Statement establishes standards for measuring and recognizing liabilities, deferred outflows of resources, and deferred inflows of resources, and expense/expenditures. For defined benefit pensions, this Statement identifies the methods and assumptions that should be used to project benefit payments, discount projected benefit payments to their actuarial present value, and attribute that present value to periods of employee service.

Note disclosure and required supplementary information requirements about pensions also are addressed. Distinctions are made regarding the particular requirements for employers based on the number of employers whose employees are provided with pensions through the pension plan and whether pension obligations and pension plan assets are shared. Employers are classified in one of the following categories for purposes of this Statement:

- Single employers are those whose employees are provided with defined benefit pensions through single-employer pension plans—pension plans in which pensions are provided to the employees of only one employer (as defined in this Statement).
- Agent employers are those whose employees are provided with defined benefit pensions through agent multiple-employer pension plans—pension plans in which plan assets are pooled for investment purposes but separate accounts are maintained for each individual employer so that each employer's share of the pooled assets is legally available to pay the benefits of only its employees.
- Cost-sharing employers are those whose employees are provided with defined benefit pensions through cost-sharing multiple-employer pension plans—pension plans in which the pension obligations to the employees of more than one employer are pooled and plan assets can be used to pay the benefits of the employees of any employer that provides pensions through the pension plan.

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NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

In addition, this Statement details the recognition and disclosure requirements for employers with liabilities (payables) to a defined benefit pension plan and for employers whose employees are provided with defined contribution pensions. This Statement also addresses circumstances in which a non-employer entity has a legal requirement to make contributions directly to a pension plan.

The District has implemented the Provisions of this Statement for the year ended June 30, 2015.

In November 2013, the GASB issued Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date — An Amendment of GASB Statement No. 68*. The objective of this Statement is to address an issue regarding application of the transition provisions of Statement No. 68, *Accounting and Financial Reporting for Pensions*. The issue relates to amounts associated with contributions, if any, made by a state or local government employer or nonemployer contributing entity to a defined benefit pension plan after the measurement date of the government's beginning net pension liability.

Statement No. 68 requires a state or local government employer (or nonemployer contributing entity in a special funding situation) to recognize a net pension liability measured as of a date (the measurement date) no earlier than the end of its prior fiscal year. If a state or local government employer or nonemployer contributing entity makes a contribution to a defined benefit pension plan between the measurement date of the reported net pension liability and the end of the government's reporting period, Statement No. 68 requires that the government recognize its contribution as a deferred outflow of resources. In addition, Statement No. 68 requires recognition of deferred outflows of resources and deferred inflows of resources for changes in the net pension liability of a state or local government employer or nonemployer contributing entity that arise from other types of events. At transition to Statement No. 68, if it is not practical for an employer or nonemployer contributing entity to determine the amounts of *all* deferred outflows of resources and deferred inflows of resources related to pensions, paragraph 137 of Statement No. 68 required that beginning balances for deferred outflows of resources and deferred inflows of resources not be reported.

Consequently, if it is not practical to determine the amounts of all deferred outflows of resources and deferred inflows of resources related to pensions, contributions made after the measurement date of the beginning net pension liability could not have been reported as deferred outflows of resources at transition. This could have resulted in a significant understatement of an employer or nonemployer contributing entity's beginning net position and expense in the initial period of implementation.

This Statement amends paragraph 137 of Statement No. 68 to require that, at transition, a government recognize a beginning deferred outflow of resources for its pension contributions, if any, made subsequent to the measurement date of the beginning net pension liability. Statement No. 68, as amended, continues to require that beginning balances for other deferred outflows of resources and deferred inflows of resources related to pensions be reported at transition only if it is practical to determine all such amounts.

The District has implemented the Provisions of this Statement for the year ended June 30, 2015.

As the result of implementing GASB Statement No. 68, the District has restated the beginning net position in the government wide Statement of Net Position, effectively decreasing net position as of July 1, 2014, by \$116,938,018. The decrease results from recognizing the net pension liability, net of related deferred outflows of resources. The restatement does not include deferred inflows of resources, as this information was not available.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

New Accounting Pronouncements

In February 2015, the GASB issued Statement No. 72, *Fair Value Measurement and Application*. This Statement addresses accounting and financial reporting issues related to fair value measurements. The definition of *fair value* is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. This Statement provides guidance for determining a fair value measurement for financial reporting purposes. This Statement also provides guidance for applying fair value to certain investments and disclosures related to all fair value measurements.

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2015. Early implementation is encouraged.

In June 2015, the GASB issued Statement No. 73, *Accounting and Financial Reporting for Pensions and Related Assets That Are Not within the Scope of GASB Statement No. 68, and Amendments to Certain Provisions of GASB Statements No. 67 and No. 68*. The objective of this Statement is to improve the usefulness of information about pensions included in the general purpose external financial reports of state and local governments for making decisions and assessing accountability. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

This Statement establishes requirements for defined benefit pensions that are not within the scope of Statement No. 68, *Accounting and Financial Reporting for Pensions*, as well as for the assets accumulated for purposes of providing those pensions. In addition, it establishes requirements for defined contribution pensions that are not within the scope of Statement No. 68. It also amends certain provisions of Statement No. 67, *Financial Reporting for Pension Plans*, and Statement No. 68 for pension plans and pensions that are within their respective scopes.

The requirements of this Statement extend the approach to accounting and financial reporting established in Statement No. 68 to all pensions, with modifications as necessary to reflect that for accounting and financial reporting purposes, any assets accumulated for pensions that are provided through pension plans that are not administered through trusts that meet the criteria specified in Statement No. 68 should not be considered pension plan assets. It also requires that information similar to that required by Statement No. 68 be included in notes to financial statements and required supplementary information by all similarly situated employers and nonemployer contributing entities.

This Statement also clarifies the application of certain provisions of Statements No. 67 and No. 68 with regard to the following issues:

- Information that is required to be presented as notes to the ten-year schedules of required supplementary information about investment-related factors that significantly affect trends in the amounts reported
- Accounting and financial reporting for separately financed specific liabilities of individual employers and nonemployer contributing entities for defined benefit pensions
- Timing of employer recognition of revenue for the support of nonemployer contributing entities not in a special funding situation.

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NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2016. Early implementation is encouraged.

In June 2015, the GASB issued Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*. The objective of this Statement is to improve the usefulness of information about postemployment benefits other than pensions (other postemployment benefits or OPEB) included in the general purpose external financial reports of state and local governmental OPEB plans for making decisions and assessing accountability. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits (pensions and OPEB) with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

This Statement replaces Statements No. 43, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans*. It also includes requirements for defined contribution OPEB plans that replace the requirements for those OPEB plans in Statement No. 25, *Financial Reporting for Defined Benefit Pension Plans and Note Disclosures for Defined Contribution Plans*, as amended, Statement No. 43, and Statement No. 50, *Pension Disclosures*.

Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, establishes new accounting and financial reporting requirements for governments whose employees are provided with OPEB, as well as for certain nonemployer governments that have a legal obligation to provide financial support for OPEB provided to the employees of other entities.

The scope of this Statement includes OPEB plans—defined benefit and defined contribution—administered through trusts that meet the following criteria:

- Contributions from employers and nonemployer contributing entities to the OPEB plan and earnings on those contributions are irrevocable.
- OPEB plan assets are dedicated to providing OPEB to plan members in accordance with the benefit terms.
- OPEB plan assets are legally protected from the creditors of employers, nonemployer contributing entities, and the OPEB plan administrator. If the plan is a defined benefit OPEB plan, plan assets also are legally protected from creditors of the plan members.

This Statement also includes requirements to address financial reporting for assets accumulated for purposes of providing defined benefit OPEB through OPEB plans that are not administered through trusts that meet the specified criteria.

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2016. Early implementation is encouraged.

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In June 2015, the GASB issued Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pension*. The primary objective of this Statement is to improve accounting and financial reporting by state and local governments for postemployment benefits other than pensions (other postemployment benefits or OPEB). It also improves information provided by state and local governmental employers about financial support for OPEB that is provided by other entities. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits (pensions and OPEB) with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

This Statement replaces the requirements of Statements No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans*, for OPEB. Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, establishes new accounting and financial reporting requirements for OPEB plans.

The scope of this Statement addresses accounting and financial reporting for OPEB that is provided to the employees of state and local governmental employers. This Statement establishes standards for recognizing and measuring liabilities, deferred outflows of resources, deferred inflows of resources, and expense/expenditures. For defined benefit OPEB, this Statement identifies the methods and assumptions that are required to be used to project benefit payments, discount projected benefit payments to their actuarial present value, and attribute that present value to periods of employee service. Note disclosure and required supplementary information requirements about defined benefit OPEB also are addressed.

In addition, this Statement details the recognition and disclosure requirements for employers with payables to defined benefit OPEB plans that are administered through trusts that meet the specified criteria and for employers whose employees are provided with defined contribution OPEB. This Statement also addresses certain circumstances in which a nonemployer entity provides financial support for OPEB of employees of another entity.

In this Statement, distinctions are made regarding the particular requirements depending upon whether the OPEB plans through which the benefits are provided are administered through trusts that meet the following criteria:

- Contributions from employers and nonemployer contributing entities to the OPEB plan and earnings on those contributions are irrevocable.
- OPEB plan assets are dedicated to providing OPEB to plan members in accordance with the benefit terms.
- OPEB plan assets are legally protected from the creditors of employers, nonemployer contributing entities, the OPEB plan administrator, and the plan members.

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2017. Early implementation is encouraged.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

In June 2015, the GASB issued Statement No. 76, *The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments*. The objective of this Statement is to identify—in the context of the current governmental financial reporting environment—the hierarchy of generally accepted accounting principles (GAAP). The "GAAP hierarchy" consists of the sources of accounting principles used to prepare financial statements of state and local governmental entities in conformity with GAAP and the framework for selecting those principles. This Statement reduces the GAAP hierarchy to two categories of authoritative GAAP and addresses the use of authoritative and non-authoritative literature in the event that the accounting treatment for a transaction or other event is not specified within a source of authoritative GAAP.

This Statement supersedes Statement No. 55, *The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments*.

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2015, and should be applied retroactively. Earlier implementation is permitted.

NOTE 2 - DEPOSITS AND INVESTMENTS

Summary of Deposits and Investments

Deposits and investments as of June 30, 2015, are classified in the accompanying financial statements as follows:

Governmental activities	\$ 49,340,620
Fiduciary funds	684,889
Total Deposits and Investments	<u>\$ 50,025,509</u>

Deposits and investments as of June 30, 2015, consisted of the following:

Cash on hand and in banks	\$ 1,314,789
Cash in revolving	51,500
Investments	48,659,220
Total Deposits and Investments	<u>\$ 50,025,509</u>

Policies and Practices

The District is authorized under *California Government Code* to make direct investments in local agency bonds, notes, or warrants within the State; U.S. Treasury instruments; registered State warrants or treasury notes; securities of the U.S. Government, or its agencies; bankers acceptances; commercial paper; certificates of deposit placed with commercial banks and/or savings and loan companies; repurchase or reverse repurchase agreements; medium-term corporate notes; shares of beneficial interest issued by diversified management companies, certificates of participation, obligations with first priority security; and collateralized mortgage obligations.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Investment in County Treasury - The District is considered to be an involuntary participant in an external investment pool as the District is required to deposit all receipts and collections of monies with their County Treasurer (*Education Code* Section 41001). The fair value of the District's investment in the pool is reported in the accounting financial statements at amounts based upon the District's pro-rata share of the fair value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis.

General Authorizations

Limitations as they relate to interest rate risk, credit risk, and concentration of credit risk are indicated in the schedules below:

Authorized Investment Type	Maximum Remaining Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
Local Agency Bonds, Notes, Warrants	5 years	None	None
Registered State Bonds, Notes, Warrants	5 years	None	None
U.S. Treasury Obligations	5 years	None	None
U.S. Agency Securities	5 years	None	None
Banker's Acceptance	180 days	40%	30%
Commercial Paper	270 days	25%	10%
Negotiable Certificates of Deposit	5 years	30%	None
Repurchase Agreements	1 year	None	None
Reverse Repurchase Agreements	92 days	20% of base	None
Medium-Term Corporate Notes	5 years	30%	None
Mutual Funds	N/A	20%	10%
Money Market Mutual Funds	N/A	20%	10%
Mortgage Pass-Through Securities	5 years	20%	None
County Pooled Investment Funds	N/A	None	None
Local Agency Investment Fund (LAIF)	N/A	None	None

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. The District does not have a formal investment policy that limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. The District manages its exposure to interest rate risk by investing in the county pool and purchasing a combination of shorter term and longer term investments and by timing cash flows from maturities so that a portion of the portfolio is maturing or coming close to maturity evenly over time as necessary to provide the cash flow and liquidity needed for operations.

Information about the sensitivity of the fair values of the District's investments to market interest rate fluctuation is provided by the following schedule that shows the distribution of the District's investment by maturity:

Investment Type	Fair Value	Weighted-Average Maturity in Days
Los Angeles County Investment Pool	<u>\$ 48,608,416</u>	595

Credit Risk

Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. The District's investments in the Los Angeles County Investment Pool is not required to be rated, nor has it been rated as of June 30, 2015.

Custodial Credit Risk - Deposits

This is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District does not have a policy for custodial credit risk for deposits. However, the *California Government Code* requires that a financial institution secure deposits made by State or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under State law (unless so waived by the governmental unit). The market value of the pledged securities in the collateral pool must equal at least 110 percent of the total amount deposited by the public agencies. California law also allows financial institutions to secure public deposits by pledging first trust deed mortgage notes having a value of 150 percent of the secured public deposits and letters of credit issued by the Federal Home Loan Bank of San Francisco having a value of 105 percent of the secured deposits. As of June 30, 2015, the District's bank balance of \$843,298 was exposed to custodial credit risk because it was uninsured and collateralized with securities held by the pledging financial institution's trust department or agent, but not in the name of the District.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 3 - RECEIVABLES

Receivables at June 30, 2015, consisted of intergovernmental grants, entitlements, interest, and other local sources. All receivables are considered collectible in full.

	General Fund	Building Fund	Non-Major Governmental Funds	Internal Service Fund	Total Governmental Activities	Fiduciary Fund
Federal Government						
Categorical aid	\$ 2,924,898	\$ -	\$ 1,600,033	\$ -	\$ 4,524,931	\$ -
State Government						
State principal apportionment	-	-	-	-	-	-
Categorical aid	463,619	-	196,944	-	660,563	-
Lottery	1,357,758	-	-	-	1,357,758	-
Local Government						
Interest	52,671	25,699	20,587	30,689	129,646	73
Other Local Sources	2,806,623	-	23,059	-	2,829,682	-
Total	<u>\$ 7,605,569</u>	<u>\$ 25,699</u>	<u>\$ 1,840,623</u>	<u>\$ 30,689</u>	<u>\$ 9,502,580</u>	<u>\$ 73</u>

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 4 - CAPITAL ASSETS

Capital asset activity for the fiscal year ended June 30, 2015, was as follows:

	Balance July 1, 2014	Additions	Deductions	Balance June 30, 2015
Governmental Activities				
Capital Assets Not Being Depreciated				
Land	\$ 32,298,855	\$ -	\$ -	\$ 32,298,855
Construction in progress	26,233,483	2,342,791	26,233,483	2,342,791
Total Capital Assets Not Being Depreciated	58,532,338	2,342,791	26,233,483	34,641,646
Capital Assets Being Depreciated				
Land improvements	5,721,561	-	-	5,721,561
Buildings and improvements	356,324,654	29,676,788	-	386,001,442
Furniture and equipment	9,771,836	3,173,202	-	12,945,038
Total Capital Assets Being Depreciated	371,818,051	32,849,990	-	404,668,041
Total Capital Assets	430,350,389	35,192,781	26,233,483	439,309,687
Less Accumulated Depreciation				
Land improvements	2,554,880	237,413	-	2,792,293
Buildings and improvements	133,015,006	11,772,852	-	144,787,858
Furniture and equipment	6,609,207	729,505	-	7,338,712
Total Accumulated Depreciation	142,179,093	12,739,770	-	154,918,863
Governmental Activities Capital Assets, Net	<u>\$ 288,171,296</u>	<u>\$ 22,453,011</u>	<u>\$ 26,233,483</u>	<u>\$ 284,390,824</u>

Depreciation expense was charged as a direct expense to governmental functions as follows:

Governmental Activities	
Instruction	\$ 10,523,032
School site administration	343,975
Food services	598,769
All other administration	751,646
Plant services	522,348
Total Depreciation Expenses Governmental Activities	<u>\$ 12,739,770</u>

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 5 - INTERFUND TRANSACTIONS

Interfund Receivables/Payables (Due To/Due From)

Interfund receivable and payable balances arise from interfund transactions and are recorded by all funds affected in the period in which transactions are executed. Interfund receivable and payable balances at June 30, 2015, between major and non-major governmental funds, non-major enterprise funds, internal service funds, and fiduciary funds are as follows:

Due To	Due From			Total
	Building Fund	Non-Major Governmental Funds	Internal Service Fund	
General Fund	\$ 7,447	\$ 338,383	\$ 2,089	\$ 347,919

A balance of \$7,447 is due to the General Fund from the Building Fund for payroll expenses.

A balance of \$317,973 is due to the General Fund from the Non-Major Governmental Child Development Fund for payroll expenses.

A balance of \$20,410 is due to the General Fund from the Non-Major Governmental Cafeteria Fund for payroll expenses.

The balance of \$2,089 is due to the General Fund from the Internal Service Fund for workers' compensation vouchers.

Operating Transfers

Interfund transfers for the year ended June 30, 2015, consisted of the following:

Transfer To	Transfer From General Fund
Non-Major Governmental Funds	\$ 112,362

The General Fund transferred to the Non-Major Governmental Child Development Fund for reimbursement of costs.

\$ 112,362

Interfund transfers are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, (2) move receipts restricted to debt service from the funds collecting the receipts to the debt service fund as debt service payments become due, and (3) use unrestricted revenues collected in the General Fund to finance various programs accounted for in other funds in accordance with budgetary authorizations.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 6 - ACCOUNTS PAYABLE

Accounts payable at June 30, 2015, consisted of the following:

	General Fund	Building Fund	Non-Major Governmental Funds	Internal Service Fund	Total Governmental Activity
Vendor payables	\$ 5,556,292	\$ -	\$ 354,626	\$ 75,651	\$ 5,986,569
State principal apportionment	1,993,169	-	-	-	1,993,169
Salaries and benefits	10,378,844	5,641	582,298	21,334	10,988,117
Construction	-	187,250	91,051	-	278,301
Total	<u>\$ 17,928,305</u>	<u>\$ 192,891</u>	<u>\$ 1,027,975</u>	<u>\$ 96,985</u>	<u>\$ 19,246,156</u>

NOTE 7 - UNEARNED REVENUE

Unearned revenue at June 30, 2015, consisted of the following:

	General Fund	Non-Major Governmental Funds	Total Governmental Activity
Federal financial assistance	\$ 231,438	\$ 212,666	\$ 444,104
State categorical aid	826,297	-	826,297
Total	<u>\$ 1,057,735</u>	<u>\$ 212,666</u>	<u>\$ 1,270,401</u>

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 8 - LONG-TERM OBLIGATIONS

Summary

The changes in the District's long-term obligations during the year consisted of the following:

	Balance July 1, 2014	Additions	Deductions	Balance June 30, 2015	Due in One Year
General obligation bonds	\$ 34,930,288	\$ 10,859,536	\$ 2,230,000	\$ 43,559,824	\$ 1,355,934
Premium on bonds	1,255,734	955,508	89,695	2,121,547	-
Bond anticipation note	13,499,948	9,380,000	13,499,948	9,380,000	-
Certificates of participation	20,985,000	-	510,000	20,475,000	545,000
Compensated absences	1,677,426	196,779	-	1,874,205	-
PARS retirement	1,127,104	1,624,435	1,058,936	1,692,603	1,058,936
Claims Liabilities	7,817,000	680,000	-	8,497,000	-
OPEB obligation, net	6,637,105	1,175,211	770,786	7,041,530	-
	<u>\$ 87,929,605</u>	<u>\$ 24,871,469</u>	<u>\$ 18,159,365</u>	<u>\$ 94,641,709</u>	<u>\$ 2,959,870</u>

- Payments on General Obligation Bonds are made by the Bond Interest and Redemption Fund with local revenues.
- Payments on the Certificates of Participation are made from the General Fund.
- The compensated absences will be paid by the fund for which the employee worked.
- Payments for PARS Retirement obligations are made from the General Fund.
- Payments for Claims Liabilities are made by the Internal Service Fund. A current portion of claim liabilities is recorded as a liability reported in the Proprietary Fund Statement of Net Position.
- Payments for the OPEB obligation will be paid by the fund for which the employee worked.

Issue Date	Maturity Date	Interest Rate	Original Issue	Bonds Outstanding July 1, 2014	Issued	Accreted	Redeemed	Bonds Outstanding June 30, 2015
5/1/2003	5/1/2028	5.52 - 6.90%	\$ 19,999,801	\$ 3,810,288	\$ -	\$ 204,536	\$ 700,000	\$ 3,314,824
2/9/2012	8/1/2027	2.00 - 5.00%	14,700,000	14,620,000	-	-	30,000	14,590,000
2/12/2013	8/1/2038	2.00 - 5.00%	16,500,000	16,500,000	-	-	1,500,000	15,000,000
7/15/14	8/1/2039	1.25 - 4.28%	10,655,000	-	10,655,000	-	-	10,655,000
			<u>\$ 61,854,801</u>	<u>\$ 34,930,288</u>	<u>\$ 10,655,000</u>	<u>\$ 204,536</u>	<u>\$ 2,230,000</u>	<u>\$ 43,559,824</u>

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

2002 General Obligation Bonds, Series A

In April 2003, the District issued \$19,999,801 of 2002 General Obligation Bonds, Series A. The bonds mature on May 1, 2028, with interest rates ranging from 5.52 to 6.90 percent. Net proceeds from the issuance were used to finance the construction of new schools and to improve and repair existing schools. At June 30, 2015, the principal balance outstanding was \$3,314,824.

The bonds mature through 2028 as follows:

<u>Fiscal Year</u>	<u>Principal Including Accreted Interest to Date</u>	<u>Interest to Maturity</u>	<u>Total</u>
2016	\$ 745,934	\$ 4,066	\$ 750,000
2017	744,639	55,361	800,000
2018	740,365	109,635	850,000
2026-2028	1,083,886	1,116,114	2,200,000
Total	<u>\$ 3,314,824</u>	<u>\$ 1,285,176</u>	<u>\$ 4,600,000</u>

2012 General Obligation Refunding Bonds

On January 11, 2012, the District issued \$14,700,000 of 2012 General Obligation Refunding Bonds. The bonds mature on August 1, 2027, with interest rates ranging from 2.00 to 5.00 percent. Net proceeds from the issuance were used to pay a portion of existing bonds. At June 30, 2015, the principal balance outstanding was \$14,590,000.

The bonds mature through 2028 as follows:

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2016	\$ 35,000	\$ 623,863	\$ 658,863
2017	35,000	622,813	657,813
2018	35,000	621,763	656,763
2019	945,000	610,913	1,555,913
2020	1,025,000	589,931	1,614,931
2021-2025	6,760,000	2,251,125	9,011,125
2026-2028	5,755,000	473,013	6,228,013
Total	<u>\$ 14,590,000</u>	<u>\$ 5,793,421</u>	<u>\$ 20,383,421</u>

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

2012 General Obligation Bonds, Series A

On January 30, 2013, the District issued \$16,500,000 of 2012 General Obligation Bonds, Series A. The bonds mature on August 1, 2038, with interest rates ranging from 2.00 to 5.00 percent. Net proceeds from the issuance were used to finance the construction of new schools and to improve and repair existing schools. At June 30, 2015, the principal balance outstanding was \$15,000,000.

The bonds mature through 2039 as follows:

Fiscal Year	Principal	Interest to Maturity	Total
2016	\$ 575,000	\$ 651,675	\$ 1,226,675
2017	275,000	640,175	915,175
2018	295,000	631,925	926,925
2019	320,000	623,075	943,075
2020	340,000	613,475	953,475
2021-2025	2,095,000	2,870,925	4,965,925
2026-2030	2,905,000	2,401,475	5,306,475
2031-2035	3,960,000	1,678,750	5,638,750
2036-2039	4,235,000	546,000	4,781,000
Total	<u>\$ 15,000,000</u>	<u>\$ 10,657,475</u>	<u>\$ 25,657,475</u>

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

2012 General Obligation Bonds, Series B

On July 15, 2014, the District issued \$10,655,000 of 2012 General Obligation Bonds, Series B. The bonds mature on August 1, 2039, with interest rates ranging from 1.25 to 4.28 percent. Net proceeds from the issuance were used to finance the construction of new schools and to improve and repair existing schools and for partial payment of 2013 General Obligation Bond Anticipation Notes. At June 30, 2015, the principal balance outstanding was \$10,655,000.

The bonds mature through 2040 as follows:

Fiscal Year	Principal	Interest to Maturity	Total
2016	\$ -	\$ 406,056	\$ 406,056
2017	50,000	404,931	454,931
2018	120,000	403,931	523,931
2019	160,000	401,531	561,531
2020	160,000	399,531	559,531
2021-2025	300,000	1,977,906	2,277,906
2026-2030	1,505,000	1,851,744	3,356,744
2031-2035	3,360,000	1,477,450	4,837,450
2036-2040	5,000,000	739,200	5,739,200
Total	<u>\$ 10,655,000</u>	<u>\$ 8,062,280</u>	<u>\$ 18,717,280</u>

Bonds Anticipation Note

On January 30, 2013, the District issued \$13,499,948 in 2013 General Obligation Bonds Anticipation Note. Proceeds from the bonds will be used for the purpose of the construction, equipping, furnishing, and improvement of certain school facilities within the District. The remaining bonds mature on August 1, 2014, with a yield of 1.10 percent. As of June 30, 2015, there was no remaining balance.

On July 15, 2014, the District issued \$8,680,000 in 2014 General Obligation Bonds Anticipation Note Series A. Proceeds from the bonds will be used for the purpose of payment to outstanding 2013 General Obligation Bond Anticipation Notes. The remaining bonds mature on August 1, 2017, with a yield of 1.25 percent. As of June 30, 2015, the remaining balance was \$8,680,000.

On July 15, 2014, the District issued \$700,000 in 2014 General Obligation Bonds Anticipation Note Series B. Proceeds from the bonds will be used for the purpose of outstanding 2013 General Obligation Bond Anticipation Notes. The remaining bonds mature on August 1, 2017, with a yield of 1.80 percent. As of June 30, 2015, the remaining balance was \$700,000.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Certificates of Participation Summary

The outstanding certificates of participation are as follows:

Maturity Date	Original Issue	COP		COP	
		Outstanding July 1, 2014	Issued	Redeemed	Outstanding June 30, 2015
2038	\$ 19,430,000	\$ 17,215,000	\$ -	\$ 420,000	\$ 16,795,000
2038	4,260,000	3,770,000	-	90,000	3,680,000
	<u>\$ 23,690,000</u>	<u>\$ 20,985,000</u>	<u>\$ -</u>	<u>\$ 510,000</u>	<u>\$ 20,475,000</u>

2007 Certificates of Participation Series A

On April 12, 2007, the District issued Certificates of Participation. The Certificates were executed and delivered in a Series A pursuant to a Trust Agreement between Lynwood Unified School District, the Public Property Financing Corporation of California and U.S. Bank National Association, as trustee. The amount financed for Series A is \$19,430,000, the proceeds of which were used to finance the construction of certain projects. The amount financed for Series B is \$4,260,000, the proceeds of which were used to effect the payment and current refunding of the outstanding certificates of participation of the 1997 Series C of the District pursuant to the terms of the escrow agreement. The certificates mature on October 1, 2037, with interest due with respect to the certificates is payable on October 1, 2010, and semiannually thereafter on each April 1 and October 1 having stated interest rates ranging from 4.0 percent to 5.0 percent. At June 30, 2015, the principal balance outstanding was \$16,795,000.

The certificates mature through 2038 as follows:

Fiscal Year	Principal	Interest to	
		Maturity	Total
2016	\$ 445,000	\$ 756,943	\$ 1,201,943
2017	450,000	738,484	1,188,484
2018	485,000	719,199	1,204,199
2019	510,000	698,996	1,208,996
2020	520,000	678,071	1,198,071
2021-2025	2,910,000	3,043,481	5,953,481
2026-2030	3,620,000	2,335,513	5,955,513
2031-2035	4,535,000	1,401,985	5,936,985
2036-2038	3,320,000	254,750	3,574,750
Total	<u>\$ 16,795,000</u>	<u>\$ 10,627,422</u>	<u>\$ 27,422,422</u>

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

2007 Certificates of Participation Series B

On April 12, 2007, the District issued Certificates of Participation. The Certificates were executed and delivered in a Series B pursuant to a Trust Agreement between Lynwood Unified School District, the Public Property Financing Corporation of California and U.S. Bank National Association, as trustee. The amount financed for Series B is \$4,260,000, the proceeds of which were used to effect the payment and current refunding of the outstanding certificates of participation of the 1997 Series C of the District pursuant to the terms of the escrow agreement. The certificates mature on October 1, 2037, with interest due with respect to the certificates is payable on October 1, 2010, and semiannually thereafter on each April 1 and October 1 having stated interest rates ranging from 4.0 percent to 5.0 percent. At June 30, 2015, the principal balance outstanding was \$3,680,000.

The certificates mature through 2038 as follows:

Fiscal Year	Principal	Interest to Maturity	Total
2016	\$ 100,000	\$ 179,588	\$ 279,588
2017	100,000	175,338	275,338
2018	105,000	170,981	275,981
2019	110,000	166,000	276,000
2020	115,000	160,375	275,375
2021-2025	640,000	710,750	1,350,750
2026-2030	795,000	531,875	1,326,875
2031-2035	985,000	309,875	1,294,875
2036-2038	730,000	56,000	786,000
Total	<u>\$ 3,680,000</u>	<u>\$ 2,460,782</u>	<u>\$ 6,140,782</u>

Compensated Absences

The long-term portion of accumulated unpaid employee vacation for the District at June 30, 2015, amounted to \$1,874,205.

PARS Retirement Program

The District offered an early retirement incentive to qualified employees under a qualified plan of Section 401A of the Internal Revenue Code. The retiree receives an annual benefit payment in five equal installments through June 30, 2016. Currently, there are 96 employees participating in this plan and the District's obligation to those retirees as of June 30, 2015, is \$1,692,603.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Future payments are as follows:

Year Ending June 30,	Amount
2016	\$ 1,058,936
2017	495,384
2018	138,283
Total	<u>\$ 1,692,603</u>

Claims Liability

The District has an outstanding long-term obligation for incurred, but not reported, claims for the District Internal Service Fund in the amount of \$8,497,000.

Other Postemployment Benefits (OPEB) Obligation

The District's annual required contribution for the year ended June 30, 2015, was \$1,264,704, and contributions made by the District during the year were \$770,786. Interest on the net OPEB obligation and adjustments to the annual required contribution were \$331,855 and \$(421,348), respectively, which resulted in an increase to the net OPEB obligation of \$404,425. As of June 30, 2015, the net OPEB obligation was \$7,041,530. See Note 11 for additional information regarding the OPEB obligation and the postemployment benefits plan.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 10 - FUND BALANCES

Fund balances are composed of the following elements:

	General Fund	Building Fund	Non-Major Governmental Funds
Nonspendable			
Revolving cash	\$ 50,750	\$ -	\$ 750
Stores inventories	208,503	-	64,564
Prepaid expenditures	67,008	-	-
Total Nonspendable	326,261	-	65,314
Restricted			
Legally restricted programs	3,008,452	-	2,922,103
Capital projects	-	8,036,732	2,650,383
Debt services	-	-	2,371,229
Total Restricted	3,008,452	8,036,732	7,943,715
Assigned			
Other assignments	1,416,608	222,505	640,604
Unassigned			
Economic uncertainties	6,308,942	-	-
Total	\$ 11,060,263	\$ 8,259,237	\$ 8,649,633
	Total Governmental Funds	Internal Service Fund	Fiduciary Funds
Nonspendable			
Revolving cash	\$ 51,500	\$ -	\$ -
Stores inventories	273,067	-	-
Prepaid expenditures	67,008	-	-
Total Nonspendable	391,575	-	-
Restricted			
Legally restricted programs	8,140,447	2,209,892	17,170
Capital projects	10,687,115	-	-
Debt services	2,371,229	-	-
Total Restricted	21,198,791	2,209,892	17,170
Assigned			
Other assignments	2,279,717	-	-
Unassigned			
Economic uncertainties	6,308,942	-	-
Total	\$ 30,179,025	\$ 2,209,892	\$ 17,170

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

NOTE 12 - EXPENDITURES (BUDGET VERSUS ACTUAL)

At June 30, 2015, the following District major fund exceeded the budgeted amount in total as follows:

	Expenditures and Other Uses		
	Budget	Actual	Excess
General Fund	<u>\$ 147,383,130</u>	<u>\$ 156,959,497</u>	<u>\$ 9,576,367</u>

NOTE 11 - POSTEMPLOYMENT HEALTH CARE PLAN AND OTHER POSTEMPLOYMENT BENEFITS (OPEB) OBLIGATION

Plan Description

The Postemployment Benefit Plan (the Plan) is a single-employer defined benefit healthcare plan administered by the Lynwood Unified School District. The Plan provides medical and dental insurance benefits to eligible retirees and their spouses. Membership of the Plan consists of 157 retirees and beneficiaries currently receiving benefits and approximately 1,400 active Plan members.

Contribution Information

The contribution requirements of Plan members and the District are established and may be amended by the District and the Lynwood Teachers Association (LTA), the local California Service Employees Association (CSEA), the local Service Employees International Union (SEIU), and unrepresented groups. The required contribution is based on projected pay-as-you-go financing requirements. For fiscal year 2014-2015, the District contributed \$770,786 to the Plan all of which was used for current premiums.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Annual OPEB Cost and Net OPEB Obligation

The District's annual other postemployment benefits (OPEB) cost (expense) is calculated based on the annual required contribution of the employer (ARC), an amount actuarially determined in accordance with the parameters of GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial accrued liabilities (UAAL) (or funding excess) over a period not to exceed thirty years. The following table shows the components of the District's annual OPEB cost for the year, the amount actually contributed to the Plan, and changes in the District's net OPEB obligation to the Plan:

Annual required contribution	\$ 1,264,704
Interest on net OPEB obligation	331,855
Adjustment to annual required contribution	(421,348)
Annual OPEB cost (expense)	1,175,211
Contributions made	(770,786)
Increase in net OPEB obligation	404,425
Net OPEB obligation, beginning of year	6,637,105
Net OPEB obligation, end of year	<u>\$ 7,041,530</u>

Trend Information

Trend information for annual OPEB cost, the percentage of annual OPEB cost contributed to the Plan, and the net OPEB obligation is as follows:

Year Ended June 30,	Annual OPEB Cost	Actual Employer Contribution	Percentage Contributed	Net OPEB Obligation
2013	\$ 1,256,568	\$ 983,696	78.28%	\$ 6,300,138
2014	1,189,394	852,427	71.67%	6,637,105
2015	1,175,211	\$ 770,786	65.59%	7,041,530

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Funded Status and Funding Progress

A schedule of funding progress as of the most recent actuarial valuation is as follows:

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) - Projected Unit Credit (b)	Unfunded AAL (UAAL) (b - a)	Funded Ratio (a / b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ([b - a] / c)
July 1, 2012	\$ -	\$ 10,893,076	\$ 10,893,076	0%	\$ 97,500,280	11%

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, investment returns, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the Plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress, presented as required supplementary information following the notes to the financial statements, presents multiyear trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

In the July 1, 2012, actuarial valuation, the projected unit credit method was used. The actuarial assumptions included a five percent investment rate of return (net of administrative expenses), based on the plan being funded in an irrevocable employee benefit trust invested in a combined equity and fixed income portfolio. The UAAL is being amortized at a level dollar method. The remaining amortization period at June 30, 2015, was 24 years.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 12 - RISK MANAGEMENT

Description

The District's risk management activities are recorded in the General and Self-Insurance Funds. Employee life, health, vision, dental, disability, and workers' compensation programs are administered by the District. The District is exposed to various risks of loss related to torts; theft, damage and destruction of assets; errors and omissions; injuries to employees; life and health of employees; and natural disasters. The District purchases commercial insurance through Southern California Regional Liability Excess Fund Joint Powers Authority for first party damage with coverage up to a maximum of \$500 million, subject to Member Retained Limits ranging from \$500 to \$10,000 per occurrence. The District also purchases commercial insurance for general liability claims with coverage up to \$1 million per occurrence with excess liability coverage up to \$25, all subject to a \$25,000 Member Retained Limit per occurrence. The District self insures workers' compensation coverage up to \$2,000,000 per occurrence with excess coverage up to \$10,000,000.

Claims Liabilities

The District records an estimated liability for indemnity torts and other claims against the District. Claims liabilities are based on estimates of the ultimate cost of reported claims (including future claim adjustment expenses) and an estimate for claims incurred, but not reported based on historical experience.

Unpaid Claims Liabilities

The fund establishes a liability for both reported and unreported events, which includes estimates of both future payments of losses and related claim adjustment expenses. The following represent the changes in approximate aggregate liabilities for the District from July 1, 2013 to June 30, 2015:

	Workers' Compensation
Liability Balance, July 1, 2013	\$ 10,157,250
Claims provision	2,566,637
Claims paid	(2,656,887)
Liability Balance, June 30, 2014	10,067,000
Claims provision	2,793,183
Claims paid	(3,569,183)
Liability Balance, June 30, 2015	<u>\$ 9,291,000</u>
Amount available to pay claims	<u>\$ 11,599,966</u>

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 13 - EMPLOYEE RETIREMENT SYSTEMS

Qualified employees are covered under multiple-employer defined benefit pension plans maintained by agencies of the State of California. Academic employees are members of the California State Teachers' Retirement System (CalSTRS) and classified employees are members of the California Public Employees' Retirement System (CalPERS).

The District implemented GASB Statements No. 68 and No. 71 for the fiscal year ended June 30, 2015. As a result, the District reported its proportionate share of the net pension liabilities, pension expense and deferred inflow of resources for each of the above plans and a deferred outflow of resources for each of the above plans as follows:

Pension Plan	Proportionate Share of Net Pension Liability	Deferred Outflow of Resources	Proportionate Share of Deferred Inflow of Resources	Proportionate Share of Pension Expense
CalSTRS	\$ 73,349,471	\$ 5,971,352	\$ 18,062,168	\$ 6,332,428
CalPERS	23,663,277	2,871,044	9,651,735	2,103,182
Total	<u>\$ 97,012,748</u>	<u>\$ 8,842,396</u>	<u>\$ 27,713,903</u>	<u>\$ 8,435,610</u>

The details of each plan are as follows:

California State Teachers' Retirement System (CalSTRS)

Plan Description

The District contributes to the State Teachers Retirement Plan (STRP) administered by the California State Teachers' Retirement System (CalSTRS). STRP is a cost-sharing multiple-employer public employee retirement system defined benefit pension plan. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2013, annual actuarial valuation report, Defined Benefit Program Actuarial Valuation. This report and CalSTRS audited financial information are publically available reports that can be found on the CalSTRS website under Publications at:

<http://www.calstrs.com/member-publications>.

Benefits Provided

The STRP provides retirement, disability and survivor benefits to beneficiaries. Benefits are based on members' final compensation, age and years of service credit. Members hired on or before December 31, 2012, with five years of credited service are eligible for the normal retirement benefit at age 60. Members hired on or after January 1, 2013, with five years of credited service are eligible for the normal retirement benefit at age 62. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

The STRP is comprised of four programs: Defined Benefit Program, Defined Benefit Supplement Program, Cash Balance Benefit Program and Replacement Benefits Program. The STRP holds assets for the exclusive purpose of providing benefits to members and beneficiaries of these programs. CalSTRS also uses plan assets to defray reasonable expenses of administering the STRP. Although CalSTRS is the administrator of the STRP, the State is the sponsor of the STRP and obligor of the trust. In addition, the state is both an employer and nonemployer contributing entity to the STRP.

The District contributes exclusively to the STRP Defined Benefit Program, thus disclosures are not included for the other plans.

The STRP provisions and benefits in effect at June 30, 2015, are summarized as follows:

	School Employer Pool (CalSTRS)	
	On or before December 31, 2012	On or after January 1, 2013
Hire date	December 31, 2012	January 1, 2013
Benefit formula	2% at 60	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	60	62
Monthly benefits as a percentage of eligible compensation	2.0% - 2.4%	2.0% - 2.4%
Required employee contribution rate	8.15%	8.15%
Required employer contribution rate	8.88%	8.88%
Required State contribution rate	5.95%	5.95%

Contributions

Required member, District and State of California contributions rates are set by the California Legislature and Governor and detailed in Teachers' Retirement Law. The contributions rates are expressed as a level percentage of payroll using the entry age normal actuarial method. In accordance with AB 1469, employer contributions into the CalSTRS will be increasing to a total of 19.1 percent of applicable member earnings phased over a seven-year period. The contribution rates for each plan for the year ended June 30, 2015, are presented above and the District's total contributions were \$5,971,352.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2015, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related state support and the total portion of the net pension liability that was associated with the District were as follows:

Total Net Pension Liability, Including State Share:

District's proportionate share of net pension liability	\$ 73,349,471
State's proportionate share of the net pension liability associated with the District	44,291,578
Total	<u><u>\$ 117,641,049</u></u>

The net pension liability was measured as of June 30, 2014. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts and the State, actuarially determined. At June 30, 2015, the District's proportion was 0.1255 percent.

For the year ended June 30, 2015, the District recognized pension expense of \$6,332,428. In addition, the District recognized revenue and pension expense of \$3,823,793 for support provided by the State. At June 30, 2015, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 5,971,352	\$ -
Differences between projected and actual earnings on pension plan investments	-	18,062,168
Total	<u><u>\$ 5,971,352</u></u>	<u><u>\$ 18,062,168</u></u>

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

The deferred outflow of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2016. The deferred inflow of resources will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Amortization
2016	\$ 4,515,542
2017	4,515,542
2018	4,515,542
2019	4,515,542
Total	<u>\$ 18,062,168</u>

Actuarial Methods and Assumptions

Total pension liability for STRP was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2013, and rolling forward the total pension liability to June 30, 2014. The financial reporting actuarial valuation as of June 30, 2013, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2013
Measurement date	June 30, 2014
Experience study	July 1, 2006 through June 30, 2010
Actuarial cost method	Entry age normal
Discount rate	7.60%
Investment rate of return	7.60%
Consumer price inflation	3.00%
Wage growth	3.75%

CalSTRS uses custom mortality tables to best fit the patterns of mortality among its members. These custom tables are based on RP2000 series tables adjusted to fit CalSTRS experience.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant. Based on the model for CalSTRS consulting actuary' investment practice, a best estimate range was determined by assuming the portfolio is re-balanced annually and that the annual returns are lognormally distributed and independently from year to year to develop expected percentile for the long-term distribution of annualized returns. The assumed asset allocation is based on board policy for target asset allocation in effect on February 2, 2012, the date the current experience study was approved by the board. Best estimates of ten-year geometric real rates of return and the assumed asset allocation for each major asset class used as input to develop the actuarial investment rate of return are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Global equity	47%	4.50%
Private equity	12%	6.20%
Real estate	15%	4.35%
Inflation sensitive	5%	3.20%
Fixed income	20%	0.20%
Cash/liquidity	1%	0.00%

Discount Rate

The discount rate used to measure the total pension liability was 7.60 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.60 percent) and assuming that contributions, benefit payments and administrative expense occurred midyear. Based on these assumptions, the STRP's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount rate	Net Pension Liability
1% decrease (6.60%)	\$ 114,332,643
Current discount rate (7.60%)	\$ 73,349,471
1% increase (8.60%)	\$ 39,176,955

California Public Employees Retirement System (CalPERS)

Plan Description

Qualified employees are eligible to participate in the School Employer Pool (SEP) under the California Public Employees' Retirement System (CalPERS), a cost-sharing multiple-employer public employee retirement system defined benefit pension plan administered by CalPERS. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2013 annual actuarial valuation report, Schools Pool Actuarial Valuation, 2013. This report and CalPERS audited financial information are publically available reports that can be found on the CalPERS website under Forms and Publications at:

<https://www.calpers.ca.gov/page/forms-publications>.

Benefits Provided

CalPERS provides service retirement and disability benefits, annual cost of living adjustments and death benefits to plan members, who must be public employees and beneficiaries. Benefits are based on years of service credit, a benefit factor and the member's final compensation. Members hired on or before December 31, 2012, with five years of total service are eligible to retire at age 50 with statutorily reduced benefits. Members hired on or after January 1, 2013, with five years of total service are eligible to retire at age 52 with statutorily reduced benefits. All members are eligible for non-duty disability benefits after five years of service. The Basic Death Benefit is paid to any member's beneficiary if the member dies while actively employed. An employee's eligible survivor may receive the 1957 Survivor Benefit if the member dies while actively employed, is at least age 50 (or 52 for members hired on or after January 1, 2013), and has at least five years of credited service. The cost of living adjustments for each plan are applied as specified by the Public Employees' Retirement Law.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

The CalPERS provisions and benefits in effect at June 30, 2015, are summarized as follows:

	School Employer Pool (CalPERS)	
	On or before December 31, 2012	On or after January 1, 2013
Hire date		
Benefit formula	2% at 55	2% at 62
Benefit vesting schedule	5 Years of Service	5 Years of Service
Benefit payments	Monthly for Life	Monthly for Life
Retirement age	55	62
Monthly benefits as a percentage of eligible compensation	1.1% - 2.5%	1.0% - 2.5%
Required employee contribution rate	7.000%	6.000%
Required employer contribution rate	11.771%	11.771%

Contributions

Section 20814(c) of the California Public Employees' Retirement Law requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. Total plan contributions are calculated through the CalPERS annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The District is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. The contributions rates are expressed as percentage of annual payroll. The contribution rates for each plan for the year ended June 30, 2015, are presented above and the total District contributions were \$2,871,044.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

As of June 30, 2015, the District reported net pension liabilities for its proportionate share of the CalPERS net pension liability totaling \$23,663,277. The net pension liability was measured as of June 30, 2014. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. At June 30, 2015, the District's proportion was 0.2084 percent.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

For the year ended June 30, 2015, the District recognized pension expense of \$2,103,182. At June 30, 2015, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 2,871,044	\$ -
Net change in proportionate share of net pension liability		1,520,767
Differences between projected and actual earnings on pension plan investments	-	8,130,968
Total	<u>\$ 2,871,044</u>	<u>\$ 9,651,735</u>

The deferred outflow of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2016. The deferred inflow of resources will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Amortization
2016	\$ 2,032,742
2017	2,032,742
2018	2,032,742
2019	2,032,742
Total	<u>\$ 8,130,968</u>

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

The deferred inflow of resources will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Amortization
2016	\$ 506,922
2017	506,922
2018	506,923
Total	<u>\$ 1,520,767</u>

Actuarial Methods and Assumptions

Total pension liability for the SEP was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2013, and rolling forward the total pension liability to June 30, 2014. The financial reporting actuarial valuation as of June 30, 2013, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2013
Measurement date	June 30, 2014
Experience study	July 1, 1997 through June 30, 2011
Actuarial cost method	Entry age normal
Discount rate	7.50%
Investment rate of return	7.50%
Consumer price inflation	2.75%
Wage growth	3.00%

Mortality assumptions are based on mortality rates resulting from the most recent CalPERS experience study adopted by the CalPERS Board. For purposes of the post-retirement mortality rates, those revised rates include five years of projected ongoing mortality improvement using Scale AA published by the Society of Actuaries.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations as well as the expected pension fund cash flows. Using historical returns of all the funds' asset classes, expected compound returns were calculated over the short-term (first ten years) and the long-term (11-60 years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent. The target asset allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Global equity	47%	5.25%
Global fixed income	19%	0.99%
Private equity	12%	6.83%
Real estate	11%	4.50%
Inflation sensitive	6%	0.45%
Infrastructure and Forestland	3%	4.50%
Liquidity	2%	-0.55%

Discount Rate

The discount rate used to measure the total pension liability was 7.50 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Based on these assumptions, the School Employer Pool fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount rate	Net Pension Liability
1% decrease (6.50%)	\$ 41,510,789
Current discount rate (7.50%)	\$ 23,663,277
1% increase (8.50%)	\$ 8,749,881

On Behalf Payments

The State of California makes contributions to CalSTRS on behalf of the District. These payments consist of State General Fund contributions to CalSTRS in the amount of \$3,219,306 (5.679 percent of annual payroll). Contributions are no longer appropriated in the annual *Budget Act* for the legislatively mandated benefits to CalPERS. Therefore, there is no on behalf contribution rate for CalPERS. Under accounting principles generally accepted in the United States of America, these amounts are to be reported as revenues and expenditures. Accordingly, these amounts have been recorded in these financial statements. On behalf payments have been excluded from the calculation of available reserves, and have not been included in the budgeted amounts reported in the *General Fund - Budgetary Comparison Schedule*.

NOTE 14 - COMMITMENTS AND CONTINGENCIES

Grants

The District received financial assistance from Federal and State agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any disallowed claims resulting from such audits could become a liability of the General Fund or other applicable funds. However, in the opinion of management, any such disallowed claims will not have a material adverse effect on the overall financial position of the District at June 30, 2015.

Litigation

The District is involved in various litigation arising from the normal course of business. In the opinion of management and legal counsel, the disposition of all litigation pending is not expected to have a material adverse effect on the overall financial position of the District at June 30, 2015.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

NOTE 15 - PARTICIPATION IN JOINT POWERS AUTHORITIES

The District is a member of the Alliance of Schools for Cooperative Insurance Programs (ASCIP), and the Schools' Excess Liability Fund (SELF). The District pays an annual premium to the entity for its health, workers' compensation, and property liability coverage. The relationship between the District and the entity is such that it is not a component unit of the District for financial reporting purposes.

These entities have budgeting and financial reporting requirements independent of member units and their financial statements are not presented in these financial statements; however, fund transactions between the entities and the District are included in these statements. Audited financial statements are generally available from the respective entities.

During the year ended June 30, 2015, the District made payments of \$67,201 and \$119,799 to ASCIP and SELF, respectively.

NOTE 16 - RESTATEMENT OF PRIOR YEAR NET POSITION

The District adopted GASB Statement No. 68, *Accounting and Financial Reporting for Pensions*, in the current year. As a result, the effect on the current fiscal year is as follows:

Statement of Net Position

Net Position - Beginning	\$ 243,126,223
Inclusion of net pension liability from adoption of GASB No. 68	(115,417,251)
Inclusion of deferred inflows of resources from the adoption of GASB Statement No. 68	<u>(1,520,767)</u>
Net Position - Beginning as Restated	<u><u>\$ 126,188,205</u></u>

REQUIRED SUPPLEMENTARY INFORMATION

LYNWOOD UNIFIED SCHOOL DISTRICT

GENERAL FUND BUDGETARY COMPARISON SCHEDULE FOR THE YEAR ENDED JUNE 30, 2015

	Budgeted Amounts		Actual	Variances -
	Original	Final	(GAAP Basis)	Positive (Negative)
				Final to Actual
REVENUES				
Local Control Funding Formula	\$ 116,414,395	\$ 118,362,097	\$ 120,011,565	\$ 1,649,468
Federal sources	11,482,508	14,376,339	12,165,991	(2,210,348)
Other State sources	9,851,203	13,149,549	16,179,045	3,029,496
Other local sources	2,619,895	2,681,345	6,398,913	3,717,568
Total Revenues ¹	140,368,001	148,569,330	154,755,514	6,186,184
EXPENDITURES				
Current				
Certificated salaries	54,929,294	63,405,651	65,130,271	(1,724,620)
Classified salaries	21,859,064	24,221,491	24,830,481	(608,990)
Employee benefits	24,848,522	26,913,493	32,577,598	(5,664,105)
Books and supplies	5,706,752	6,555,408	6,260,341	295,067
Services and operating expenditures	19,435,714	19,110,760	18,992,859	117,901
Capital outlay	1,829,045	2,070,702	4,268,404	(2,197,702)
Other outgo	4,378,427	5,105,625	3,001,549	2,104,076
Debt service				
Principal	-	-	904,581	(904,581)
Interest	-	-	993,413	(993,413)
Total Expenditures ¹	132,986,818	147,383,130	156,959,497	(9,576,367)
Excess (Deficiency) of Revenues				
Over Expenditures	7,381,183	1,186,200	(2,203,983)	(3,390,183)
Other Financing Uses				
Transfers out	(2,085,965)	(2,330,352)	(112,362)	2,217,990
NET CHANGE IN FUND BALANCES	5,295,218	(1,144,152)	(2,316,345)	(1,172,193)
Fund Balance - Beginning	13,376,608	13,376,608	13,376,608	-
Fund Balance - Ending	\$ 18,671,826	\$ 12,232,456	\$ 11,060,263	\$ (1,172,193)

¹ On behalf payments of \$3,219,306 are included in the actual revenues and expenditures, but have not been included in the budgeted amounts. In addition, due to the consolidation of Fund 11, Adult Education Fund and Fund 14, Deferred Maintenance Fund, for reporting purposes into the General Fund, additional revenues and expenditures pertaining to these other funds are included in the Actual (GAAP Basis) revenues and expenditures; however, are not included in the original and final General Fund budgets.

LYNWOOD UNIFIED SCHOOL DISTRICT

SCHEDULE OF OTHER POSTEMPLOYMENT BENEFITS (OPEB) FUNDING PROGRESS FOR THE YEAR ENDED JUNE 30, 2015

Actuarial Valuation Date	Actuarial Value of Assets (a)	Actuarial Accrued Liability (AAL) - Projected Unit Credit (b)	Unfunded AAL (UAAL) (b - a)	Funded Ratio (a / b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ((b - a) / c)
July 1, 2008	\$ -	\$ 19,809,771	\$ 19,809,771	0%	\$ 103,855,745	19%
July 1, 2010	-	20,701,398	20,701,398	0%	102,631,873	20%
July 1, 2012	-	10,893,076	10,893,076	0%	97,500,280	11%

LYNWOOD UNIFIED SCHOOL DISTRICT

SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY FOR THE YEAR ENDED JUNE 30, 2015

	<u>2015</u>
CalSTRS	
District's proportion of the net pension liability (asset)	<u>0.1255%</u>
District's proportionate share of the net pension liability (asset)	\$ 73,349,471
State's proportionate share of the net pension liability (asset) associated with the District	<u>44,291,578</u>
Total	<u><u>\$ 117,641,049</u></u>
District's covered - employee payroll	<u>\$ 55,906,461</u>
District's proportionate share of the net pension liability (asset) as a percentage of its covered - employee payroll	<u>131.20%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>77%</u>
 CalPERS	
District's proportion of the net pension liability (asset)	<u>0.2084%</u>
District's proportionate share of the net pension liability (asset)	<u>\$ 23,663,277</u>
District's covered - employee payroll	<u>\$ 21,885,070</u>
District's proportionate share of the net pension liability (asset) as a percentage of its covered - employee payroll	<u>108.13%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>83.38%</u>

Note : In the future, as data become available, ten years of information will be presented.

LYNWOOD UNIFIED SCHOOL DISTRICT

SCHEDULE OF DISTRICT CONTRIBUTIONS FOR THE YEAR ENDED JUNE 30, 2015

	<u>2015</u>
CalSTRS	
Contractually required contribution	\$ 5,971,352
Contributions in relation to the contractually required contribution	<u>5,971,352</u>
Contribution deficiency (excess)	<u>\$ -</u>
 District's covered - employee payroll	 <u>\$ 67,244,955</u>
 Contributions as a percentage of covered - employee payroll	 <u>8.88%</u>
 CalPERS	
Contractually required contribution	\$ 2,871,044
Contributions in relation to the contractually required contribution	<u>2,871,044</u>
Contribution deficiency (excess)	<u>\$ -</u>
 District's covered - employee payroll	 <u>\$ 24,392,897</u>
 Contributions as a percentage of covered - employee payroll	 <u>11.77%</u>

Note: In the future, as data become available, ten years of information will be presented.

SUPPLEMENTARY INFORMATION

LYNWOOD UNIFIED SCHOOL DISTRICT

SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS FOR THE YEAR ENDED JUNE 30, 2015

Federal Grantor/Pass-Through Grantor/Program	CFDA Number	Pass-Through Entity Identifying Number	Program Expenditures
U.S. DEPARTMENT OF EDUCATION			
Passed through California Department of Education (CDE):			
Elementary and Secondary Education Act as amended by the No Child Left Behind Act (NCLB)			
Title I, Part A - Basic Grants Low Income and Neglected	84.010	14329	\$ 4,508,618
Title I, School Improvement Grant (SIG) for QEIA Schools	84.377	14971	2,800,125
NCLB - Title I, Part C, Migrant Education - Regular	84.011	14326	47,572
NCLB - Title I, Migrant Education Summer Program	84.011	10005	96,954
Title II, Part A - Improving Teacher Quality Local Grants	84.367	14341	912,283
Title III - Limited English Proficient (LEP) Student Program	84.365	14346	757,037
Adult Education - Basic Grants to States Cluster:			
Adult Basic Education - Adult Basic Education and ESL	84.002A	14508	141,289
Adult Basic Education - Adult Secondary	84.002	13978	110,626
Adult Basic Education - English Literacy and Civics Education	84.002A	14109	83,254
Total Adult Education - Basic Grants to States Cluster			<u>335,169</u>
Carl D. Perkins- Vocational Ed Formula Grants Cluster:			
Carl D. Perkins Vocational and Technical Education Act of 1998Technology Secondary II C, Section 131	84.048	14894	106,465
Carl D. Perkins Career and Technical Education: Adult, Section 132	84.048	14893	7,727
Total Carl D. Perkins- Vocational Ed Formula Grants Cluster			<u>114,192</u>
Safe and Supportive Schools Programmatic Intervention (S3)	84.184	15164	99,393
Advanced Placement Program	84.330C	[1]	58,782
Workability II, Transitions Partnership	84.126	10006	99,831
U.S. DEPARTMENT OF EDUCATION			
Passed through Los Angeles County Special Education Local Plan Area:			
Individuals with Disabilities Act (IDEA)			
Special Education (IDEA) Cluster:			
Basic Local Assistance Entitlement, Part B, Section 611	84.027	13379	1,770,314
Preschool Grants, Part B, Section 619 (Age 3-4-5)	84.173	13430	50,264
Preschool Local Entitlement, Part B, Section 611 (Age 3-4-5)	84.027A	13682	192,541
Preschool Staff Development, Part B, Section 619	84.173A	13431	482
Mental Health Allocation Plan, Part B, Section 611	84.027A	14468	178,285
Total Special Education (IDEA) Cluster			<u>2,191,886</u>
Total U.S. Department of Education			<u>12,021,842</u>

[1] Pass-Through Entity Identifying Number not available.

See accompanying note to supplementary information.

LYNWOOD UNIFIED SCHOOL DISTRICT

SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS (Continued) FOR THE YEAR ENDED JUNE 30, 2015

Federal Grantor/Pass-Through Grantor/Program	CFDA Number	Pass-Through Entity Identifying Number	Program Expenditures
U.S. DEPARTMENT OF AGRICULTURE			
Passed through CDE:			
Child Nutrition Cluster:			
Especially Needy Breakfast	10.553	13526	\$ 770,011
National School Lunch Program	10.555	13524	5,515,340
Meal Supplement	10.555	13396	184,385
Food Distribution	10.555	13524	549,784
Total Child Nutrition Cluster			<u>7,019,520</u>
CCFP Claims - Centers and Family Day Care	10.558	13393	<u>109,743</u>
Total U.S. Department of Agriculture			<u>7,129,263</u>
U.S. DEPARTMENT OF HEALTH AND HUMAN SERVICES			
Passed through California Department of Health Services:			
Medi-Cal Billing Option	93.778	10013	144,149
Passed through Los Angeles County Office of Education (LACOE):			
Child Development: Federal Child Care, Center-based	93.596	13609	<u>226,854</u>
Total U.S. Department of Health and Human Services			<u>371,003</u>
Total Federal Programs			<u>\$ 19,522,108</u>

See accompanying note to supplementary information.

LYNWOOD UNIFIED SCHOOL DISTRICT

LOCAL EDUCATION AGENCY ORGANIZATION STRUCTURE JUNE 30, 2015

ORGANIZATION

The Lynwood Unified School District was established on July 1, 1950, and consists of an area comprising approximately 6.5 square miles. The District operates twelve elementary, three middle, two high schools, a continuation high school, an adult regional occupational program, and two child care centers. There were no boundary changes during the year.

GOVERNING BOARD

<u>MEMBER</u>	<u>OFFICE</u>	<u>TERM EXPIRES</u>
Alma Delia Renteria	President	November 2017
Alfonso Morales, Esq.	Vice President	November 2017
Gary Hardie Jr.	Clerk	November 2019
Maria G. Lopez	Member	November 2019
Briseida Gonzalez, MSW	Member	November 2019

ADMINISTRATION

Paul Gothold	Superintendent
Marlene Dunn	Chief Business Official

See accompanying note to supplementary information.

LYNWOOD UNIFIED SCHOOL DISTRICT

SCHEDULE OF AVERAGE DAILY ATTENDANCE FOR THE YEAR ENDED JUNE 30, 2015

	Final Report	
	Revised Second Period Report	Annual Report
Regular ADA		
Transitional kindergarten through third	4,520.79	4,510.93
Fourth through sixth	3,285.25	3,275.38
Seventh and eighth	2,030.17	2,031.61
Ninth through twelfth	4,318.42	4,304.39
Total Regular ADA	14,154.63	14,122.31
Extended Year Special Education		
Transitional kindergarten through third	0.77	0.77
Fourth through sixth	0.45	0.45
Seventh and eighth	0.36	0.36
Ninth through twelfth	0.32	0.32
Total Extended Year Special Education	1.90	1.90
Special Education, Nonpublic, Nonsectarian Schools		
Transitional kindergarten through third	1.05	0.99
Fourth through sixth	3.51	3.48
Seventh and eighth	0.11	0.09
Ninth through twelfth	3.10	2.68
Total Special Education, Nonpublic, Nonsectarian Schools	7.77	7.24
Extended Year Special Education, Nonpublic, Nonsectarian Schools		
Transitional kindergarten through third	0.18	0.18
Fourth through sixth	0.74	0.74
Seventh and eighth	-	-
Ninth through twelfth	1.09	1.09
Total Extended Year Special Education, Nonpublic, Nonsectarian Schools	2.01	2.01
Total ADA	14,166.31	14,133.46

See accompanying note to supplementary information.

LYNWOOD UNIFIED SCHOOL DISTRICT

SCHEDULE OF INSTRUCTIONAL TIME FOR THE YEAR ENDED JUNE 30, 2015

Grade Level	1986-87	Reduced	2014-15	Number of Days		Status
	Minutes	1986-87		Traditional	Multitrack	
	Requirement	Minutes	Actual	Calendar	Calendar	
		Requirement	Minutes			
Kindergarten	36,000	35,000	55,460	180	N/A	Complied
Grades 1 - 3	50,400	49,000				
Grade 1			54,785	180	N/A	Complied
Grade 2			54,785	180	N/A	Complied
Grade 3			54,785	180	N/A	Complied
Grades 4 - 6	54,000	52,500				
Grade 4			54,785	180	N/A	Complied
Grade 5			54,785	180	N/A	Complied
Grade 6			54,785	180	N/A	Complied
Grades 7 - 8	54,000	52,500				
Grade 7			58,551	180	N/A	Complied
Grade 8			58,551	180	N/A	Complied
Grades 9 - 12	64,800	63,000				
Grade 9			64,592	180	N/A	Complied
Grade 10			64,592	180	N/A	Complied
Grade 11			64,592	180	N/A	Complied
Grade 12			64,592	180	N/A	Complied

See accompanying note to supplementary information.

LYNWOOD UNIFIED SCHOOL DISTRICT

RECONCILIATION OF ANNUAL FINANCIAL AND BUDGET REPORT WITH AUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED JUNE 30, 2015

Summarized below are the fund balance reconciliations between the Unaudited Actual Financial Report and the audited financial statements.

	General Fund	Cafeteria Fund	Capital Facilities Fund
FUND BALANCE			
Balance, June 30, 2015, Unaudited Actuals	\$ 9,845,790	\$ 3,150,288	\$ 945,352
Decrease in:			
Cash with fiscal agent	-	-	(107,516)
Current loan	1,600,000	-	-
Increase in:			
Cash with fiscal agent	12,795	-	-
Accounts receivable	1,851,447	-	-
Due from other fund	519,239	-	-
Accounts payable	(2,769,008)	(87,413)	-
Balance, June 30, 2015, Audited Financial Statements	<u>\$ 11,060,263</u>	<u>\$ 3,062,875</u>	<u>\$ 837,836</u>

See accompanying note to supplementary information.

LYNWOOD UNIFIED SCHOOL DISTRICT

SCHEDULE OF FINANCIAL TRENDS AND ANALYSIS FOR THE YEAR ENDED JUNE 30, 2015

	(Budget) 2015 ¹	2015	2014	2013
GENERAL FUND ⁴				
Revenues	\$ 171,049,013	\$ 154,329,629	\$ 133,172,848	\$ 124,717,495
Other sources and transfers in	-	-	262	-
Total Revenues and Other Sources	171,049,013	154,329,629	133,173,110	124,717,495
Expenditures	156,546,571	154,267,470	130,080,763	126,470,622
Other uses and transfers out	2,559,517	2,377,986	1,629,101	1,711,944
Total Expenditures and Other Uses	159,106,088	156,645,456	131,709,864	128,182,566
INCREASE (DECREASE) IN FUND BALANCE	\$ 11,942,925	\$ (2,315,827)	\$ 1,463,246	\$ (3,465,071)
ENDING FUND BALANCE	\$ 23,003,184	\$ 11,060,259	\$ 13,376,086	\$ 11,912,840
AVAILABLE RESERVES ²	\$ 16,166,630	\$ 6,308,842	\$ 8,982,893	\$ 9,006,777
AVAILABLE RESERVES AS A PERCENTAGE OF TOTAL OUTGO ³	10.16%	4.11%	7.00%	7.21%
LONG-TERM OBLIGATIONS	N/A	\$ 95,435,709	\$ 90,179,605	\$ 88,564,336
K-12 AVERAGE DAILY ATTENDANCE AT P-2	14,330	14,166	14,200	14,290

The General Fund balance has decreased by \$852,581 over the past two years. The fiscal year 2015-2016 budget projects an increase of \$11,942,925 (108 percent). For a district this size, the State recommends available reserves of at least three percent of total General Fund expenditures, transfers out, and other uses (total outgo).

The District has incurred operating deficits in two of the past three years, but anticipates incurring an operating surplus during the 2015-2016 fiscal year. Total long-term obligations have increased by \$6,871,373 over the past two years.

Average daily attendance has decreased by 124 over the past two years. Growth of 164 ADA is anticipated during fiscal year 2015-2016.

¹ Budget 2016 is included for analytical purposes only and has not been subjected to audit.

² Available reserves consist of all unassigned fund balances including all amounts reserved for economic uncertainties contained with the General Fund.

³ On behalf payments of \$3,219,306, \$3,381,147, and \$3,178,492, have been excluded from the calculation of available reserves the fiscal year ending June 30, 2015, 2014, and 2013, respectively.

⁴ General Fund amounts do not include activity related to the consolidation of the Adult Fund and Deferred Maintenance Fund as required by GASB Statement No. 54.

See accompanying note to supplementary information.

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LYNWOOD UNIFIED SCHOOL DISTRICT

NON-MAJOR GOVERNMENTAL FUNDS COMBINING BALANCE SHEET JUNE 30, 2015

	Child Development Fund	Cafeteria Fund	Capital Facilities Fund
ASSETS			
Deposits and investments	\$ 737,818	\$ 2,125,457	\$ 833,395
Receivables	78,045	1,748,735	2,680
Stores inventories	-	64,564	-
Total Assets	\$ 815,863	\$ 3,938,756	\$ 836,075
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 289,646	\$ 642,805	\$ 4,241
Due to other funds	317,973	20,410	-
Due to other governments	232	-	-
Unearned revenue	-	212,666	-
Total Liabilities	607,851	875,881	4,241
Fund Balances:			
Nonspendable	-	65,314	-
Restricted	208,012	2,714,091	831,834
Assigned	-	283,470	-
Total Fund Balances	208,012	3,062,875	831,834
Total Liabilities and Fund Balances	\$ 815,863	\$ 3,938,756	\$ 836,075

See accompanying note to supplementary information.

County School Facilities Fund	Bond Interest and Redemption Fund	Tax Override Fund	Total Non-Major Governmental Funds
\$ 2,255,589	\$ 2,365,499	\$ 5,712	\$ 8,323,470
11,145	-	18	1,840,623
-	-	-	64,564
<u>\$ 2,266,734</u>	<u>\$ 2,365,499</u>	<u>\$ 5,730</u>	<u>\$ 10,228,657</u>

\$ 91,051	\$ -	\$ -	\$ 1,027,743
-	-	-	338,383
-	-	-	232
-	-	-	212,666
<u>91,051</u>	<u>-</u>	<u>-</u>	<u>1,579,024</u>

-	-	-	65,314
1,818,549	2,365,499	5,730	7,943,715
357,134	-	-	640,604
<u>2,175,683</u>	<u>2,365,499</u>	<u>5,730</u>	<u>8,649,633</u>
<u>\$ 2,266,734</u>	<u>\$ 2,365,499</u>	<u>\$ 5,730</u>	<u>\$ 10,228,657</u>

LYNWOOD UNIFIED SCHOOL DISTRICT

NON-MAJOR GOVERNMENTAL FUNDS COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES FOR THE YEAR ENDED JUNE 30, 2015

	Child Development Fund	Cafeteria Fund	Capital Facilities Fund
REVENUES			
Federal sources	\$ 226,854	\$ 7,129,263	\$ -
Other State sources	744,460	520,066	-
Other local sources	2,292,654	296,707	45,747
Total Revenues	3,263,968	7,946,036	45,747
EXPENDITURES			
Current			
Instruction	2,932,407	-	-
Instruction-related activities:			
Supervision of instruction	5,892	-	-
School site administration	342,446	-	-
Pupil services:			
Food services	-	7,901,271	-
All other pupil services	3,330	-	-
Administration:			
All other administration	177,507	398,362	-
Plant services	76,949	-	51,749
Facility acquisition and construction	-	-	-
Debt service			
Principal	-	-	-
Interest and other	-	-	-
Total Expenditures	3,538,531	8,299,633	51,749
Excess (Deficiency) of Revenues Over Expenditures	(274,563)	(353,597)	(6,002)
Other Financing Uses			
Transfers in	112,362	-	-
NET CHANGE IN FUND BALANCES	(162,201)	(353,597)	(6,002)
Fund Balances - Beginning	370,213	3,416,472	837,836
Fund Balances - Ending	\$ 208,012	\$ 3,062,875	\$ 831,834

See accompanying note to supplementary information.

County School Facilities Fund	Bond Interest and Redemption Fund	Tax Override Fund	Total Non-Major Governmental Funds
\$ -	\$ -	\$ -	\$ 7,356,117
-	-	-	1,264,526
25,035	2,703,220	38	5,363,401
25,035	2,703,220	38	13,984,044
-	-	-	2,932,407
-	-	-	5,892
-	-	-	342,446
-	-	-	7,901,271
-	-	-	3,330
-	-	-	575,869
-	-	-	128,698
1,856,569	-	-	1,856,569
-	1,856,333	-	1,856,333
-	1,868,245	-	1,868,245
1,856,569	3,724,578	-	17,471,060
(1,831,534)	(1,021,358)	38	(3,487,016)
-	-	-	112,362
(1,831,534)	(1,021,358)	38	(3,374,654)
4,007,217	3,386,857	5,692	12,024,287
\$ 2,175,683	\$ 2,365,499	\$ 5,730	\$ 8,649,633

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTE TO SUPPLEMENTARY INFORMATION JUNE 30, 2015

NOTE 1 - PURPOSE OF SCHEDULES

Schedule of Expenditures of Federal Awards

The accompanying Schedule of Expenditures of Federal Awards includes the Federal grant activity of the District and is presented on the modified accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of the United States Office of Management and Budget Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*. Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the financial statements.

Local Education Agency Organization Structure

This schedule provides information about the District's boundaries and schools operated, members of the governing board, and members of the administration.

Schedule of Average Daily Attendance (ADA)

Average daily attendance (ADA) is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of State funds are made to school districts. This schedule provides information regarding the attendance of students at various grade levels and in different programs.

Schedule of Instructional Time

The District has received incentive funding for increasing instructional time as provided by the Incentives for Longer Instructional Day. The District neither met nor exceeded its target funding. This schedule presents information on the amount of instructional time offered by the District and whether the District complied with the provisions of *Education Code* Sections 46200 through 46206.

Districts must maintain their instructional minutes at the 1986-87 requirements, as required by *Education Code* Section 46201.

Reconciliation of Annual Financial and Budget Report With Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Unaudited Actual Financial Report to the audited financial statements.

Schedule of Financial Trends and Analysis

This schedule discloses the District's financial trends by displaying past years' data along with current year budget information. These financial trend disclosures are used to evaluate the District's ability to continue as a going concern for a reasonable period of time.

LYNWOOD UNIFIED SCHOOL DISTRICT

NOTE TO SUPPLEMENTARY INFORMATION JUNE 30, 2015

Non-Major Governmental Funds - Balance Sheet and Statement of Revenues, Expenditures, and Changes in Fund Balances

The Non-Major Governmental Funds Combining Balance Sheet and Combining Statement of Revenues, Expenditures and Changes in Fund Balances is included to provide information regarding the individual funds that have been included in the Non-Major Governmental Funds column on the Governmental Funds Balance Sheet and Statement of Revenues, Expenditures, and Changes in Fund Balances.

INDEPENDENT AUDITOR'S REPORTS



**INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER
FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS
BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN
ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS**

Governing Board
Lynwood Unified School District
Lynwood, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Lynwood Unified School District (the District) as of and for the year ended June 30, 2015, and the related notes to the financial statements, which collectively comprise Lynwood Unified School District's basic financial statements, and have issued our report thereon dated December 15, 2015.

Emphasis of Matter - Change in Accounting Principles

As discussed in Notes 1 and 16 to the financial statements, in 2015, the District adopted new accounting guidance, GASB Statement No. 68, *Accounting and Financial Reporting for Pensions* and GASB Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date*. Our opinion is not modified with respect to this matter.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Lynwood Unified School District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Lynwood Unified School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Lynwood Unified School District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified. We did identify certain deficiencies in internal control, described in the accompanying schedule of findings and questioned costs that we consider to be significant deficiencies; item 2015-001.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Lynwood Unified School District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

We noted certain matters that we reported to management of Lynwood Unified School District in a separate letter dated December 15, 2015.

Lynwood Unified School District's Response to Findings

Lynwood Unified School District's response to the findings identified in our audit are described in the accompanying schedule of findings and questioned costs. Lynwood Unified School District's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on it.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Vannink, Tim, Day & Co., LLP

Rancho Cucamonga, California
December 15, 2015



**INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE FOR
EACH MAJOR PROGRAM AND REPORT ON INTERNAL CONTROL
OVER COMPLIANCE REQUIRED BY OMB CIRCULAR A-133**

Governing Board
Lynwood Unified School District
Lynwood, California

Report on Compliance for Each Major Federal Program

We have audited Lynwood Unified School District's compliance with the types of compliance requirements described in the *OMB Circular A-133 Compliance Supplement* that could have a direct and material effect on each of Lynwood Unified School District's (the District) major Federal programs for the year ended June 30, 2015. Lynwood Unified School District's major Federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with the requirements of laws, regulations, contracts, and grants applicable to its Federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Lynwood Unified School District's major Federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and OMB Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*. Those standards and OMB Circular A-133 require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major Federal program occurred. An audit includes examining, on a test basis, evidence about Lynwood Unified School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major Federal program. However, our audit does not provide a legal determination of Lynwood Unified School District's compliance.

Opinion on Each Major Federal Program

In our opinion, Lynwood Unified School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major Federal programs for the year ended June 30, 2015.

Report on Internal Control Over Compliance

Management of Lynwood Unified School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Lynwood Unified School District's internal control over compliance with the types of requirements that could have a direct and material effect on each major Federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major Federal program and to test and report on internal control over compliance in accordance with OMB Circular A-133, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Lynwood Unified School District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a Federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a Federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a Federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of OMB Circular A-133. Accordingly, this report is not suitable for any other purpose.

Vannink, Tim, Day & Co., LLP

Rancho Cucamonga, California
December 15, 2015



INDEPENDENT AUDITOR'S REPORT ON STATE COMPLIANCE

Governing Board
Lynwood Unified School District
Lynwood, California

Report on State Compliance

We have audited Lynwood Unified School District's compliance with the types of compliance requirements as identified in the *2014-2015 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, that could have a direct and material effect on each of the Lynwood Unified School District's State government programs as noted below for the year ended June 30, 2015.

Management's Responsibility

Management is responsible for compliance with the requirements of laws, regulations, contracts, and grants applicable to its State's programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance of each of the Lynwood Unified School District's State programs based on our audit of the types of compliance requirements referred to above. We conducted our audit in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the *2014-2015 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. These standards require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the compliance requirements referred to above that could have a material effect on the applicable government programs noted below. An audit includes examining, on a test basis, evidence about Lynwood Unified School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinions. Our audit does not provide a legal determination of Lynwood Unified School District's compliance with those requirements.

Unmodified Opinion

In our opinion, Lynwood Unified School District complied, in all material respects, with the compliance requirements referred to above that are applicable to the government programs noted below that were audited for the year ended June 30, 2015.

In connection with the audit referred to above, we selected and tested transactions and records to determine the Lynwood Unified School District's compliance with the State laws and regulations applicable to the following items:

	<u>Procedures Performed</u>
Attendance Accounting:	
Attendance Reporting	Yes
Teacher Certification and Misassignments	Yes
Kindergarten Continuance	Yes
Independent Study	No, see below
Continuation Education	Yes, see below
Instructional Time	Yes
Instructional Materials	Yes
Ratios of Administrative Employees to Teachers	Yes
Classroom Teacher Salaries	Yes
Early Retirement Incentive	No, see below
Gann Limit Calculation	Yes
School Accountability Report Card	Yes
Juvenile Court Schools	No, see below
Middle or Early College High Schools	No, see below
K-3 Grade Span Adjustment	Yes
Transportation Maintenance of Effort	Yes
Regional Occupational Centers or Programs Maintenance of Effort	No, see below
Adult Education Maintenance of Effort	Yes
California Clean Energy Jobs Act	Yes
After School Education and Safety Program:	
General Requirements	Yes
After School	Yes
Before School	No, see below
Proper Expenditure of Education Protection Account Funds	Yes
Common Core Implementation Funds	Yes
Unduplicated Local Control Funding Formula Pupil Counts	Yes
Local Control Accountability Plan	Yes
Charter Schools:	
Contemporaneous Records of Attendance	No, see below
Mode of Instruction	No, see below
Non Classroom-Based Instruction/Independent Study	No, see below
Determination of Funding for Non Classroom-Based Instruction	No, see below
Annual Instruction Minutes Classroom-Based	No, see below
Charter School Facility Grant Program	No, see below

The District's Independent Study Program is below the level required for testing; therefore, we did not perform procedures related to the Independent Study Program.

The District does not offer a Work Experience Program; therefore, we did not perform procedures related to the Work Experience Program within the Continuation Education Attendance Program.

The District does not offer an Early Retirement Incentive Program; therefore, we did not perform procedures related to the Early Retirement Incentive Program.

The District does not have any Juvenile Court Schools; therefore, we did not perform any procedures related to Juvenile Court Schools.

The District does not have any Middle or Early College High Schools; therefore, we did not perform any procedures related to Middle or Early College High Schools

The District does not have any Regional Occupational Centers or Programs; therefore, we did not perform any procedures related to Regional Occupational Centers or Programs Maintenance of Effort.

The District does not offer a Before School Education and Safety Program; therefore, we did not perform any procedures related to the Before School Education and Safety Program.

The District does not have a Charter School program; therefore, we did not perform any procedures related to Charter School.

Vannink, Tim, Day & Co., LLP

Rancho Cucamonga, California

December 15, 2015

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

LYNWOOD UNIFIED SCHOOL DISTRICT

SUMMARY OF AUDITOR'S RESULTS FOR THE YEAR ENDED JUNE 30, 2015

FINANCIAL STATEMENTS

Type of auditor's report issued:	<u>Unmodified</u>
Internal control over financial reporting:	
Material weakness identified?	<u>No</u>
Significant deficiency identified?	<u>Yes</u>
Noncompliance material to financial statements noted?	<u>No</u>

FEDERAL AWARDS

Internal control over major Federal programs:	
Material weakness identified?	<u>No</u>
Significant deficiency identified?	<u>None Reported</u>
Type of auditor's report issued on compliance for major Federal programs:	<u>Unmodified</u>
Any audit findings disclosed that are required to be reported in accordance with Section 510(a) of OMB Circular A-133?	
Identification of major Federal programs:	<u>No</u>

<u>CFDA Numbers</u>	<u>Name of Federal Program or Cluster</u>
<u>84.365</u>	<u>Title III, Limited English Proficient (LEP) Student Program</u>
<u>10.553, 10.555</u>	<u>Child Nutrition Cluster</u>
<u>84.377</u>	<u>NCLB - Title I, School Improvement Grant</u>

Dollar threshold used to distinguish between Type A and Type B programs:	<u>\$ 585,663</u>
Auditee qualified as low-risk auditee?	<u>Yes</u>

STATE AWARDS

Type of auditor's report issued on compliance for programs:	<u>Unmodified</u>
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LYNWOOD UNIFIED SCHOOL DISTRICT

FINANCIAL STATEMENT FINDINGS FOR THE YEAR ENDED JUNE 30, 2015

The following findings represent significant deficiencies and/or instances of noncompliance related to the financial statements that are required to be reported in accordance with *Government Auditing Standards*. The findings have been coded as follows:

<u>Five Digit Code</u>	<u>AB 3627 Finding Type</u>
30000	Internal Control

2015-001 30000

Criteria or Specific Requirements

Payroll and Personnel

Condition

1. During our review of the payroll and personnel process the following items were noted: It was noted that there are various procedures that are not uniform from certificated and classified departments that have results in several conditions. Various conditions include a) an employee was not terminated from the systems four months after termination date, b) personnel assignment order forms are not used for classified employees but are used for certificated employees, c) various employees were noted as working prior to getting board approval, and d) mismatches occurring in the position control and classification process.
2. The notes within the "Soft Time" system can be modified at any given time by anyone who is assigned access to the "Soft Time" system.
3. It was noted that the summary of time generated from the "Soft Time" system does not include a signature from the preparer.
4. It was noted that Non-exempt monthly (hourly) employees have a default profile within the "Soft Time" system. It was determined that if the employee is not working the hours the "Soft Time" system is not adjusted for the correct amount.
5. The "Soft Time" system can be modified after the payroll cycle. There is no lockout method to stop changes to the system for prior periods.
6. Time sheets utilized by various departments are not signed by employee or supervisor.
7. During our review of the time sheets it was determined that there have been instances that COMP time has not be properly approved or traced accurately within the "Soft Time system".
8. It was determined that an employee that have access to the "Soft Time" system also have access to their own profile within the "Soft Time" system and can make changes to the system after the period is passed.

Questioned Costs

None

LYNWOOD UNIFIED SCHOOL DISTRICT

FINANCIAL STATEMENT FINDINGS FOR THE YEAR ENDED JUNE 30, 2015

Context

The condition identified was determined based on the testing of payroll and personnel process as well as an inquiry made with several personnel in both payroll and personnel departments.

Effect

Time delay of correction to personnel information and employee payroll updates.

Cause

The District is aware of the situation and has been active in developing ways to correct all conditions identified during the audit.

Recommendation

It is recommended that the District review all conditions and design proper controls and procedures to ensure that all updated information as well as proper reporting of employee time are designed properly.

Corrective Action Plan

The District is still in the process of implementation a new time payroll time keeping system and replacing the current "Soft Time" payroll time keeping system. With the new system, employees' work hours are reported electronically through a scanner, which will eliminate the payroll issues related to the inconsistency in the "Soft Time" system.

The Classified and Certificated Human Resources Departments will develop and standardize the personnel forms and procedures to streamline the communication with Payroll, which allows Payroll to process employee paycheck in a more timely and accurate manner.

LYNWOOD UNIFIED SCHOOL DISTRICT

**FEDERAL AWARDS FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2015**

None reported.

LYNWOOD UNIFIED SCHOOL DISTRICT

**STATE AWARDS FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2015**

None reported.

LYNWOOD UNIFIED SCHOOL DISTRICT

SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS FOR THE YEAR ENDED JUNE 30, 2015

Except as specified in previous sections of this report, summarized below is the current status of all audit findings reported in the prior year's schedule of financial statement findings.

Financial Statement Findings

2014-001 30000

Criteria or Specific Requirements

Purchase Order Approval

Condition

During our review of the purchasing process, auditor noted 4 instances out of 40 disbursements tested where purchase orders were approved after the invoice date.

Questioned Costs

None

Context

The condition identified was determined based on the testing of a sample of disbursement transactions obtained as part of our review of the District's cash disbursement process.

Effect

Discrepancy with District's purchasing process.

Cause

The District has been aware of the situation and has been active in communicating with the various departments to ensure that the condition does not continue.

Recommendation

It is recommended that the various departments communicate the policies of the District as well as document the communication with the various departments that do not follow the purchasing cycle.

Current Status

Implemented.

LYNWOOD UNIFIED SCHOOL DISTRICT

SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS FOR THE YEAR ENDED JUNE 30, 2015

2014-002 30000

Criteria or Specific Requirements

Payroll and Personnel

Condition

1. During our review of the payroll and personnel process the following items were noted:
It was noted that there are various procedures that are not uniform from certificated and classified departments that have results in several conditions. Various conditions include
a) an employee was not terminated from the systems four months after termination date,
b) personnel assignment order forms are not used for classified employees but are used for certificated employees, c) various employees were noted as working prior to getting board approval, and d) mismatches occurring in the position control and classification process.
2. The notes within the "Soft Time" system can be modified at any given time by anyone who is assigned access to the "Soft Time" system.
3. It was noted that the summary of time generated from the "Soft Time" system does not include a signature from the preparer.
4. It was noted that Non-exempt monthly (hourly) employees have a default profile within the "Soft Time" system. It was determined that if the employee is not working the hours the "Soft Time" system is not adjusted for the correct amount.
5. The "Soft Time" system can be modified after the payroll cycle. There is no lockout method to stop changes to the system for prior periods.
6. Time sheets utilized by various departments are not signed by employee or supervisor.
7. During our review of the time sheets it was determined that there have been instances that COMP time has not be properly approved or traced accurately within the "Soft Time system".
8. It was determined that an employee that have access to the "Soft Time" system also have access to their own profile within the "Soft Time" system and can make changes to the system after the period is passed.

Questioned Costs

None

Context

The condition identified was determined based on the testing of payroll and personnel process as well an inquiry made with several personnel in both payroll and personnel departments.

Effect

Time delay of correction to personnel information and employee payroll updates.

LYNWOOD UNIFIED SCHOOL DISTRICT

SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS FOR THE YEAR ENDED JUNE 30, 2015

Cause

The District is aware of the situation and has been active in developing ways to correct all conditions identified during the audit.

Recommendation

It is recommended that the District review all conditions and design proper controls and procedures to ensure that all updated information as well as proper reporting of employee time are designed properly.

Current Status

Not implemented; see current year finding 2015-001.

Federal Awards Findings

None reported.

State Awards Findings

None reported.



Governing Board
Lynwood Unified School District
Lynwood, California

In planning and performing our audit of the basic financial statements of Lynwood Unified School District (the District) for the year ending June 30, 2015, we considered its internal control structure in order to determine our auditing procedures for the purpose of expressing our opinion on the basic financial statements and not to provide assurance on the internal control structure.

However, during our audit we noted matters that are an opportunity for strengthening internal controls and operating efficiency. The following items represent conditions noted by our audit that we consider important enough to bring to your attention. This letter does not affect our report dated December 15, 2015, on the financial statements of Lynwood Unified School District.

2014-2015 Observations and Recommendations

Chavez Middle School

Associated Student Body – Revenue Potentials

Observation

Revenue potential forms utilized at the school site do not contain the four major elements. Auditor noted that potential income is the only element within the revenue potentials. These forms supply an element of internal controls without which it is difficult to determine the success of a fundraiser and to track money as it is spent and received.

Recommendation

As the revenue potential form is a vital internal control tool, it should be used to document revenues, expenditures, potential revenue and actual revenue. This allows an analysis of the fundraiser to be conducted, indicating to the staff the success or failure of the completed project. The revenue potential also indicates weak control areas in the fund-raising procedures at the site, including lost or stolen merchandise, problems with collecting all moneys due and so forth. The revenue potential form used at the site should contain four major elements. These are:

1. Potential Income-This lists the selling price of the item multiplied by the number of items purchased to compute the total income that should be deposited from this fundraiser if all the items were sold and all the money was turned in. This element should also be utilized to track the cost of the items, check numbers used to purchase the items, and the purchase dates. This purchasing information is a good reference source for future sales and also tracks to cost so that profits can be determined.

2. Receipts/Fundraiser Deposits-This records all deposits turned in which are from funds generated from the sale. The receipt number issued to the advisor, date, and deposit amount should be logged. This is necessary to be able to recap the deposits of the sale and to trace these deposits to the appropriate accounts at the end of the sale to the appropriate accounts to ensure that all postings were correct.
3. Analysis-This section is used to compare the potential income as calculated in the Potential Income section to the actual funds raised as calculated in the Receipts/Fundraiser Deposits section. The difference between these two amounts should be documented and explained. The explanation can consist of merchandise not sold, merchandise lost or destroyed, or funds lost or stolen.

Recap-This section figures the net profit of the sale. Further fundraisers of this type can be planned or canceled depending on the information calculated in this section.

Associated Student Body – Student Council Minutes

Observation

The minutes of the Student Council meetings being performed but missing elements as suggested in the "Accounting Procedures for Student Organizations" manual.

Recommendation

The Department Accounting Procedures for Student Organizations' manual suggests that minutes be taken and filed which includes details of the meeting including budgeting procedures, fund raising discussions, and approval of expenditures. In addition, any motion which is presented and voted on must include the individual's name who presented the motion, the person who seconded it and the final vote on the motion among other elements indicated on the manual provides to the ASB Bookkeeper.

Associated Student Body – Inventory

Observation

The controls and procedures in place for the P.E. clothes physical inventory count are not sufficient to safeguard merchandise. Auditor noted that only one individual is performing the physical inventory count and review of the inventory count is not performed by another individual independent to the sales of the P.E. clothes.

Recommendation

At least semi-annually, students should take a physical inventory of all items in the student store and compare the physical number remaining to the calculated number remaining. Two students should count the inventory and record their counts on separate inventory forms. The students should then compare the two counts and recount any that do not agree.

Lynwood High School

Site Cash Collections – Library

Observation

The school site is not depositing funds to the District in a timely matter.

Recommendation

Site cash collections should be transmitted to the District Office on a regular basis. The frequency would depend on the amount on hand, but at least monthly.

Associated Student Body – Prohibited Expenditures

Observation

During disbursement testing auditor noted expenditures, which may not generally be considered as an allowable expenditure by the Associated Student Body.

Recommendation

The associated student body should be aware of expenditures which may be considered gifts of public funds, responsibility of the district, or not directly promoting the general welfare, morale or educational experience of students.

Associated Student Body – Ticket Safeguards

Observation

During the audit, auditor noted inadequate safeguards of ticket rolls. Auditor observed ticket rolls not secured and locked appropriately due to a broken lock.

Recommendation

The ticket rolls should remain locked and secured at all times when not in use. Tickets represent potential cash equivalents and the theft of them can result in revenue losses to the site.

Associated Student Body – Previously Graduated Class

Observation

The student body accounts include numerous accounts for previously graduated classes.

Recommendation

Educational Code Section 48930 refers to monies benefiting students of the site as Student Body funds. Since the graduated classes are no longer students of the District, any monies remaining in these accounts after graduation should be disbursed within the Associated Student Body accounts. The School Board should adopt a policy on how to disburse these funds.

Associated Student Body – Inventory Controls

Observation

The controls and procedures in place for the student store physical inventory count are no sufficient to safeguard merchandise. Auditor noted that the Student Store Clerk is the only individual performing the physical inventory count and review of the inventory count is not performed by an individual independent to the operation of the student store.

Recommendation

At least semi-annually, students should take a physical inventory of all items in the student store and compare the physical number remaining to the calculated number remaining. Two students should count the inventory and record their counts on separate inventory forms. The students should then compare the two counts and recount any that do not agree.

Associated Student Body – Inventory Count

Observation

The Associated Student Body does not maintain an inventory for spirit wear purchased or sold, therefore no accountability exists for the inventory. In addition, auditor noted that the student store and P.E. clothes inventory were not performed at least semi-annually.

Recommendation

According to the policies and procedures outlined in the "Accounting Procedures for Student Body Organizations", prepared by the California Department of Education, a physical inventory should be taken semi-annually under supervision of the student store advisor. The inventory listing should contain a description, unit cost, quantity, and extended value. This information is necessary in order to analyze sales activity, profits, and to determine if merchandise has been lost or stolen. The June 30 inventory report would also be used in the preparation of the financial statements prepared for the Associated Student Body of the site. Inventory balance should also be included as part of the associated student body financial statements.

Associated Student Body – Scholarships

Observation

In reviewing disbursements, Auditor noted several instances where scholarship checks were written out directly to the students.

Recommendation

The District should be aware of expenditures which may be considered gifts of public funds, responsibility of the District, or not directly promoting the general welfare, morale or educational experience of students. Auditor provided ASB Bookkeeper and site Principal FCMAT pages 163 and 164 with guidance on handling scholarship. Auditor recommended that funds be kept separate from the general ASB in a trust account (Scholarships) and to pay the funds directly to the institution of higher learning and not the student.

Associated Student Body – Disbursements

Observation

In reviewing the cash disbursement procedures at the site, we noted that one of the forty disbursements tested were missing pre-approval. Expenditures are being performed before the Student Council approves them.

Recommendation

Education code 48933 requires that ASB funds be spent with preapproval of three people: an employee or official of the school district designated by the governing board, the ASB advisor (must be a certificated employee), and a student representative of the ASB organization.

Associated Student Body – Revenue Potentials

Observation

In reviewing fundraising activities, auditor noted that one of 7 fundraising activities tested was missing a revenue potential form.

Recommendation

A revenue potential form is a mechanism that can help with this task and account for a fund raiser's financial activity. This form serves as a sales plan that includes expected sales levels, sale prices per unit, expected cost, and net income; thus it assists with planning and budgeting. Because Education Code sections 48932 and 7062 require that the governing board approve fund-raising events, a revenue potential form can also be the document that is compiled and submitted to the board or board designee for approval. It can also serve as an internal control because most external auditing firms will indicate audit findings if some form of revenue reconciliation is not done for each fund-raiser. The form can also serve as the document to ensure that the site administrator is informed and approves of all fund-raising activity at the site. ASB Clerk was provided with FCMAT manual and given information at the time of the audit.

We will review the status of the current year comments during our next audit engagement.

Vannink, Tim, Day & Co., LLP

Rancho Cucamonga, California
December 15, 2015

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APPENDIX C

FORM OF CONTINUING DISCLOSURE CERTIFICATE FOR THE BONDS

This Continuing Disclosure Certificate (the “Disclosure Certificate”) is executed and delivered by the Lynwood Unified School District (the “District”) in connection with the issuance of \$9,610,000 of the District’s Election of 2012 General Obligation Bonds, Series C (the “Bonds”). The Bonds are being issued pursuant to a Resolution of the District adopted on March 8, 2016. The District covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the Holders and Beneficial Owners of the Bonds and in order to assist the Participating Underwriter in complying with S.E.C. Rule 15c2-12(b)(5).

SECTION 2. Definitions. In addition to the definitions set forth in the Resolution, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

“Beneficial Owner” shall mean any person which (a) has the power, directly or indirectly, to vote or consent with respect to, or to dispose of ownership of, any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries), or (b) is treated as the owner of any Bonds for federal income tax purposes.

“Dissemination Agent” shall mean initially Mission Trail Advisors LLC, or any successor Dissemination Agent designated in writing by the District (which may be the District) and which has filed with the District a written acceptance of such designation.

“Listed Events” shall mean any of the events listed in Section 5(a) of this Disclosure Certificate.

“Official Statement” means that certain official statement, dated April 19, 2016, relating to the offering and sale of the Bonds.

“Participating Underwriter” shall mean RBC Capital Markets, LLC or such other original Underwriter of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“Repository” shall mean, the Municipal Securities Rulemaking Board, which can be found at <http://emma.msrb.org/>, or any other repository of disclosure information that may be designated by the Securities and Exchange Commission as such for purposes of the Rule in the future.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“State” shall mean the State of California.

SECTION 3. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to, not later than nine months after the end of the District's fiscal year (presently ending June 30), commencing with the report for the 2015-16 Fiscal Year, provide to each Repository an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate; *provided* that the audited financial statements of the District may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. If the District's fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5(f).

(b) Not later than thirty (30) days (nor more than sixty (60) days) prior to said date the Dissemination Agent shall give notice to the District that the Annual Report shall be required to be filed in accordance with the terms of this Disclosure Certificate. Not later than fifteen (15) Business Days prior to said date, the District shall provide the Annual Report in a format suitable for reporting to the Repositories to the Dissemination Agent (if other than the District). If the District is unable to provide to the Repositories an Annual Report by the date required in subsection (a), the District shall promptly send a notice to each Repository in substantially the form attached as Exhibit A with a copy to the Dissemination Agent. The Dissemination Agent shall not be required to file a Notice to Repositories of Failure to File an Annual Report.

(c) The Dissemination Agent shall file a report with the District stating it has filed the Annual Report in accordance with its obligations hereunder, stating the date it was provided and listing all the Repositories to which it was provided.

SECTION 4. Content and Form of Annual Reports. (a) The District's Annual Report shall contain or include by reference the following:

1. The audited financial statements of the District for the prior fiscal year, prepared in accordance with generally accepted accounting principles as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the District's audited financial statements are not available by the time the Annual Report is required to be filed pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

2. Material financial information and operating data with respect to the District of the type included in the Official Statement in the following categories (to the extent not included in the District's audited financial statements):

- (a) State funding received by the District as of the last completed fiscal year;
- (b) Enrollment and Average daily attendance of the District for the last completed fiscal year;
- (c) outstanding District indebtedness, as of the last completed fiscal year;

- (d) Assessed valuations of taxable property within the District for the current fiscal year;
- (e) Largest local secured taxpayers for the current fiscal year; and
- (f) summary financial information on revenues, expenditures and fund balances for the District's general fund reflecting adopted budget for the current fiscal year.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities, which have been submitted to each of the Repositories or the Securities and Exchange Commission. If the document included by reference is a final official statement, it must be available from the Municipal Securities Rulemaking Board. The District shall clearly identify each such other document so included by reference.

(b) The Annual Report shall be filed in an electronic format, and accompanied by identifying information, prescribed by the Municipal Securities Rulemaking Board.

SECTION 5. Reporting of Significant Events.

(a) Pursuant to the provisions of this Section 5(a), the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds in a timely manner not in excess of 10 business days after the occurrence of the event:

1. principal and interest payment delinquencies.
2. tender offers.
3. defeasances.
4. optional, contingent or unscheduled Bond calls.
5. rating changes.
6. adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, or Notices of Proposed Issue (IRS Form 5701-TEB).
7. unscheduled draws on the debt service reserves reflecting financial difficulties.
8. unscheduled draws on credit enhancement reflecting financial difficulties.
9. substitution of the credit or liquidity providers or their failure to perform.
10. bankruptcy, insolvency, receivership or similar event (within the meaning of the Rule) of the District. For the purposes of the event identified in this Section 5(a)(10), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for the District in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or

governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District.

(b) Pursuant to the provisions of this Section 5(b), the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material:

1. non-payment related defaults.
2. modifications to rights of Bondholders.
3. unless described under Section 5(a)(5) above, material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds.
4. release, substitution or sale of property securing repayment of the Bonds.
5. the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms.
6. Appointment of a successor or additional trustee or paying agent with respect to the Bonds or the change of name of such a trustee or paying agent.

(c) Whenever the District obtains knowledge of the occurrence of a Listed Event under Section 5(b) hereof, the District shall as soon as possible determine if such event would be material under applicable federal securities laws.

(d) If the District determines that knowledge of the occurrence of a Listed Event under Section 5(b) hereof would be material under applicable federal securities laws, the District shall (i) file a notice of such occurrence with the Repository in a timely manner not in excess of 10 business days after the occurrence of the event or (ii) provide notice of such reportable event to the Dissemination Agent in format suitable for filing with the Repository in a timely manner not in excess of 10 business days after the occurrence of the event. The Dissemination Agent shall have no duty to independently prepare or file any report of Listed Events. The Dissemination Agent may conclusively rely on the District's determination of materiality pursuant to Section 5(c).

SECTION 6. Termination of Reporting Obligation. The District's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the District shall give notice of such termination in the same manner as for a Listed Event under Section 5(a) or Section 5(b), as applicable.

SECTION 7. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent (or substitute Dissemination Agent) to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent may resign upon fifteen (15) days written notice to the District. Upon such resignation, the District shall act as its own Dissemination Agent until it appoints a successor. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report prepared by the District pursuant to this Disclosure Certificate and shall not be responsible to

verify the accuracy, completeness or materiality of any continuing disclosure information provided by the District. The District shall compensate the Dissemination Agent for its fees and expenses hereunder as agreed by the parties. Any entity succeeding to all or substantially all of the Dissemination Agent's corporate trust business shall be the successor Dissemination Agent without the execution or filing of any paper or further act.

SECTION 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the District may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

- (a) If the amendment or waiver relates to the provisions of Sections 3(a), 4, 5(a) or 5(b), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the Bonds, or the type of business conducted;
- (b) The undertaking, as amended or taking into account such waiver, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the original issuance of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances;
- (c) The amendment or waiver does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the Holders or Beneficial Owners of the Bonds; and
- (d) No duties of the Dissemination Agent hereunder shall be amended without its written consent thereto.

In the event of any amendment or waiver of a provision of this Disclosure Certificate, the District shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the District. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in the same manner as for a Listed Event under Section 5(b), and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

SECTION 9. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 10. Default. In the event of a failure of the District to comply with any provision of this Disclosure Certificate any Holder or Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an event of default under the Resolution, and the sole remedy under this

Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

SECTION 11. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate. The Dissemination Agent acts hereunder solely for the benefit of the District; this Disclosure Certificate shall confer no duties on the Dissemination Agent to the Participating Underwriter, the Holders and the Beneficial Owners. The District agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's gross negligence or willful misconduct. The obligations of the District under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds. The Dissemination Agent shall have no liability for the failure to report any event or any financial information as to which the District has not provided an information report in format suitable for filing with the Repository. The Dissemination Agent shall not be required to monitor or enforce the District's duty to comply with its continuing disclosure requirements hereunder.

SECTION 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriter and Holders and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Dated: May 5, 2016

LYNWOOD UNIFIED SCHOOL DISTRICT

By: _____
Chief Business Official

EXHIBIT A

NOTICE TO REPOSITORIES OF FAILURE TO FILE ANNUAL REPORT

Name of District: LYNWOOD UNIFIED SCHOOL DISTRICT

Name of Bond Issue: Election of 2012 General Obligation Bonds, Series C

Date of Issuance: May 5, 2016

NOTICE IS HEREBY GIVEN that the District has not provided an Annual Report with respect to the above-named Bonds as required by the Continuing Disclosure Certificate relating to the Bonds. The District anticipates that the Annual Report will be filed by _____.

Dated: _____

LYNWOOD UNIFIED SCHOOL DISTRICT

By _____[form only; no signature required]_____

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APPENDIX D

ECONOMIC AND DEMOGRAPHIC INFORMATION FOR THE CITY OF LYNWOOD AND LOS ANGELES COUNTY

The District encompasses an area of approximately 6.5 square miles located in Los Angeles County (the “County”), including the City of Lynwood (the “City”). The following economic data for the City and the County are presented for information purposes only. The Bonds are not a debt or obligation of the City or the County.

General

The City of Lynwood is located approximately thirteen miles south of downtown in Los Angeles, encompassing an area of less than five square miles. Originally an agricultural region in the early 1900’s, the City is today largely residential and is of growing industrial and commercial importance.

Los Angeles County was incorporated on February 18, 1850 and is one of the original counties of California. With 4,061 square miles, the County borders 70 miles of coast on the Pacific Ocean. The County is home to 88 incorporated cities and many unincorporated areas. In between the large desert portions of the county — which make up around 40 percent of its land area — and the heavily urbanized central and southern portions sits the San Gabriel Mountains containing Angeles National Forest. All of southern Los Angeles County, north to about the center of the county, is heavily urbanized.

Population

The following table summarizes population estimates for the City, County and State of California.

**POPULATION ESTIMATES
2001-2015
City of Lynwood, Los Angeles County and State of California**

<u>Year</u>⁽¹⁾	<u>City of Lynwood</u>	<u>County of Los Angeles</u>	<u>State of California</u>
2001	70,352	9,590,080	34,256,789
2002	70,891	9,679,212	34,725,516
2003	71,277	9,756,914	35,163,609
2004	71,191	9,806,944	35,570,847
2005	70,733	9,816,153	35,869,173
2006	70,423	9,798,609	36,116,202
2007	69,896	9,780,808	36,399,676
2008	69,776	9,785,474	36,704,375
2009	69,766	9,801,096	36,966,713
2010	69,786	9,822,121	37,223,900
2011	69,503	9,847,712	37,427,946
2012	70,043	9,908,030	37,680,593
2013	70,767	9,980,432	38,030,609
2014	71,012	10,054,852	38,357,121
2015	71,381	10,136,559	38,714,725

⁽¹⁾ January 1 data.

Source: State of California, Department of Finance, Population Estimates for Cities, Counties and the State.

Personal Income

The following tables summarize personal income and per capita personal income for the County, State of California and United States from 2005 through 2014.

PERSONAL INCOME
2005-2014
Los Angeles County, State of California, and United States
(Dollars in Thousands)

<u>Year</u>	<u>Los Angeles County</u>	<u>California</u>	<u>United States</u>
2005	\$363,023,600	\$1,398,952,578	\$10,610,320,000
2006	392,696,751	1,501,831,207	11,381,350,000
2007	409,232,169	1,565,343,003	11,995,419,000
2008	424,773,112	1,602,748,801	12,492,705,000
2009	408,269,611	1,537,136,355	12,079,444,000
2010	418,046,367	1,583,446,730	12,459,613,000
2011	441,724,254	1,691,002,503	13,233,436,000
2012	475,931,985	1,812,314,643	13,904,485,000
2013	478,371,346	1,849,505,496	14,064,468,000
2014	499,767,889	1,939,527,656	14,683,147,000

Source: U.S. Department of Commerce, Bureau of Economic Analysis.

PER CAPITA PERSONAL INCOME⁽¹⁾
2005-2014
Los Angeles County, State of California, and United States

<u>Year</u>	<u>Los Angeles County</u>	<u>California</u>	<u>United States</u>
2005	\$37,095	\$39,046	\$35,904
2006	40,326	41,693	38,144
2007	42,187	43,182	39,821
2008	43,633	43,786	41,082
2009	41,714	41,588	39,376
2010	42,540	42,411	40,277
2011	44,627	44,852	42,453
2012	47,713	47,614	44,266
2013	47,580	48,125	44,438
2014	49,400	49,985	46,049

⁽¹⁾ Per capita personal income is the total personal income divided by the total mid-year population estimates of the U.S. Bureau of the Census. All dollar estimates are in current dollars (not adjusted for inflation).

Source: U.S. Department of Commerce, Bureau of Economic Analysis.

Employment

The following table summarizes the labor force, employment and unemployment figures for the City, County and State from 2010 through 2014.

LABOR FORCE, EMPLOYMENT AND UNEMPLOYMENT
2010-2014
The City of Lynwood, Los Angeles County and State of California

<u>Year and Area</u>	<u>Labor Force</u>	<u>Employment</u> ⁽¹⁾	<u>Unemployment</u> ⁽²⁾	<u>Unemployment Rate (%)</u> ⁽³⁾
2010				
City of Lynwood	28,600	24,300	4,400	15.2
Los Angeles County	4,917,400	4,302,300	615,100	12.5
California	18,336,300	16,091,900	2,244,300	12.2
2011				
City of Lynwood	28,700	24,400	4,300	14.9
Los Angeles County	4,929,500	4,326,100	603,400	12.2
California	18,419,500	16,260,100	2,159,400	11.7
2012				
City of Lynwood	28,500	24,700	3,800	13.3
Los Angeles County	4,914,500	4,378,800	535,800	10.9
California	18,554,800	16,630,100	1,924,700	10.4
2013				
City of Lynwood	28,800	25,400	3,400	12.0
Los Angeles County	4,982,300	4,495,700	486,600	9.8
California	18,671,600	17,002,900	1,668,700	8.9
2014				
City of Lynwood	29,000	26,000	2,900	10.2
Los Angeles County	5,025,900	4,610,800	415,100	8.3
California	18,811,400	17,397,100	1,414,300	7.5

⁽¹⁾ Data is based on annual averages, unless otherwise specified, and is not seasonally adjusted.

⁽²⁾ Includes persons involved in labor-management trade disputes.

⁽³⁾ Includes all persons without jobs who are actively seeking work.

Source: U.S. Department of Labor – Bureau of Labor Statistics, California Employment Development Department. March 2014 Benchmark.

Industry

The City is included in the Los Angeles-Long Beach-Glendale Metropolitan Statistical Area (the “MSA”). The distribution of employment in the MSA is presented in the following table for the calendar years 2010 through 2014. These figures are multi county-wide statistics and may not necessarily accurately reflect employment trends in the City.

INDUSTRY EMPLOYMENT & LABOR FORCE 2010 through 2014 Los Angeles-Long Beach-Glendale Metropolitan Division by Annual Average

<u>Category</u>	<u>2010</u>	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>
Total Farm	6,200	5,600	5,400	5,500	5,300
Total Nonfarm	3,890,000	3,911,600	4,010,500	4,129,800	4,226,400
Total Private	3,310,500	3,346,200	3,453,700	3,578,500	3,669,700
Goods Producing	482,000	476,000	480,800	488,900	489,700
Natural Resources and Mining	4,100	4,100	4,300	4,600	4,700
Construction	104,500	105,100	109,200	116,200	120,200
Manufacturing	373,300	366,900	367,400	368,200	364,900
Durable Goods	207,100	204,200	204,300	204,300	203,100
Nondurable Goods	166,300	162,800	163,100	163,800	161,800
Service Providing	3,408,100	3,435,600	3,529,700	3,640,800	3,736,700
Private Service Providing	2,828,500	2,870,100	2,972,900	3,089,600	3,180,000
Trade, Transportation and Utilities	740,400	750,700	767,500	782,200	800,700
Wholesale Trade	203,400	205,800	211,900	218,700	223,500
Retail Trade	386,500	393,000	401,000	406,000	414,500
Transportation, Warehousing and Utilities	150,600	151,800	154,500	157,500	162,700
Information	191,600	192,000	191,500	196,400	195,900
Financial Activities	209,600	208,600	211,000	211,700	209,700
Professional and Business Services	528,100	544,000	571,600	594,700	609,400
Educational and Health Services	637,300	643,200	674,300	719,400	748,000
Leisure and Hospitality	384,800	394,700	415,400	439,300	464,600
Other Services	136,700	137,000	141,700	145,700	151,700
Government	<u>579,600</u>	<u>565,500</u>	<u>556,800</u>	<u>551,200</u>	<u>556,700</u>
Total, All Industries	<u>3,896,300</u>	<u>3,917,200</u>	<u>4,015,900</u>	<u>4,135,200</u>	<u>4,231,700</u>

Note: The “Total, All Industries” data is not directly comparable to the employment data found herein.

Source: State of California, Employment Development Department, Labor Market Information Division, Los Angeles MSA Annual Average Labor Force and Industry Employment, March 2014 Benchmark.

Largest Employers

The following tables rank the largest employers in the County by number of employees in 2014, and the largest employers within the City by number of employees as of June 30, 2015.

LARGEST PRIVATE-SECTOR EMPLOYERS 2014

Los Angeles County

<u>Rank</u>	<u>Company</u>	<u>Los Angeles County Employees</u>	<u>Description</u>
1.	Kaiser Permanente	35,991	Non-profit health plan
2.	Northrop Grumman Corp.	17,000	Systems and products in aerospace, electronics and information systems
3.	Target Corp.	15,000	Retailer
4.	Providence Health & Services Southern California	15,000	Health care
5.	University of Southern California	14,722	Private university
6.	Bank of America Corp.	13,500 ⁽¹⁾	Banking and financial services
7.	Ralphs/Food 4 Less (Kroger Co. division)	13,500 ⁽¹⁾	Grocery retailer
8.	Home Depot	10,600 ⁽¹⁾	Home improvement specialty retailer
9.	Boeing Co.	10,500 ⁽¹⁾	Aerospace and defense contractor
10.	Cedars-Sinai Medical Center	10,243	Medical center
11.	Walt Disney Co.	10,200 ⁽²⁾	Entertainment
12.	Wells Fargo	10,000 ⁽¹⁾	Diversified financial services
13.	UPS	8,984	Logistics, transportation and freight
14.	AT&T Inc.	8,900	Telecommunications
15.	ABM Industries Inc.	8,400 ⁽¹⁾	Facility services, energy solutions, commercial cleaning, maintenance and repair
16.	California Institute of Technology	8,094	Private university, operator of Jet Propulsion Laboratory
17.	Vons	7,781	Retail grocer
18.	Edison International	7,700 ⁽¹⁾	Electric utility
19.	FedEx Corp.	7,600 ⁽¹⁾	Shipping and logistics
20.	Warner Brothers. Entertainment Inc.	7,400 ⁽²⁾	Entertainment

⁽¹⁾ Business Journal estimate.

⁽²⁾ Information provided by the City of Burbank.

Source: Los Angeles Business Journal, *The Lists 2015* (originally published September 1, 2014).

**LARGEST PUBLIC-SECTOR EMPLOYERS
(2014)
Los Angeles County**

<u>Rank</u>	<u>Company</u>	<u>Los Angeles County Employees</u>	<u>People Served</u>
1.	Los Angeles County	103,678	10 million residents
2.	Los Angeles Unified School District	60,139	907,019 students
3.	U.S. Government – Federal Executive Board ⁽¹⁾	46,500	United States residents
4.	City of Los Angeles ⁽²⁾	31,893	3.9 million residents
5.	University of California, Los Angeles	31,889	42,190 students
6.	State of California ⁽³⁾	29,400	State of California
7.	Metro	9,162	10 million residents
8.	Department of Water and Power for the City of Los Angeles (LADWP)	8,889	Los Angeles residents
9.	Los Angeles Community College District	6,492	Nine community colleges; 154,078 students
10.	Long Beach Unified School District	6,365	80,874 students
11.	Long Beach	5,097	468,000 residents
12.	California State University, Long Beach	4,026	35,586 students
13.	California State University, Northridge	3,708	38,310 students
14.	Department of Airports of the City of Los Angeles (LAWA)	3,535	Los Angeles International, Van Nuys, Ontario airports
15.	Santa Monica	2,179	89,736 residents
16.	Pasadena	2,145	140,879 residents
17.	California State Polytechnic University, Pomona	2,071	22,501 students
18.	California State University, Los Angeles	2,054	23,258 students
19.	Santa Monica Community College District	1,883	31,993 students
20.	Mt. San Antonio Community College District	1,882	34,364 students

⁽¹⁾ Excludes law enforcement and judiciary employees.

⁽²⁾ Excludes proprietary departments (LADWP, LAWA).

⁽³⁾ Excludes education employees.

Source: *Los Angeles Business Journal, The Lists 2015 (originally published September 1, 2014).*

**LARGEST EMPLOYERS
As of June 30, 2015
City of Lynwood**

<u>Rank</u>	<u>Company</u>	<u>Number of Employees</u>
1.	St. Francis Medical Center	1,716
2.	Lynwood Unified School District ⁽¹⁾	1,614
3.	Los Angeles County Sheriff Department	300
4.	PL Development (formerly Aaron Industries Inc.)	260
5.	Lynwood City Hall	194
6.	Superior Warehouse Grocers Inc.	139
7.	Marlinda Convalescent Hospital DBA Bloomfield	128
8.	Country Villa Lynwood Health Care	109
9.	Earle M. Jorgensen Company	106
10.	El Super	104

⁽¹⁾ For updated District employee counts, see the front part of this Official Statement.

Source: *City of Lynwood 'Comprehensive Annual Financial Report' for Fiscal Year Ended June 30, 2015.*

Commercial Activity

The following tables summarize taxable sales in the City and County from 2007 through 2013.

TAXABLE SALES 2007-2013 Los Angeles County (Dollars in Thousands)

<u>Year</u>	<u>Retail Permits</u>	<u>Retail Stores Taxable Transactions</u>	<u>Total Permits</u>	<u>Total Outlets Taxable Transactions</u>
2007	142,380	\$96,095,711	290,344	\$137,820,418
2008	146,999	89,810,309	289,802	131,881,744
2009	175,461	78,444,115	264,928	112,744,727
2010	182,491	82,175,416	271,293	116,942,334
2011	179,872	89,251,447	266,868	126,440,737
2012	180,359	95,318,603	266,414	135,295,582
2013	179,370	99,641,174	263,792	140,079,708

Note: In 2009, retail permits expanded to include permits for food services.

Source: "Taxable Sales in California (Sales & Use Tax)," California Board of Equalization.

TAXABLE SALES 2007-2013 City of Lynwood (Dollars in Thousands)

<u>Year</u>	<u>Retail Permits</u>	<u>Retail Stores Taxable Transactions</u>	<u>Total Permits</u>	<u>Total Outlets Taxable Transactions</u>
2007	701	\$267,270	1,172	\$313,993
2008	736	253,817	1,195	310,176
2009	758	224,064	1,037	273,366
2010	802	232,209	1,084	276,750
2011	809	249,819	1,089	297,344
2012	768	263,971	1,050	301,919
2013	724	274,919	1,013	308,493

Note: In 2009, retail permits expanded to include permits for food services.

Source: "Taxable Sales in California (Sales & Use Tax)," California Board of Equalization.

Building Activity

The following tables summarize new building permits and valuations in the County and City from 2010 through 2014.

BUILDING PERMITS AND VALUATIONS

2010-2014

Los Angeles County
(Dollars in Thousands)

	<u>2010</u>	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>
Valuation (\$000's)					
Residential	\$2,824,463	\$3,415,434	\$3,821,324	\$4,743,955	\$5,509,418
Non-Residential	<u>2,699,913</u>	<u>3,126,956</u>	<u>3,682,730</u>	<u>4,326,366</u>	<u>6,657,571</u>
Total	\$5,494,375	\$6,542,390	\$7,504,054	\$9,070,321	\$12,166,989
Units					
Single Family	2,417	2,370	2,820	3,607	4,358
Multiple Family	<u>5,056</u>	<u>8,098</u>	<u>8,895</u>	<u>13,243</u>	<u>14,349</u>
Total	7,473	10,468	11,715	16,850	18,707

Note: Totals may not add to sum because of rounding.

Source: Construction Industry Research Board.

BUILDING PERMITS AND VALUATIONS

2010-2014

City of Lynwood
(Dollars in Thousands)

	<u>2010</u>	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>
Valuation (\$000's)					
Residential	\$4,561	\$11,500	\$1,488	\$1,172	\$3,890
Non-Residential	<u>1,853</u>	<u>3,057</u>	<u>448</u>	<u>0</u>	<u>53</u>
Total	\$6,415	\$14,557	\$1,936	\$1,172	\$3,943
Units					
Single Family	1	0	1	7	23
Multiple Family	<u>0</u>	<u>99</u>	<u>0</u>	<u>0</u>	<u>0</u>
Total	1	99	1	7	23

Note: Totals may not add to sum because of rounding.

Source: Construction Industry Research Board.

APPENDIX E

LOS ANGELES COUNTY TREASURY POOL

The following information concerning the Los Angeles County Treasury Pool (the “Treasury Pool”) has been provided by the Treasurer, and has not been confirmed or verified by the District, the Financial Advisor or the Underwriter. The District, the Financial Advisor and the Underwriter have not made an independent investigation of the investments in the Treasury Pool and have made no assessment of the current County investment policy. The value of the various investments in the Treasury Pool will fluctuate on a daily basis as a result of a multitude of factors, including generally prevailing interest rates and other economic conditions. Additionally, the Treasurer, with the consent of the County Board of Supervisors may change the County investment policy at any time. Therefore, there can be no assurance that the values of the various investments in the Treasury Pool will not vary significantly from the values described herein. Finally, neither the District, the Financial Advisor nor the Underwriter make any representation as to the accuracy or adequacy of such information or as to the absence of material adverse changes in such information subsequent to the date hereof, or that the information contained or incorporated hereby by reference is correct as of any time subsequent to its date. Additional information regarding the Treasurer Pool may be obtained from the Treasurer at www.ttc.lacounty.gov; however, the information presented on such website is not incorporated herein by any reference

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THE LOS ANGELES COUNTY POOLED SURPLUS INVESTMENTS

The Treasurer and Tax Collector (the Treasurer) of Los Angeles County has the delegated authority to invest funds on deposit in the County Treasury (the Treasury Pool). As of February 29, 2016, investments in the Treasury Pool were held for local agencies including school districts, community college districts, special districts and discretionary depositors such as cities and independent districts in the following amounts:

<u>Local Agency</u>	<u>Invested Funds</u> <u>(in billions)</u>
County of Los Angeles and Special Districts	\$11.003
Schools and Community Colleges	12.455
Discretionary Participants	<u>2.239</u>
Total	\$25.697

The Treasury Pool participation composition is as follows:

Non-discretionary Participants	91.29%
Discretionary Participants:	
Independent Public Agencies	7.62%
County Bond Proceeds and Repayment Funds	<u>1.09%</u>
Total	100.00%

Decisions on the investment of funds in the Treasury Pool are made by the County Investment Officer in accordance with established policy, with certain transactions requiring the Treasurer's prior approval. In Los Angeles County, investment decisions are governed by Chapter 4 (commencing with Section 53600) of Part 1 of Division 2 of Title 5 of the California Government Code, which governs legal investments by local agencies in the State of California, and by a more restrictive Investment Policy developed by the Treasurer and adopted by the Los Angeles County Board of Supervisors on an annual basis. The Investment Policy adopted on March 31, 2015, reaffirmed the following criteria and order of priority for selecting investments:

1. Safety of Principal
2. Liquidity
3. Return on Investment

The Treasurer prepares a monthly Report of Investments (the Investment Report) summarizing the status of the Treasury Pool, including the current market value of all investments. This report is submitted monthly to the Board of Supervisors. According to

the Investment Report dated March 31, 2016, the February 29, 2016 book value of the Treasury Pool was approximately \$25.697 billion and the corresponding market value was approximately \$25.666 billion.

An internal controls system for monitoring cash accounting and investment practices is in place. The Treasurer's Compliance Auditor, who operates independently from the Investment Officer, reconciles cash and investments to fund balances daily. The Compliance Auditor's staff also reviews each investment trade for accuracy and compliance with the Board adopted Investment Policy. On a quarterly basis, the County's outside independent auditor (External Auditor) reviews the cash and investment reconciliations for completeness and accuracy. Additionally, the External Auditor reviews investment transactions on a quarterly basis for conformance with the approved Investment Policy and annually accounts for all investments.

The following table identifies the types of securities held by the Treasury Pool as of February 29, 2016:

<u>Type of Investment</u>	<u>% of Pool</u>
U.S. Government and Agency Obligations	53.80
Certificates of Deposit	15.77
Commercial Paper	30.05
Bankers Acceptances	0.00
Municipal Obligations	0.18
Corporate Notes & Deposit Notes	0.20
Asset Backed Instruments	0.00
Repurchase Agreements	0.00
Other	<u>0.00</u>
	100.00

The Treasury Pool is highly liquid. As of February 29, 2016, approximately 45.08% of the investments mature within 60 days, with an average of 541 days to maturity for the entire portfolio.

APPENDIX F

SPECIMEN MUNICIPAL BOND INSURANCE POLICY

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MUNICIPAL BOND INSURANCE POLICY

ISSUER:

BONDS: \$ in aggregate principal amount of

Policy No: -N

Effective Date:

Premium: \$

ASSURED GUARANTY MUNICIPAL CORP. ("AGM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") (as set forth in the documentation providing for the issuance of and securing the Bonds) for the Bonds, for the benefit of the Owners or, at the election of AGM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the Business Day next following the Business Day on which AGM shall have received Notice of Nonpayment, AGM will disburse to or for the benefit of each Owner of a Bond the face amount of principal of and interest on the Bond that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by AGM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of the principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in AGM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by AGM is incomplete, it shall be deemed not to have been received by AGM for purposes of the preceding sentence and AGM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, who may submit an amended Notice of Nonpayment. Upon disbursement in respect of a Bond, AGM shall become the owner of the Bond, any appurtenant coupon to the Bond or right to receipt of payment of principal of or interest on the Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under the Bond, to the extent of any payment by AGM hereunder. Payment by AGM to the Trustee or Paying Agent for the benefit of the Owners shall, to the extent thereof, discharge the obligation of AGM under this Policy.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity unless AGM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment of principal or interest that is Due for Payment made to an Owner by or on behalf of the Issuer which has been recovered from such Owner pursuant to the

United States Bankruptcy Code by a trustee in bankruptcy in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means telephonic or telecopied notice, subsequently confirmed in a signed writing, or written notice by registered or certified mail, from an Owner, the Trustee or the Paying Agent to AGM which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount and (d) the date such claimed amount became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer or any person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

AGM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee and the Paying Agent specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee and the Paying Agent, (a) copies of all notices required to be delivered to AGM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to AGM and shall not be deemed received until received by both and (b) all payments required to be made by AGM under this Policy may be made directly by AGM or by the Insurer's Fiscal Agent on behalf of AGM. The Insurer's Fiscal Agent is the agent of AGM only and the Insurer's Fiscal Agent shall in no event be liable to any Owner for any act of the Insurer's Fiscal Agent or any failure of AGM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, AGM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to AGM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy.

This Policy sets forth in full the undertaking of AGM, and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, (a) any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity and (b) this Policy may not be canceled or revoked. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW.

In witness whereof, ASSURED GUARANTY MUNICIPAL CORP. has caused this Policy to be executed on its behalf by its Authorized Officer.

ASSURED GUARANTY MUNICIPAL CORP.

By _____
Authorized Officer

A subsidiary of Assured Guaranty Municipal Holdings Inc.
31 West 52nd Street, New York, N.Y. 10019
(212) 974-0100